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Income Tax Act, 2058 (With amendments made by the Finance Act, 2082)

Great Seal and Published Date
2058.12.19

Amending Acts

1. Finance Ordinance, 2059 2059.03.24 and 2059.09.22
2. Finance Ordinance, 2060 2060.04.01 and 2060.10.01
3. Finance Ordinance, 2061 2061.04.01 and 2061.10.01
4. Finance Ordinance, 2062 2062.04.01 and 2062.10.01
5. Ordinance to Amend Certain Nepal Acts Relating to Revenue, 2062 2062.06.16

Certification and Publication Date

6. Act to Amend Certain Nepal Laws, 2063 2063.06.28
7. Finance Act, 2063 2063.07.20
8. Finance Act, 2064 2064.03.28
9. Finance Act, 2065 2065.06.03
10. Finance Act, 2066 2066.08.10
11. Act to Consolidate the Republic and Amend Certain Nepal Laws, 2066 2066.10.07
12. Finance Act, 2067 2067.11.03
13. Finance Act, 2068 2068.03.28
14. Finance Act, 2070 2070.03.30
15. Finance Act, 2071 2071.03.29
16. Act to Amend Certain Nepal Acts, 2072 2072.11.13
17. Finance Act, 2073 2073.02.15
18. Judicial Administration Act, 2073 2073.05.27
19. Finance Act, 2074 2074.05.02
20. Finance Act, 2075 2075.03.32
21. Act to Amend Certain Nepal Acts, 2075 2075.11.19
22. Finance Act, 2076 2076.03.30
23. Finance Act, 2077 2077.03.15
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25. Finance Act, 2078 2078.06.13
26. Finance Act, 2079 2079.03.31
27. Finance Act, 2080 2080.03.31
28. Finance Act, 2081 2081.04.01
29. Finance Act, 2082 2082.03.30

Act No. 22 of 2058

An Act Made to Amend and Consolidate Laws Relating to Income Tax

Preamble: Whereas it is desirable to make the laws relating to income tax timely by amending and consolidating them to enhance revenue mobilization by making effective the process of revenue collection for the economic development of the country,

His Majesty King Gyanendra Bir Bikram Shah Dev has enacted this Act in the first year of his reign with the consent of Parliament. Chapter-1

Preliminary

1. Short Title, Extent, and Commencement: (1) This Act may be called the "Income Tax Act, 2058."

(2) This Act shall apply throughout Nepal amended by the Finance Act, 2063. and shall also apply to a resident person wherever residing outside Nepal amended by the Finance Act, 2063..

(3) This Act shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Advance Withholding Agent" means a person who has the duty to withhold tax in advance under Chapter 17 while making payment of employment, investment returns, service fees, and contracts or agreements. (b) "Authorized Officer" means the Director General, Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, Tax Officer, and other officers as referred to in Section 72 in the Department. (c) "Final Withholding Payment" means a payment of dividend, rent, profit, interest, and payment subject to withholding made to a non-resident person as referred to in Section 92. (d) "Retirement Fund" means an entity established solely for the purpose of accepting retirement contribution amounts and investing such amounts for the purpose of providing retirement payments from the fund to a natural person who is a beneficiary of the entity or to the dependent of such person. (e) "Retirement Payment" means a payment made to the following persons:- (1) Payment made to a natural person upon his or her retirement, or (2) Payment made to the dependent of a natural person upon the death of that person. (f) "Retirement Contribution Amount" means a payment made to a retirement fund for the arrangement or future arrangement of a retirement payment. (g) "Incapacitated Person" means a person who is incapable of managing his or her own affairs due to physical or mental illness. amended by the Finance Act, 2063.(h) "Income" means income received by a person from employment, business, investment, or casual gain, and the term also denotes the total amount of such income calculated in accordance with this Act. added by the Finance Act, 2063.(h1) "Casual Gain" means a gain received casually from a lottery, gift, prize, gratuity, winnings, or any other source. (i) "Income Year" means the period from the first day of Shrawan of a year to the last day of Ashadh of the following year. (j) "Gift" means a payment without any consideration, or where the payment is with consideration, a payment to the extent that the market value of the payment exceeds the market value of the consideration. (k) "Debt Obligation" means an obligation equivalent to a debt claim. (ka) "Debt Claim" means the right of a person to receive payment from another person, and the term also denotes the right to recover an amount given by one person to another, deposits in banks and financial institutions, receivables, debentures, bills of exchange, bonds, rights under annuities, and rights to receive amounts from financial leases and installment sales. (kha) "Company" means a company established under the prevailing company law, and for the purposes of this Act, the following entities shall also be treated as a company:- (1) A body corporate established under prevailing law, (2) An unincorporated association, committee, institution, or society, or a group of persons or trust other than a registered or unregistered sole proprietorship or partnership, (3) A partnership firm, whether registered or not under prevailing law, with twenty or more partners, a retirement fund, a cooperative society, a unit trust, a joint venture, (4) A foreign company, (5) Any other foreign entity specified by the Director General. (ga) "Tax" means the tax leviable under this Act, and the term also denotes the following payments:- (1) Expenses referred to in clause (a) of sub-section (8) of Section 104 incurred by the Department in relation to claims and auction sales of the property of a person in tax arrears, amended by the Finance Act, 2063.(2) Amount payable by the withholding agent or the person subject to withholding under Section 90, or the amount payable by the person making installment deposits under Section 94, or the amount payable by the person required to deposit advance tax under Section 95a, or the amount payable as per the tax assessment under Sections 99, 100, and 101, (3) Amount payable to the Department in relation to the tax liability of a third party under sub-section (2) of Section 107, sub-section (3) or (4) of Section 108, sub-section (1) of Section 109, and sub-section (1) of Section 110, (4) Amount payable as fees and interest under Chapter 22, and (5) Penalty amount under Section 129 payable as ordered by the Department. (gha) "Person Subject to Withholding" means a person who receives payment or has the right to receive payment after withholding tax in accordance with Chapter 17 while making payment of employment, investment returns, service fees, and contracts or agreements. (na) "Tax Assessment" means the assessment of tax made under this Act, and the term also denotes the assessment of fees and interest made under Section 122.

Provided that this term shall not denote the original tax assessment replaced by the revised tax assessment under Section 101.

added by the Finance Act, 2063.(na1) "Transaction" means a transaction equal to the total amount to be included under Section 7, 8, or 9 for the purpose of calculating income from employment, business, or investment of an income year.

(ta) "Non-resident Person" means a person other than a resident person.

added by the Finance Act, 2063.(da) "Non-business Taxable Asset" means land, building, and an interest or security in any entity other than the following assets:-
(1) Business assets, depreciable assets, or trading stock,
(2) A private building of a natural person under the following conditions:-
(a) Owned continuously for ten years or more, and
(b) The person has resided in it continuously or intermittently for a total of ten years or more,
Explanation: For the purpose of this clause, "private building" means amended by the Finance Act, 2076. the building, the land occupied by the building, and additional land equal to the area occupied by the building or one ropani of land, whichever is less.
(3) An interest in a retirement fund of a beneficiary,
(4) Land, real estate, and a private building transferred by a natural person for a value less than ten lakh rupees, or
(5) An asset transferred and disposed of by any means other than purchase and sale within three generations.

amended by the Finance Act, 2076.(dha) "Exempt Organization" means the following entities:-
(1) Entities registered with the Department as tax-exempt organizations as follows:-
(a) Public welfare, religious, educational, or charitable organizations established for non-profit purposes,
(b) Amateur sports organizations formed to promote social or sports facilities without benefits to members,
(2) A political party registered with the Election Commission,
Provided that such organization shall not be entitled to tax exemption under this clause if any benefit is provided to any person from the assets or amounts received by such organization, except when work is

completed according to the purpose of the exempt organization or when any payment is made for assets or services provided to such organization by any person.

(na) "Trust" means an arrangement where a trustee holds property.

Provided that this term shall not denote a partnership, a body corporate, or an entity mentioned under sub-clause (3) of clause (kha).

(pa) "Trustee" means a natural person, Guthi, or other body corporate who holds property in trust, alone or jointly with other natural persons, Guthis, or other bodies corporate, and the term also denotes the following persons:-
(1) Executor or administrator of the estate of a deceased person,
(2) Liquidator, receiver, or trustee,
(3) A person who acts as guardian, director, controller, or manager of the property of an incapacitated person in a private or official capacity,
(4) A person who manages property under a private foundation or similar foundation, and
(5) Any other person in a position similar to those mentioned in sub-clauses (1), (2), (3), and (4).

(pha) "Long-term Contract" means a contract under Section 26 where the lease period of the contract exceeds twelve months.

(ba) "Relative" means husband, wife, son, daughter (including adopted son and daughter), father, mother, grandfather, grandmother, elder brother, younger brother, sister-in-law, daughter-in-law, elder sister, younger sister, mother-in-law, father-in-law, brother-in-law (sala), brother-in-law (jethan), sister-in-law (sali), step-mother-in-law, uncle, aunt, nephew, niece, grandson, and granddaughter of a natural person.

(bha) "Entity" means the following institutions or organizations:-
(1) A partnership, trust, or company,
amended by the Finance Act, 2076.(2) repealed by the Finance Act, 2076.

District Coordination Committee,
amended by the Finance Act, 2076.(3) The Government of Nepal, Provincial Government, or Local Level,
(4) Any foreign government or its provincial or local governments, or a public international organization established by a treaty, or
(5) A permanent establishment of an entity or organization referred to in sub-clauses (1), (2), (3), and (4) that is not located in the country where it is resident. amended by the Finance Act, 2076.

(ma) "Interest in an Entity" means the right, including a contingent right, to receive income or capital of an entity.

(ya) "Disposal" means the disposal, including sale or transfer, of any asset or liability as referred to in Section 40.

(ra) "Beneficial Ownership" means the following ownership:-
(1) Ownership created in relation to an entity based on an interest held directly or indirectly through one or more intermediary entities by a natural person or an entity without any interest of a natural person, or
(2) Ownership of an asset owned by an entity, determined on the basis of the proportional ownership of persons having beneficial ownership in that entity.

(la) "Lease" means a temporary right of one person to use an asset other than cash assets of another person, and the term also denotes a license, rental agreement, option, royalty agreement, or lessee's interest.

(wa) "Natural Person" means a specific natural person, and for the purposes of this Act, the term also denotes a sole proprietorship owned by a natural person, whether registered or not, and a couple selected under Section 50 to be treated as a single natural person.

added by the Finance Act, 2076.(sha) "Payment for Natural Resources" means a payment amount for any of the following:-
(1) Payment for obtaining the right to extract water, minerals, or other living or non-living resources from the land, or
(2) An amount calculated on the basis of the volume or value of natural resources and minerals extracted wholly or partially from the land, whether living or non-living.

(sha) "Market Value" means the normal transaction value of an asset or service in the ordinary course of market dealings between unrelated persons.

amended by the Finance Act, 2076.(sa) "Rent" means all payments, including premium, under the lease and rental of tangible assets, including house rent.

Provided that this term shall not denote payment for natural resources or an amount received as house rent by a natural person other than a sole proprietorship.

(ha) "Payment" means the following actions:-
(1) Transfer of money or asset of one person to the name of another person and transfer of liability of one person to the name of that other person,
(2) Where an asset created by one person becomes owned by another person after its creation, or where the burden of a liability of one person is borne by another person,
(3) Where one person provides a service to another person,
(4) Where an asset owned by one person is used by another person or made available for use.

(khya) "Distribution of Profit" means the distribution of profit by an entity under Section 53, including capitalization of profit.

(tra) "Unit Trust" means a trust in which a trustee holds property for the benefit of at least twenty persons, and the right of persons to participate in income or capital is divided on a basis determined by the number of units held.

added by the Finance Act, 2076.(tra1) "Contribution-based Retirement Payment" means a payment of an amount deposited in an approved retirement fund from income included in a natural person's income, along with the amount increased on that amount.

(gya) "Employment" means any type of past, present, or future employment.

(kak) "Royalty" means any payment made under a lease of intangible assets, and the term also denotes any payment made for the following purposes:-
(1) Use, or right to use, copyright, patent, design, model, plan, secret formula or process, or trademark,
(2) Providing technical knowledge,
(3) Use, or right to use, cinematographic film, video tape, sound recording, or any other similar medium, or use or provision of industrial, commercial, or amended by the Finance Act, 2076. scientific experience,

(4) Providing any assistance auxiliary to matters under sub-clauses (1), (2), or (3), or
(5) Accepting full or partial restriction in relation to matters under sub-clauses (1), (2), (3), or (4). Provided this term shall not denote payment for natural resources.

added by the Finance Act, 2076.(kakha) "Investment" means the act of holding or investing in one or more assets, except as follows:-
(1) Holding an asset used for personal purposes by the owner,
(2) Employment or business.

Provided that holding a non-business taxable asset shall be considered an investment. (kaga) "Investment Insurance" means any of the following insurances:- (1) Insurance in respect of an event relating to the death of the insured person or a related person of the insured person, (2) Insurance in respect of an event relating to personal injury or specific incapacitation of the insured person or a related person, Provided that the insurance contract must remain in force for at least five years or have no time limit, and must not be terminable by the insurer before the expiry of five years except in special circumstances specified in the contract. (3) Insurance where an amount or series of amounts is payable to the insured in the future, (4) Reinsurance of insurance under sub-clauses (1), (2), or (3), and (5) Reinsurance of reinsurance referred to in sub-clause (4). (kagha) "Dividend" means a distribution made by an entity. (kanga) "Resident Person" means the following persons in relation to an income year:- (1) In the case of a natural person,- (a) Whose ordinary place of residence is in Nepal, (b) amended by the Finance Act, 2063.

Who is present in Nepal for 183 days or more in an uninterrupted period of 365 days, or
(c) Who is deputed abroad by the Government of Nepal at any time during the income year.
(2) A partnership firm,
(3) In the case of a trust, such trust which,-
(a) Is established in Nepal,
(b) Whose trustee is a resident person during the income year, added by the Finance Act, 2063. or
(c) Is controlled during the income year by a resident person or a group of persons involving them, directly or through one or more interposed entities.
(4) In the case of a company, such company which,-
(a) Is incorporated under the law of Nepal, added by the Finance Act, 2063. or
(b) Has its effective management in Nepal during any income year.
added by the Finance Act, 2063.(4a) The Government of Nepal or Provincial Government,
amended by the Finance Act, 2063.(5) Rural Municipality, Municipality, or District Coordination Committee,
(6) Such entity of a foreign government or its provincial added by the Finance Act, 2063. or local government which,-
(a) Is established under the law of Nepal, or
(b) Has its effective management in Nepal during any income year.
(7) An institution or entity established under a treaty, and
(8) A foreign permanent establishment of a non-resident person in Nepal.

(kacha) "Person" means a natural person or an entity.

(kachha) "Manager" means a person involved in making managerial decisions of an entity, and the term also denotes a trustee of a trust and a person who has ownership in a foreign permanent establishment.

(kaja) "Business" means any type of industry, trade, profession, or other commercial transaction of a similar nature, and the term also denotes past, present, or future businesses of a similar kind. Provided that this term shall not denote employment.

(kajha) "Interest" means the following payments or benefits:-
(1) Payment under a debt obligation other than principal,
(2) Benefit obtained through discount, amended by the Finance Act, 2063. premium, swap payment, or similar payment under a debt obligation, and
(3) Amounts under Section 31 treated as interest in payments made for the use of an asset under an annuity or installment sale or under a financial lease.

(kata) "Trading Stock" means assets owned by a person and sold in the course of the regular business conducted by that person, assets in progress, and inventory of materials to be included in assets. amended by the Finance Act, 2063. Provided that this term shall not denote assets in foreign currency.

(katha) "Business Asset" means any asset used in a business.

Provided that this term shall not denote trading stock or depreciable assets of a business. (kadha) "Distribution" means a distribution made by an entity as referred to in Section 53. added by the Finance Act, 2063.(kadha1) "Electronic Medium" means computer, fax, email, internet, electronic cash machine, fiscal printer, and the term also denotes other approved means specified by the Department. (kana) "Remitted Income" means income required to be remitted abroad by a foreign permanent establishment of a non-resident person located in Nepal under Section 68, whether remitted through a bank or paid in any other manner. (kana) "Foreign Income Tax" means the foreign income tax referred to in sub-section (8) of Section 69 imposed by a foreign country, and the term also denotes final withholding tax imposed by a foreign country. (kanha) "Foreign Permanent Establishment" means an entity under sub-clause (5) of clause (i). amended by the Finance Act, 2063. (kata) "Department" means the Inland Revenue Department. (katha) "Asset in Foreign Currency" means an asset in a foreign currency other than Nepalese Rupees. (kada) "Permanent Establishment" means a place where a person carries on business wholly or partially, and the term also denotes the following places:- (1) A place where a person carries on business wholly or partially through an agent, other than a general agent acting independently in the ordinary course of business, (2) A place where the main equipment or main machinery of a person is located, used, or installed, (3) One or more places in a country where a person provides technical, professional, or consultancy services through employees or otherwise for more than ninety days in aggregate in any twelve-month period, or (4) A place where a person is engaged in a project of construction, installation, or establishment for ninety days or more, and a place where activities related to the supervision of such project are carried out. amended by the Finance Act, 2063.(5) (kadha) "Asset" means any type of tangible or intangible asset, and the term also denotes currency, goodwill, technical knowledge, estate, ownership or interest in a foreign branch of a person, the right to earn or receive income in the future, and any part of such asset. (kana) "Associated Person" means one or more persons or a group of such persons acting according to the intention of another person, and the term also denotes the following persons:- (1) A natural person and the relative or partner of such person, (2) A foreign permanent establishment and the person having ownership in such establishment, and (3) An entity that controls or benefits from fifty percent or more of the income, capital, or voting rights of another entity, either alone or together with any other person or associated entity related to it, or with any other person or entity related to such associated entity.

Provided that the following persons shall not be associated persons:-
(1) Employees,
(2) Persons specified by the Department as not being associated persons.

added by the Finance Act, 2063.(kana1) "Adjusted Taxable Income" means the taxable income calculated without deducting any amount under Sections 12, 12a, 12b, and 12c and without deducting under sub-section (2) of Section 14, Section 17, or Section 18, when calculating the taxable income of any person for any income year.

(kapa) "Partnership" means a firm with less than twenty partners, whether registered or not under prevailing law. Provided that this term shall not denote a registered or unregistered sole proprietorship or joint venture.

(kapha) "General Insurance" means insurance other than investment insurance.

(kawa) "Normal Interest Rate" means an annual interest rate of amended by the Finance Act, 2063. fifteen percent.

(kabha) "Approved Retirement Fund" means a retirement fund that has obtained approval from the Department under sub-section (1) of Section 63.

(kama) "Service Fee" means any fee paid to a person at market value for a service provided by that person, and the term also denotes added by the Finance Act, 2063. meeting allowance, management fee, or technical service fee.

(kaya) "Shareholder" means a beneficiary person of a company.

(kara) "Depreciable Asset" means an asset used in a business or investment for earning income, which depreciates in value due to wear and tear, obsolescence, or efflux of time. Provided that this term shall not denote trading stock.

(kala) "Beneficiary" means a person having an interest under clause (ma) in an entity. amended by the Finance Act, 2063.

(kava) "Prescribed" or "as prescribed" means prescribed in the rules made under this Act. Chapter-2

Basis of Taxation

3. Imposition of Tax: The following persons shall be subject to tax levied and collected under this Act for each income year:-
(a) A person having taxable income in any income year,
(b) A foreign permanent establishment located in Nepal of a non-resident person that remits income for any income year under sub-sections (3) and (4) of Section 68, and
(c) A person who receives a payment subject to final withholding in any income year. 3a. 4.

Calculation of Tax and Tax Rate: amended by the Finance Act, 2059.(1) The amount of tax payable by any person referred to in Section 3 for an income year shall be equal to the total amount of tax payable by that person in the capacity of one or more of the persons referred to in clauses (a), (b), and (c) of that section. (2) When calculating the tax payable by any person under clause (a) of Section 3, the taxable income of that person for that income year shall be subject to the relevant rates specified in Schedule 1. While calculating tax in this manner, any tax credit amount claimed by that person under Section 51 or Section 71 added by the Finance Act, 2063. or both sections shall be deducted. (3) Notwithstanding anything contained in sub-section (2), the tax payable by a resident natural person under clause (a) of Section 3 who fulfills all of the following conditions shall be equal to the total amount of tax withheld under Section 87 from payments made by the employer to such resident natural person during that income year:- (a) The income for that income year includes only income from employment sourced in Nepal, (b) All employers during that income year are resident persons, and there is only one employer at a time, and (c) added by the Finance Act, 2063. Only the tax credit for medical expenses paid by the employer and the retirement contribution paid by the employer are claimed as deductions, and no deduction is claimed for charitable expenditure under Section 12. (4) Notwithstanding anything contained in sub-section (2), the tax payable by a resident natural person under clause (a) of Section 3 who fulfills all of the following conditions for any income year shall be equal to the amount specified in sub-section (7) of Section 1 of Schedule 1:- (a) The person has only income from business sourced in Nepal during that income year, (a1) added by the Finance Act, 2063. Does not claim tax credit under Section 51 for medical expenses and under Section 93 for advance tax withholding, (b) amended by the Finance Act, 2063. Taxable income from business is up to three lakh rupees and the business turnover does not exceed thirty lakh rupees, (c) added by the Finance Act, 2063. (d) added by the Finance Act, 2063. (4a) added by the Finance Act, 2063.

Notwithstanding anything contained in sub-section (2), the tax payable by a resident natural person under clause (a) of Section 3 who fulfills the following conditions for any income year, based on turnover, shall be equal to the amount calculated at the rate specified in sub-section (17) of Section 1 of Schedule 1:- (a) The person has only income from business sourced in Nepal during that income year, (b) amended by the Finance Act, 2063. Taxable income from business is up to ten lakh rupees and the business turnover exceeds thirty lakh rupees but added by the Finance Act, 2072. does not exceed one crore rupees, (c) added by the Finance Act, 2063. (d) The income is not from consultancy and specialized services provided by natural persons including doctors, engineers, auditors, legal practitioners, athletes, artists, and consultants. (4b) added by the Finance Act, 2063. Notwithstanding anything contained in sub-sections (4) and (4a), such person must have opted for this provision to apply for that income year. (5) When calculating the tax payable by a foreign permanent establishment under clause (b) of Section 3, such establishment shall apply the rate specified in sub-section (6) of Section 2 of Schedule 1 to the income remitted abroad during that income year. (6) The tax payable by a person under clause (c) of Section 3 shall be equal to the total amount calculated by applying the rates specified in Sections amended by the Finance Act, 2063. 87, 88, 88a, and 89 to each final withholding payment received by that person during that income year. 5. Taxable Income and Classification of Heads of Income: The taxable income of any person for any income year shall be equal to the total amount of determinable income under each of the following heads of income for that year, after deducting added by the Finance Act, 2063. any amount claimed under Section 12, 12a, 12b, 12c, 63, or all of these sections:- (a) Business, (b) Employment, added by the Finance Act, 2063. (c) Investment, and (d) added by the Finance Act, 2063. Casual gain. 6. repealed by the Finance Act, 2063.

Determinable Income: Subject to this Act, the following income from any employment, business, investment, or casual gain of any person in any income year shall be considered determinable income:- (a) Income from employment, business, investment, or casual gain of a resident person, regardless of the source of income, (b) Income from employment, business, investment, or casual gain of a non-resident person, where the source of income is in Nepal. Provided that any income exempted under Section 11 or Section 64 or both sections shall not be included in determinable income. Chapter-3 Calculation of Income 7. Calculation of Income from Business: (1) The profit and gains of any person from the operation of any business in any income year shall be the income of that person from that business for that year. added by the Finance Act, 2063. (2) When calculating the profit and gains of any person from the operation of a business in any income year, the following amounts received within that year shall be included:- (a) Service fees, (b) Amount from disposal of trading stock, (c) Net gain from the disposal of a business asset or business liability of any person calculated under Chapter 8, (d) Amount deemed to be received from the disposal of a depreciable asset of the business under clause (a) of sub-section (2) of Section 4 of Schedule 2, (e) Gift received from any person in relation to the business, (f) Amount received for agreeing to any restriction in connection with the operation of the business, (g) Amount received by a person which is directly related to that person's business, even if such amount is of a nature that would be income from investment, and (h) Other amounts required to be included under Chapter 6 or 7, or Section 56 or 60. (3) Notwithstanding anything contained in sub-section (2), amounts exempt under Sections 10, 54, and 69, and final withholding payments shall not be included when calculating profit and gains from the operation of a business. 8.

Calculation of Income from Employment: (1) The remuneration received by a natural person from employment in any income year shall be treated as the employment income of that person for that year. (2) The following payments made by an employer to a natural person in any income year shall be included when calculating the remuneration from employment of such natural person for that income year:- (a) Wages, salary, holiday pay, overtime pay, fees, commission, reward, gift, bonus, and payments for other facilities, (b) Any personal allowance payment, including dearness allowance, cost of living allowance, rent, entertainment, or transport allowance, (c) Payment received as settlement or reimbursement of expenses incurred by the person or their associate for personal purposes, (d) Payments made for agreeing to any condition of employment, (e) Payments made on termination, loss, or compulsory retirement of employment, (f) Retirement payment and retirement contributions, including amounts deposited by the employer in a retirement fund for that employee, (g) Other payments made in relation to employment, and (h) Other amounts required to be included under Chapter 6 or 7. (3) Notwithstanding anything contained in sub-section (2), the following shall not be included when calculating the remuneration from employment of a natural person:- (a) Amounts exempt under Section 10 and final withholding payments, (b) Food and snacks provided to employees at the workplace by the employer, available to all employees on equal terms, (c) Settlement or reimbursement of expenses incurred by an employee for:- (1) Expenses that serve the business purpose of the employer, or (2) Expenses that are exempt or deductible in the calculation of income from the natural person's business or investment, (d) Payments of small amounts as prescribed, where keeping accounts is impractical or administratively difficult. Explanation: For the purpose of this section, "payment" means a payment made:- (a) By the employer, (b) By an associated person of the employer, and (c) By any third party in accordance with an agreement with the employer or its associated person. 9.

Calculation of Income from Investment: (1) The profit and gains made by any person from investment in any income year shall be the income of that person from that investment for that year. amended by the Finance Act, 2076. (2) When calculating the profit and gains made by any person from investment in any However, such industries currently in operation shall, by increasing at least twenty-five percent of the installed capacity and amended by the Finance Act, 2076.by making the capital two billion rupees and providing direct employment to more than three hundred persons throughout the year, be granted a full exemption of income tax on the income derived from such capacity expansion for a period of five years, and thereafter, a fifty percent exemption on the tax payable for the subsequent three years. Inserted by the Finance Act, 2076.(3a) The exemption on income tax applicable to the income of industries established in a Special Economic Zone and the tax on dividends distributed by such industries shall be as follows:- (a) One hundred percent of the income tax payable for ten years from the date of commencement of business by an industry established in a Special Economic Zone located in a Himalayan district and a hilly district specified by the Government of Nepal, and fifty percent of the income tax payable in the subsequent income years, (b) Inserted by the Finance Act, 2076.One hundred percent of the income tax payable for five years from the date of commencement of business by an industry established in a Special Economic Zone located in areas other than those mentioned in clause (a), and fifty percent of the income tax payable in the subsequent income years, (c) One hundred percent of the tax on dividends distributed by an industry established in a Special

Economic Zone for five years from the date of commencement of business, and fifty percent for the subsequent three years, (d) Fifty percent of the income tax on income earned by foreign investors of an industry established in a Special Economic Zone from foreign technology or management service fees and royalties.

Inserted by the Finance Act, 2076.(3b) A person engaged in the business of exploration and extraction of minerals, Inserted by the Finance Act, 2076.petroleum products, natural gas, and fuel shall, if commencing commercial operations by the month of Chaitra of the year 2080, be entitled to full exemption of income tax for the first seven years from the date of commencement of operations and fifty percent exemption of income tax for the subsequent three years. Inserted by the Finance Act, 2076.(3c) There shall be Inserted by the Finance Act, 2076.seventy-five percent exemption from tax on the income of industries related to Inserted by the Finance Act, 2076.software development, data processing, cyber cafes, digital mapping established within a Zoological Park, Geological Park, Biotechnology Park, Technology Park, and Information Technology Park specified by the Government of Nepal by publishing a notice in the Nepal Gazette. Inserted by the Finance Act, 2076. Inserted by the Finance Act, 2076.(3d) Tax exemption shall be granted to a person engaged in the commercial business of electricity as follows:-

(a) Inserted by the Finance Act, 2076.A person who has obtained permission to commence commercial production, transmission, or distribution of electricity generated from hydropower, solar, wind, and biomass by the month of Chaitra of the year 2084 shall be entitled to full exemption of income tax for the first ten years from the date of commencement of commercial operations, and fifty percent exemption for the subsequent five years. Inserted by the Finance Act, 2076.Provided that, in the case of reservoir and semi-reservoir hydropower projects above forty megawatts for which financial closure is completed by the month of Chaitra of the year 2085, and lower riparian hydropower projects operated in tandem operation with such projects, there shall be full exemption of income tax for the first fifteen years and fifty percent exemption for the subsequent six years.

(b) Notwithstanding anything contained in clause (a), in the case of a licensee who has already commenced commercial production at the time of commencement of this sub-section, the provision prevailing at the time of obtaining the license shall remain applicable.

Inserted by the Finance Act, 2076.(3e) Tax exemption on income from Inserted by the Finance Act, 2076.exports in an income year from sources in Nepal shall be as follows:-

(a) In the case of income of a resident natural person, if tax is leviable at the rate of twenty percent, twenty-five percent of such tax, and if tax is leviable at the rate of thirty percent, fifty percent of such tax,

(b) Twenty percent of the tax leviable on the income of an entity,

Inserted by the Finance Act, 2076.(c) If a person earns foreign currency by exporting services based on information technology including Business Process Outsourcing, Software Programming, Cloud Computing, then fifty percent of the tax leviable on the income received in foreign currency by such person up to the fiscal year 2084/85. Inserted by the Finance Act, 2076.(3f) An entity performing the following activities shall be entitled to an exemption on the tax leviable for ten years from the date of commencement of commercial operations on the income derived therefrom, as follows:-

(a) Forty percent, if operating a tram or trolley bus,

(b) Forty percent, if constructing and operating a ropeway, cable car, sky bridge,

(c) Fifty percent, if constructing and operating a road, bridge, tunnel, railway, airport. Inserted by the Finance Act, 2076.(3g) Entities listed in the securities market and engaged in manufacturing, tourism services, hydropower generation, distribution and transmission, and entities mentioned in sub-section (3c) of Section 11 shall be entitled to a fifteen percent exemption on the tax leviable. Inserted by the Finance Act, 2076.(3h) Industries established in the least developed region and underdeveloped region for producing fruit-based brandy, cider, and wine shall be entitled to an exemption of forty percent and twenty-five percent of income tax respectively for up to ten years from the date of commencement of business. Inserted by the Finance Act, 2076.(3i) The rate of income tax leviable on royalty income received by a person from the export of intellectual property shall be exempted by twenty-five percent. Inserted by the Finance Act, 2076.(3j) The rate of income tax leviable on income received by a person from the sale of intellectual property through transfer shall be exempted by fifty percent.

Inserted by the Finance Act, 2076.(3k) Industries related to the tourism sector or airline companies operating international flights shall be entitled to tax exemption as follows:- (a) For an industry established with a capital investment of more than one billion rupees, there shall be a full exemption on the rate of income tax for five years from the date of commencement of business, and a fifty percent exemption for the subsequent three years. (b) For an industry established with a capital investment of more than three billion rupees, there shall be a full exemption on the rate of income tax for ten years from the date of commencement of business, and a fifty percent exemption for the subsequent five years. (c) For an industry established with a capital investment of more than five billion rupees, there shall be a full exemption on the rate of income tax for fifteen years from the date of commencement of business. Inserted by the Finance Act, 2076.(3l) Inserted by the Finance Act, 2076.If a Special Industry, Information Technology Industry, or an industry related to the tourism sector capitalizes its accumulated profits into shares for the capacity expansion of the same industry, there shall be a hundred percent exemption on the dividend tax payable in the form of dividend distribution on such capitalization. Inserted by the Finance Act, 2076 Inserted by the Finance Act, 2076.(3m) If a company operating as a Private Company with a paid-up capital of fifty crore rupees or more Inserted by the Finance Act, 2076.converts into a Public Company and carries on business, there shall be a ten percent exemption on the tax leviable for three years from the date of such conversion into a Public Company. Provided that a company required to be incorporated as a Public Company under Section 12 of the Company Act, 2063 shall not be entitled to the facility under this sub-section. Inserted by the Finance Act, 2076.(3n) The rate of income tax leviable on income received by industries producing and processing domestic tea, industries dealing in dairy products, and industries producing textiles from the sale of their products shall be exempted by fifty percent. Inserted by the Finance Act, 2076.(3o) There shall be a twenty percent exemption on the tax leviable on the taxable income of health institutions operated by community organizations.

Inserted by the Finance Act, 2076.(3p) A micro enterprise shall be fully exempt from income tax for inserted by the Finance Act, 2076.seven years from the date of commencement of business or operations. If such a micro enterprise is operated by a woman entrepreneur, there shall be a full exemption from income tax for an additional inserted by the Finance Act, 2076.three years. Inserted by the Finance Act, 2076.(3q) If an entity, in any income year, undertakes projects such as constructing and operating public infrastructure structures and transferring them to the Government of Nepal, and constructing, generating, and transmitting power houses, such entity shall be entitled to a twenty percent exemption on the tax leviable on its taxable income. Inserted by the Finance Act, 2076.(3r) A Special Industry established or relocated and operating in an Industrial Area or Industrial Village shall be entitled to a fifty percent exemption on the tax leviable for three years from the date of commencement of production, and a twenty-five percent exemption for the subsequent five years. 116(3s) There shall be a twenty percent exemption on tax leviable on income received from selling raw materials or auxiliary raw materials produced domestically to a Special Industry. 117(3t) A start-up business specified by the Department, using innovative knowledge, ideas, skills, technology, practices, and methods, and having an annual turnover of up to ten crore rupees amended by the Finance Act, 2078.shall be entitled to a hundred percent exemption on the tax leviable for five years from the date of commencement of business. 119(3u) If any Special Industry operating in the Kathmandu Valley is relocated and operates outside the Kathmandu Valley, there shall be a hundred percent exemption on the tax leviable for three years from the date of such relocation and operation, and fifty percent exemption for the subsequent two years. 120(3v) An industry that produces new goods using only used goods that have a direct impact on the environment as raw materials shall be entitled to a fifty percent exemption on the tax leviable for the first three years from the date of commencement of business, and a twenty-five percent exemption for the subsequent two years. 121(3w) An industry producing health vaccines, oxygen gas, and sanitary pads shall be entitled to a hundred percent exemption on the tax leviable for amended by the Finance Act, 2078.five years from the date of commencement of production, and a fifty percent exemption for the subsequent two years.

123(3x) An industry established by the month of Asar of the year 2082 with the objective of producing and assembling electric vehicles shall be entitled to a forty percent exemption on the tax leviable for five years from the date of commencement of business. 124(3y) An industry established by the month of Asar of the year 2082 with the objective of producing agricultural tools shall be entitled to a hundred percent exemption on the tax leviable for five years from the date of commencement of business. 125(3z) An industry producing green hydrogen shall be exempt from income tax for five years from the date of commencement of business. 126(3aa) An industry producing and assembling charging machines for vehicles operated by electrical energy shall be exempt from income tax for five years from the date of commencement of business. 127(3bb) A person constructing or establishing and operating an Industrial Area or Industrial Village shall be fully exempt from income tax for the first ten years from the date of commencement of business, and fifty percent exempt for the subsequent five years. 128(4) If a person carries out transactions eligible for different tax exemption facilities under this section, while calculating income to avail such facility, the income must be calculated considering it as income received by separate persons. 129(5) A person entitled to more than one exemption under this section in relation to the same income shall, in addition to the facility under amended by the Finance Act, 2078.(2a), be entitled to only one exemption of his/her choice. (6) Notwithstanding anything contained in sub-section (3), if the assets used to operate an industry pursuant to clause (b) of that sub-section were previously used by another person to operate the same type of industry, the period of such use shall also be counted when calculating the time limit under that sub-section. Explanation: For the purpose of this section,- (?) "Agri-business" shall be understood to mean the business of producing crops from public or private land or receiving rent or crops from a tenant using the land. 131(b) "Least developed", "underdeveloped", and "less developed region" shall be understood to mean the areas mentioned in Schedule-10 of the amended by the Finance Act, 2078.Industrial Business Act, 2076.

133(c) "Special Industry" shall be understood to mean manufacturing, agriculture and forest produce-based industries, and mineral industries classified in sub-section (2) of Section 17 of the amended by the Finance Act, 2078.Industrial Business Act, 2076, excluding industries producing cigarettes, bidis, cigars, chewing tobacco, khaini, gutka, pan masala, other products of a similar nature whose main raw material is tobacco, alcohol, beer, and goods of a similar type. 135(d) "Micro Enterprise" shall be understood to mean a micro enterprise classified in clause (a) of sub-section (1) of Section 17 of the amended by the Finance Act, 2078.Industrial Business Act, 2076. 136(e) "Information Technology Industry" shall be understood to mean industries related to Technology Park, Information Technology Park, Biotech Park, Software Development, Data Processing, Digital Mapping, Business Process Outsourcing, Data Mining, Cloud Computing. 138(7) Notwithstanding anything contained in sub-sections (3a) and (3c), if the asset used to operate the industry or business mentioned in those sub-sections is an old asset previously used by another person to operate the same type or other type of industry or business, the facility under those sub-sections shall not be available. 139 11a. Tax on construction and operation of infrastructure structures: If an agreement is made between the Government of Nepal and any person for the construction and operation of infrastructure structures, the tax facilities provided by the Act in force at the time of making such agreement shall be available to the person constructing and operating such infrastructure for the duration of the agreement. 140 11b. 141 11c. 142 12. Donations made to tax-exempt organizations: (1) A person may, while calculating his/her taxable income for any income year, claim a deduction for the amount donated to a tax-exempt organization approved by the Department for the purpose of this section. 143(2) Notwithstanding anything contained in sub-section (1), the expenditure deductible under that sub-section in any income year shall not exceed the lower of one hundred thousand rupees or five percent of the adjusted taxable income of such person for that year. (3) Notwithstanding anything contained in sub-sections (1) and (2), the Government of Nepal may, in a specific case, by publishing a notice in the Nepal Gazette, specify that the amount expended or donated by a person for a particular purpose may be deducted wholly or partially from the income of such person while determining his/her income. 144 12a.

Expenditure on heritage conservation and sports development: A company may, in any income year, having obtained prior approval of the Department, claim a deduction while calculating its taxable income for that year, of an amount equal to the lower of up to ten lakh rupees of the expenditure incurred on the conservation and promotion of ancient, religious, and cultural heritage located within Nepal or on the construction of public physical infrastructure for sports, or ten percent of its determinable income. 145 12b. Contribution made to the Prime Minister's Disaster Relief Fund and the Reconstruction Fund established by the Government of Nepal: A person may, while calculating the taxable income for any income year, deduct the amount contributed in that year to the Prime Minister's Disaster Relief Fund and the Reconstruction Fund established by the Government of Nepal. 146 12c. Seed capital provided to start-up businesses: If a person provides seed capital grants of up to one lakh rupees per business to a maximum of five start-up businesses, other than related persons, such amount may be deducted as an expense while calculating taxable income. Chapter 5 Deductible Amounts 13. General deduction: A person shall be entitled to deduct the following expenses related to the business, while calculating income from any business or investment in any income year, subject to this Act:- (?) Incurred in that income year, (b) Incurred by that person, and (c) Incurred in the activity of earning income from the business or investment. 14. Interest deduction: (1) A person shall, for the purpose of calculating income from a business or investment in any income year, be entitled to deduct all interest incurred in that year in respect of the following debt obligation created for the purpose of earning business or investment income of that person as amended by the Finance Act, 2078.:- (?) If a debt obligation is created for borrowing any amount, such amount has been used in the same year or used to purchase any asset used in that year, or (b) In any other case, leading to the creation of such debt obligation.

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(2) Notwithstanding anything contained in sub-section (1), if a resident entity controlled by a tax-exempt organization makes interest payment to the controlling person or a related person in any income year, the amount of such interest deductible under sub-section (1) shall not exceed the total of the following amounts:-

(?) All interest amounts received in that year to be included in the calculation of the entity's taxable income, and

(b) Fifty percent of the amended by the Finance Act, 2078.adjusted taxable income of the entity for that year, calculated without including any interest received from the entity or deducting any interest paid to the entity.

(3) Any interest not allowed or not deducted under sub-section (2) may be carried forward and treated as incurred in subsequent income years. Explanation: For the purpose of this section, for any income year, "resident entity controlled by a tax-exempt organization" shall be understood to mean an entity which is a resident entity in that year and in which, at any time during that year, a beneficial ownership or control of twenty-five percent or more is held by the following persons or organizations:-

(?) A tax-exempt organization and a person related to it,

(b) A person exempt from tax under Section 11 in that year or a person related to such person,

(c) A non-resident person or a person related to a non-resident person, or

(d) Any combination of persons mentioned in clauses (?), (b) and (c). 15.

Allowance for cost of trading stock: (1) For the purpose of calculating income from a business of a person in any income year, no expense other than the cost allowance calculated under sub-section (2) in respect of the disposal of the business's trading stock in that year shall be deductible. (2) The cost allowance under sub-section (1) shall be calculated by deducting the amount in clause (b) from the amount in clause (a) as follows:- (?) The amount obtained by adding the cost of trading stock acquired by the business in that year to the opening value of the business's trading stock in any income year, (b) The amount of the closing value of the business's trading stock in the income year under clause (?). (3) The opening value of a business's trading stock in any income year shall be the closing value of that business's trading stock at the end of the preceding income year. (4) The lower of the following amounts shall be considered as the closing value of the business's trading stock for that income year:- (?) The cost of the business's trading stock at the end of the income year, or (b) The market value of the business's trading stock at the end of the income year. (5) A person, while calculating the cost of trading stock of the business, shall do so subject to Section 45 and sub-section (6), as follows:- (?) In the case of a person maintaining accounts on a cash basis for calculating business income, by using the prime cost or absorption cost method, and (b) In the case of a person maintaining accounts on an accrual basis for calculating business income, by using the absorption cost method. (6) Amended by the Finance Act, 2072.If the trading stock of a person's business cannot be determined, such person may choose to calculate the cost of trading stock using the First-In First-Out method or Weighted Average Cost method. (7) While calculating the cost of trading stock under sub-section (5), the calculation shall be done as follows:- (?) When calculating according to the absorption cost method, the cost of trading stock shall be calculated to be equal to the sum of direct material cost, direct labor cost, and factory overhead cost under generally accepted accounting principles. (b) When calculating according to the prime cost method, the cost of trading stock shall be calculated to be equal to the sum of direct material cost, direct labor cost, and variable factory overhead cost under generally accepted accounting principles. (8) While calculating the cost of trading stock under sub-section (6), the calculation shall be done as follows:- (?) When calculating according to the weighted average cost method, the calculation shall be done based on the weighted average cost of all trading stock of the same type in the business under generally accepted accounting principles. (b) When calculating according to the first-in first-out method, the calculation shall be done on the basis that trading stock acquired first is disposed of first under generally accepted accounting principles.

Explanation: For the purpose of this section,-

(?) "Direct labor cost" shall be understood to mean labor costs directly related to the production of trading stock.

(b) "Direct material cost" shall be understood to mean the cost of materials that are or will be an integral part of the trading stock.

(c) "Factory overhead cost" shall be understood to mean the total cost incurred in producing trading stock, excluding direct labor and direct material cost. Inserted by the Finance Act, 2072.Provided that factory overhead cost shall not include any amount for repairs and improvements and depreciation deductions.

(d) "Variable factory overhead cost" shall be understood to mean factory overhead costs that change directly with changes in the quantity of trading stock produced. Inserted by the Finance Act, 2072.Provided that variable factory overhead cost shall not include any amount for repairs and improvements and depreciation deductions.

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16. Repair and improvement expenses: (1) A person shall, while calculating income from any business or investment in any income year, be entitled to deduct all expenses incurred in that year on the repair or improvement of depreciable assets owned and used for earning income from that business or investment.

(2) Amended by the Finance Act, 2072.Notwithstanding anything contained in sub-section (1), the deductible expense under that sub-section shall not exceed seven percent of the depreciation base amount of the class of assets at the end of that income year. Provided that this limit shall not apply to the maintenance expenses incurred by a person providing air transport services on testing aircraft in accordance with the standards determined by the Civil Aviation Authority of Nepal.

(3) Amended by the Finance Act, 2072.Any excess expense for repairs and improvements that cannot be deducted as a result of the limit under sub-section (2), or a part thereof, may be added to the depreciation base amount of the relevant class of assets at the beginning of the subsequent income year. 17. Pollution control expenses: (1) A person shall, for the purpose of calculating income from any business in any income year, be entitled to deduct pollution control expenses to the extent incurred in that year in operating that business.

(2) Amended by the Finance Act, 2072.Notwithstanding anything contained in sub-section (1), while calculating the limit of deductible expenses under that sub-section in any income year, it shall not exceed fifty percent of the adjusted taxable income of all businesses operated by such person.

(3) Any excess expense not deductible beyond the limit mentioned in sub-section (2), or any part thereof, may be capitalized at the beginning of the amended by the Finance Act, 2072.subsequent income year and depreciated in accordance with Schedule 2.

Explanation: For the purpose of this section, "pollution control expense" shall be understood to mean an expense incurred by a person in connection with any process for the purpose of controlling pollution or otherwise protecting or preserving the environment. 18. Research and development expenses: (1) A person shall, for the purpose of calculating income from any business in any income year, be entitled to deduct research and development expenses to the extent incurred in that year in operating that business.

(2) Amended by the Finance Act, 2072.Notwithstanding anything contained in sub-section (1), while

calculating the limit of deductible expenses under that sub-section in any income year, it shall not exceed fifty percent of the adjusted taxable income of all businesses operated by such person.

(3) Any excess expense not deductible beyond the limit mentioned in sub-section (2), or any part thereof, may be capitalized at the beginning of the amended by the Finance Act, 2072.subsequent income year and depreciated in accordance with Schedule 2. Explanation: For the purpose of this section, "research and development expense" shall be understood to mean an expense incurred by a person for the purpose of developing his/her business and improving commercial products or processes. Provided that such expense shall not include the cost of acquiring any asset mentioned in sub-section (3) of Section 1 of Schedule 2. 19.

Depreciation deduction expense: (1) A person shall, for the purpose of calculating income from any business or investment in any income year, be required to amended by the Finance Act, 2072.deduct a depreciation expense on depreciable assets owned and used by him/her in that business or investment in that year, in accordance with Schedule 2. (2) Notwithstanding anything contained in sub-section (1), in respect of depreciation deductions for machinery, equipment, and other machinery installed in projects where an entity constructs and operates public infrastructure structures and transfers them to the Government of Nepal, and projects for the construction, generation, and transmission of power houses, it shall be as follows:- (?) If machinery, equipment, and other machinery currently installed become old or worn out and unusable, and new machinery, equipment, and other machinery must be installed in their place, the value remaining after deducting the depreciation up to that income year from the cost of the old or worn out unusable assets installed previously may be deducted as an expense in the income year of such installation. (b) In respect of assets other than the old assets replaced under clause (?), if any value remains after deducting the depreciation up to the income year of transfer from the cost of such assets at the time such entity transfers such projects to the Government of Nepal, such remaining value may be deducted as an expense. 20. Loss from business or investment: (1) A person shall, for the purpose of calculating income from a business or investment in any income year, be entitled to deduct the following losses:- (?) Any unabsorbed loss of that year incurred by such person from any other business, and (b) Amended by the Finance Act, 2072.The unabsorbed losses of the preceding seven income years incurred by such person from any business.

Provided that, in the case of a project for constructing and operating public infrastructure structures and transferring them to the Government of Nepal, a project for constructing, generating, and transmitting power houses, and an entity carrying out petroleum operations under the Nepal Petroleum Act, 2040, the unabsorbed losses of the preceding twelve years.

(2) Amended by the Finance Act, 2072.For the purpose of calculating income from any investment of a person in any income year, such person shall be entitled to deduct the unabsorbed loss of that year incurred from any other investment, and the unabsorbed losses of the preceding seven income years incurred by such person from that investment and any other investment.

(3) Subject to sub-sections (1) and (2), for the purposes of those sub-sections, any unabsorbed loss incurred by a person in respect of foreign sources shall be deductible only when calculating income of that person from foreign sources, and any unabsorbed loss incurred when receiving non-taxable income shall be deductible only when calculating the non-taxable income of that person.

(4) Subject to sub-sections (1) and (2), if a person incurs a loss in the income year in which a long-term contract obtained through international competition is completed or otherwise disposed of, or if any unabsorbed loss that may be carried forward to subsequent years under clause (b) of sub-section (1) relates to a long-term contract, the Department may, by providing written notice, permit such loss to be treated as

follows:-

(?) Carried back to a preceding income year or years, and

(b) The loss shall be considered unabsorbed only to the extent that the amounts to be included as income exceed the amounts to be deducted as expenses in calculating the income of the business related to that long-term contract for that year or years.

(5) The following losses incurred by a person in any income year shall be allocated and deemed to relate to the long-term contract or contracts of such person:-

(?) Loss arising from the long-term contract or contracts related to the business, and

(b) For each such contract, the loss arising from the excess of expenses deductible in calculating the income from the business for the year related to that contract over the amounts to be included related to that contract.

(6) If a person is entitled to deduct an unabsorbed loss from more than one business or investment while calculating income from more than one business or investment in any income year, such person may determine the priority of the business or investment from which to deduct such loss or portion of the loss.

(7) While calculating the loss incurred by a person from any business or investment in any income year, if the deductible amounts exceed the amounts to be included in calculating the income of such person from that business or investment without applying this section, the calculation shall be made for the amount of such excess.

Inserted by the Finance Act, 2076.(8) If a person has obtained full tax exemption on business or investment income in any income year, the loss incurred in such income year shall not be allowed to be carried forward to subsequent income years. 21. Non-deductible expenses: (1) Notwithstanding anything contained elsewhere in this Act, the following expenses or amounts shall not be deductible by a person for the purpose of calculating income from any business, employment, or investment in any income year:-

(?) Expenses of a domestic or personal nature,

(b) Tax payable under this Act and fines and similar charges paid for violation of any law or any rule or regulation made under such law to the government of any country and any local authority thereof,

Inserted by the Finance Act, 2076.Inserted by the Finance Act, 2077 Tax paid to the provincial government and local level shall be deductible as an expense.

(c) Expenses incurred by a person to the extent of receiving amounts exempt under Section 10 or expenses incurred to receive amounts that have been finally taxed,

(d) Expenditure on account of payments mentioned in sub-section (2),

Inserted by the Finance Act, 2076.(1) Except for wage payments of up to three thousand rupees of a casual nature, the remuneration and wage expenses distributed to employees and workers who have not obtained a Permanent Account Number,

Inserted by the Finance Act, 2077.(2) Expenses on account of invoices exceeding two thousand rupees where the Permanent Account Number is not mentioned,

Provided that for the purchase of agricultural, forest, animal, and other household goods directly from a natural person not engaged in commercial transactions, such purchase expense shall be valid even if the seller has not obtained a Permanent Account Number.

(e) Distribution of profits made by an entity, deleted by the Finance Act, 2076

Inserted by the Finance Act, 2076.(1) Remuneration exceeding twenty-five thousand rupees per month per person for which payment has not been made through a bank, or

(f) Any other amounts not specifically stated as non-deductible in clauses (a), (b), (c), (d), (e), and (f), except as provided under this Chapter or Chapters 6, 7, 10, 11, 12, or 13, as amended by the Finance Act, 2076.

(2) A person with an annual turnover exceeding twenty lakh rupees in any income year shall not be entitled to deduct any cash payment exceeding fifty thousand rupees in a single instance in that income year, except in the following circumstances:-

(?) Payment made to the Government of Nepal, constitutional bodies, corporations owned by the Government of Nepal, or banks or financial institutions,

(b) Payment to a farmer or producer of primary agricultural produce, and even if such produce has undergone primary processing, the amount paid to the farmer for processing done by the farmer himself/herself,

(c) Payment on account of retirement contribution or retirement payment,

(d) Payment made in a location where banking services are not available,

(e) Payment made on a day when banking services are closed, or payment where there is an unavoidable compulsion to pay in cash, or

(f) Amount deposited into the bank account of the payee.

(3) Subject to the provisions of Sections 14, 15, 16, 17, 18, 19, 20, and 71, no amount on account of capital expenditure or foreign income tax shall be deductible.

Explanation: For the purpose of this section, -

(?) "Expenses of a domestic or personal nature" shall be understood to include the following expenses:-

(1) Private expenses of a as amended by the Finance Act, 2076.natural person, including interest on loans to the extent used personally, the following expenses:-

(?) Expenses incurred for the natural person, including providing residence, food, snacks, recreation, or other leisure activities,

(b) Expenses incurred by a natural person for traveling from home to the place of business or investment, except traveling in the course of business or investment,

(c) Expenses incurred for the purchase of clothes for a natural person, except clothes unsuitable for wearing outside of working hours, and

(d) Expenses incurred for education or training. Provided that expenses incurred solely for education directly related to business or investment of a type that does not result in obtaining a degree or diploma shall be deductible.

(2) Expenses incurred by a person in connection with payments made to a natural person, and expenses

incurred for a third party, except under

(e) In relation to payments other than those mentioned in clauses (a), (b), (c) and (d), an amount equal to the value of the benefit that would ordinarily arise if a third party received the payment on behalf of the person entitled to receive it.

(2) In relation to clauses (a) and (e) of sub-section (1), the time when the payment is earned, received, made, borne, or otherwise accounted for for tax purposes shall be considered the time when the amounts are quantified. 28. Conversion into Nepalese Rupees: (1) For the purposes of this Act, if the income of any person and the amounts to be included in or deducted from the determination of such income are denominated in a currency other than the Nepalese Rupee, such amount shall be converted into Nepalese Rupees.

(2) Where an amount to be included in or deducted from the calculation of income for any income year of a person is denominated in a currency other than the Nepalese Rupee, such amount shall be converted into Nepalese Rupees at the exchange rate prevailing at the time the amount was received, expended, given, paid, or otherwise accounted for for tax purposes.

(3) Notwithstanding anything contained in sub-section (2), for the purposes of that sub-section, if the Department has, by notice in writing, granted permission, a person may use the average exchange rate specified by the Department for that income year. Added by Finance Act, 2063.29.

Indirect Payments: If any person indirectly benefits from a payment made by the payer or a person associated with the payer, or nominates another person to receive the payment, the Department may, by notice in writing, treat the person who so benefits or nominates such other person as the person receiving the payment. 30. Investment in Joint Ownership: For the purposes of calculating the income derived by any person from an investment held in joint ownership with another person, the amounts to be included in or deducted from the calculation of income shall be allocated among the joint owners in proportion to their respective interests in the investment. 31. Characterization of Compensation Payments: Where any person or an associated person receives any compensation amount, including an insurance payment, in respect of the following, such compensation amount shall, at the time of receipt, be included in the calculation of income from employment, business, or investment, as the case may be:- (a) compensation for any income received or receivable by that person from any business, employment, or investment, or for any amount included in the calculation of such income, or (b) compensation for any loss incurred or likely to be incurred by that person in any business or investment, or for any expenditure amount deductible in the calculation of that person's income. Added by Finance Act, 2063.Provided that: (1) Compensation payment received for physical injury resulting from a personal accident of a resident natural person shall not be included in income, and the expenses incurred for the treatment of such injury shall not be eligible for a medical tax credit claim under Section 51. (2) Compensation amount received upon the death of a natural person shall not be included in income. 32.

If such a schedule cannot be provided, the interest and capital elements shall be allocated among the payments under sub-section (1) by treating the annuity, installment sale, or finance lease as a blended loan with interest compounded semi-annually.

(4) Where payments under sub-section (1) are treated as a blended loan, the interest rate shall be uniform throughout the loan term, and the interest portion shall be calculated on the outstanding principal (capital) at each payment time, with the debtor making a partial payment of principal and a partial payment of interest.

(5) For a lease under this section to be a finance lease, the following conditions must be satisfied:-
(a) the lease agreement provides for the transfer of ownership at the end of the lease term or grants the lessee an option to purchase the asset at a fixed or predetermined price at the end of the lease term,
(b) the lease term exceeds seventy-five percent of the useful life of the asset,
(c) the estimated market value of the asset at the end of the lease term is less than twenty percent of the market value of the asset at the inception of the lease,
(d) for a lease commencing within the last twenty-five percent of the asset's useful life, the present value of the minimum lease payments equals or exceeds ninety percent of the market value of the asset at the commencement of the lease term, or
(e) the asset is specially tailored for the lessee and, after the lease term ends, the asset is of no practical use to any person other than the lessee.

(6) Each payment under sub-section (1) shall be divided into two parts as per sub-section (3), and the interest element shall be treated as interest paid or payable under a debt claim, and the capital element shall be treated as a repayment of capital.

(7) The lessee under a finance lease shall be treated as the owner of the leased asset, and the lessor shall be treated as having a debt claim against the lessee.

(8) The present value of lease payments shall be calculated using a discount rate equal to the normal interest rate. Explanation: For the purposes of this section, "lease term" shall include any additional period for which the lessee has the option to renew the lease. 33.

Transfer Pricing and Other Arrangements between Associated Persons: Amended by Finance Act, 2063. (1) Where an arrangement exists between associated persons, the Department may, by notice in writing, distribute, apportion, or allocate the amounts to be included in or deducted from the calculation of income between those persons in a manner that reflects the taxable income or tax payable that would have arisen for them had the arrangement been conducted at arm's length. (2) In doing anything under sub-section (1), the Department may:- (a) recharacterize the source and nature of any income, loss, amount, or payment, or (b) where expenses, including head office expenses, incurred by a person in carrying on a business benefit an associated person or persons, allocate such expenses among the associated persons on a basis commensurate with the business transactions. Added by Finance Act, 2063.(3) The method for evaluating transfer pricing between associated persons under this section shall be as determined by the Department. 34. Fragmentation of Income: (1) In order to prevent a person from attempting to split their income with another person, thereby reducing the tax liability payable, the Department may, by notice in writing, adjust the amounts to be included in or deducted from the calculation of the income of each person. (2) The circumstances mentioned in sub-section (1) shall include attempts to split income, directly or indirectly through one or more intermediaries, by transferring the following amounts between a person and an associated person for the purpose of reducing tax payable by that person or the associated person:- (a) amounts receivable or expenses payable, or (b) amounts receivable by the person to whom any property is transferred from such property, amounts consumed, expenses incurred, or payments made for owning such property. (3) In determining whether a person has sought to split income under sub-section (2), the Department shall base its determination on the market value of any payment made for the transfer. 35. General Anti-Avoidance Rule: For the purposes of ascertaining tax liability under this Act, the Department may:- (a) recharacterize any arrangement or part of an arrangement made or sought to be made as part of a tax avoidance plan, (b) disregard any arrangement or part of an arrangement that does not have any substantial economic effect, or (c) recharacterize any arrangement or part of an arrangement that lacks substantial effect. Explanation: For the purposes of this section, "tax avoidance plan" means any arrangement whose main purpose is to obtain relief from a tax liability or to reduce a tax liability.

Chapter 8 Determination of Net Gain from Disposition of Assets and Liabilities 36. Net Gain from Disposition of Assets and Liabilities: (1) For any income year, the net gain from the disposition of business assets or liabilities of a business of a person shall be calculated by deducting the following losses from the total of all gains from the disposition of business assets or liabilities of that business in that income year:- (a) the total of all losses incurred in that year from the disposition of business assets or liabilities of the business, (b) losses from the net loss incurred in that year from any other business of that person, to the extent not otherwise deducted, and (c) losses from the net loss incurred in prior years from that business or any other business of that person, to the extent not previously deducted. (2) For any income year, the net gain from the disposition of taxable non-business assets of an investment of a person shall be calculated by deducting the following losses from the total of all gains from the disposition of taxable non-business assets of that investment in that income year:- (a) the total of all losses incurred in that year from the disposition of taxable non-business assets of that investment, (b) losses from the net loss incurred in that year from any other business or investment of that person, to the extent not otherwise deducted, and (c) losses from the net loss incurred in any prior income year from that investment, any business, or any other investment of that person, to the extent not previously deducted. (3) A person may claim a deduction under sub-section (1) or (2) for a loss from the disposition of a foreign source asset or liability only to the extent of gains from the disposition of foreign source assets or liabilities. (4) If a person can deduct a net loss incurred from more than one business or investment calculation under sub-section (1) or (2), the person may choose which calculation or calculations to deduct the loss or portion thereof.

Explanation: For the purposes of this section:-
(1) "Net loss" means:-
(a) in relation to a business, the amount by which losses incurred in any income year from the disposition of business assets or liabilities of that business exceed the gains from the disposition of business assets or liabilities of that business in that year, and
(b) in relation to an investment, the amount by which losses incurred in any income year from the disposition of taxable non-business assets of that investment exceed the gains from the disposition of taxable non-business assets of that investment in that year.
(2) "Undeducted net loss" means, in relation to a business or investment:-
(a) the loss from the net loss of that business or investment for any income year that is not deducted under clause (b) or (c) of sub-section (1) or clause (b) or (c) of sub-section (2), and
(b) any undeducted loss of that business or investment under sub-section (7) of section 20 that cannot be relieved as an expense due to the time limitation in sub-section (1) or (2) of section 20. 37. Gain and Loss from Assets and Liabilities: (1) The gain of a person from the disposition of any asset or liability shall be calculated as the amount by which the total receipts in respect of that asset or liability exceed the total outgoings in respect of that asset or liability at the time of disposition.
(2) The loss of a person from the disposition of any asset or liability shall be calculated as the amount by which the total outgoings in respect of that asset or liability exceed the total receipts in respect of that asset or liability at the time of disposition. 38. Outgoings and Net Outgoings on Assets and Liabilities: (1) Subject to this Act, the outgoings of a person in respect of an asset or liability shall include the following expenses:-
(a) in respect of any asset, expenses incurred by that person in acquiring the asset, including:
(1) relevant expenses for the construction or production of the asset, and
(2) any amount required to be included in the calculation of that person's income by reason of the acquisition

of such asset.
(b) expenses incurred by the person in holding the asset or liability, including expenses for alteration, improvement, and maintenance of the asset or liability, and in the case of an asset, expenses incurred for its maintenance,
(c) expenses incurred by the person in disposing of the asset or liability, and
(d) incidental expenses incurred by the person in acquiring the asset or incurring the liability and in disposing of such asset or liability.

Provided that such expenses shall not include expenses under clauses (a), (b), (c), (d), and (e) of sub-section (1) of section 21 and expenses to the extent deductible in determining income.

(2) At any particular time, the net outgoings in respect of an asset or liability shall be calculated as the amount by which the total of all outgoings in respect of that asset or liability exceeds the total of all receipts in respect of that asset or liability at that time.

(3) Where expenditure amounts deducted in calculating income under Chapters 6 and 7 are considered as outgoings in respect of an asset or liability, the provisions of sub-section (1) shall apply. Provided that section 26 shall not apply in relation to the aforementioned provisions. 39. Receipts and Net Receipts on Assets and Liabilities: (1) Subject to this Act, the receipts of a person in respect of an asset or liability shall include the following amounts:-
(a) amounts received by the person in respect of incurring the liability,
(b) amounts receivable by the person in connection with acquiring the asset or incurring the liability, including amounts received by way of change or diminution in the value of an asset or increase in a liability, and
(c) amounts received or receivable by the person in connection with the disposition of such asset or liability. Provided that such receipts shall not include tax-exempt amounts, finally deducted Amended by First Amendment. payments, or amounts included in the income of that person in determining the income.

(2) At any particular time, the net receipts in respect of an asset or liability shall be calculated as the amount by which the total receipts in respect of that asset or liability exceeds the total outgoings in respect of that asset or liability at that time.

(3) Where amounts included in income in calculating income in relation to matters mentioned in Chapters 6 and 7 are considered as receipts in respect of an asset or liability, sub-section (1) shall apply. Provided that section 26 shall not apply in relation to the aforementioned provisions. 40. Disposition of Asset or Liability: (1) A person is considered to have disposed of an asset if the person ceases to have ownership of it. Disposition of an asset shall include acts such as distribution of the asset by the owner, merging the asset into another asset or liability, sale by way of installment sale, leasing to another person under a finance lease, cancellation, destruction, loss, expiry, or surrender.
(2) A person is considered to have disposed of a liability if the person is relieved of the burden of that liability.

Disposition of a liability shall include acts such as settlement, cancellation, release, termination, or merging into another liability or asset.
(3) Notwithstanding anything contained in sub-sections (1) and (2), a person shall be deemed to have disposed of an asset or liability in the following circumstances:-
(a) in the case of a natural person, immediately before the death of that person,
(b) in respect of an asset, if the total receipts in respect of that asset exceed the total outgoings in respect of that asset,
(c) in respect of a debt claim:-

(1) in relation to a debt claim of a bank or financial institution, when it becomes a bad loan according to specified criteria, and
(2) in any other case, where the person reasonably believes that the debt claim is irrecoverable. Provided that the person must have taken all reasonable steps to recover the debt claim.
(d) in a situation where a person changes the type of business asset, non-business taxable asset, depreciable asset, or trading stock by commencing to use such asset in a different form, immediately before using the changed form of the asset,
(e) in relation to an entity, in the circumstances under section 57, and
(f) in the case of a non-resident person, except for land or buildings situated in Nepal, immediately before the person becomes a non-resident.
(4) If a person disposes of an asset by leasing it under a finance lease as per sub-section (1), the person to whom the asset is leased shall be deemed to have acquired ownership of the asset at the time of the disposition.
(5) For the purposes of calculating the gain derived by a person from the disposition of assets and liabilities:-
(a) the amount of net outgoings in respect of any asset owned by that person at the commencement of this Act shall be deemed equal to the prevailing market value of that asset at that time,
(b) the amount of net receipts in respect of any liability of a person at the commencement of this Act shall be deemed equal to the amount according to the prevailing market value of that liability at that time. 41.

Deemed Disposition with Retention of Asset or Liability: If a person disposes of any asset or liability in any manner mentioned in clauses (c), (d), (e), and (f) of sub-section (3) of section 40, the following shall apply:- (a) in respect of an asset:- (1) the person shall be deemed to have received, as consideration for the disposition, an amount equal to the market value of the asset at the time of disposition, and Amended by Finance Act, 2076.(2) upon a subsequent disposal of such asset, the net outgoings (net outgoings) made in respect of that asset up to the time of the deemed disposal under this section shall be deemed to be equal to the receipt amount. (b) in respect of a liability:- (1) the person shall be deemed to have incurred, as consideration for the disposition, an expense equal to the market value of the liability at the time of disposition, and Amended by Finance Act, 2076.(2) upon a subsequent disposal of such liability, the net receipts in respect of the liability under sub-clause (1) up to the time of the deemed disposal under this section shall be deemed to be equal to the expense amount. 42. Disposition by way of Installment Sale or Finance Lease: If a person disposes of any asset to another person by way of an installment sale or a lease under a finance lease, the following shall apply:- (a) the person disposing of the asset shall be deemed to have received, from the disposition at the time of disposition, an amount equal to the market value of the asset, and (b) the person acquiring the asset from the disposition shall be deemed to have incurred a cost equal to the amount mentioned in clause (a). Provided that this provision shall not apply where the provision of section 45 applies. 43. Transfer of Assets to Spouse or Former Spouse: If a natural person who is divorced or separated after partition disposes of an asset by transferring it to their spouse or former spouse, and that spouse or former spouse makes a written election to have this section apply, the following shall apply:- (a) that person shall be deemed to have received, as consideration for the disposition, an amount equal to the net outgoings in respect of that asset immediately before the disposition, and (b) the person acquiring the asset through the transfer shall be deemed to have incurred a cost equal to the amount mentioned in clause (a). 44.

Amended by Finance Act, 2076.(c) In the case of an asset transferred under sub-clause (5) of clause (d) of section 2 of the Act, the cost of the transferor shall be deemed to be the cost of the person acquiring the asset by transfer.

(2) Notwithstanding anything contained in sub-section (1), if a person disposes of ownership of an asset held as a business asset, non-business Amended by Finance Act, 2076. taxable asset, or trading stock by transferring it to an associated person, and the conditions in sub-section (6) are met, the following shall apply:-
(a) that person shall be deemed to have received, as consideration for that disposition, an amount equal to the net outgoings in respect of that asset immediately before the disposition, and
(b) the person acquiring the asset through the transfer shall be deemed to have incurred a cost equal to the amount mentioned in clause (a).

(3) Notwithstanding anything contained in sub-section (1), if a person disposes of ownership of a depreciable asset by transferring it to an associated person, or if such asset falls under any group of depreciable assets, and the conditions in sub-section (6) are met, the following shall apply:-
(a) that person shall be deemed to have received, as consideration for that disposition, an amount equal to the written down value under the diminishing balance method for that group according to section 4 of Schedule 2 at the time of the disposition, and
(b) the person acquiring the asset through the transfer shall be deemed to have incurred a cost equal to the amount mentioned in clause (a).

(4) If a person disposes of a liability by transferring it to an associated person, or to any other person without any Amended by Finance Act, 2076. consideration, the following shall apply:-
(a) that person shall be deemed to have incurred, as consideration for that disposition, an expense equal to the lower of the market value or the net receipts in respect of that liability immediately before the disposition, and
(b) the person to whom the liability is transferred shall be deemed to have received, in connection with assuming that liability, an amount equal to that liability.

Provided that this provision shall not apply where the provisions of sections 43 and 44 apply.

(5) If a person disposes of a liability incurred in deriving income from a business by transferring it to an associated person, fulfilling the conditions in sub-section (6), the following shall apply:-
(a) that person shall be deemed to have incurred, for that disposition, an expense equal to the net receipts in respect of that liability immediately before the disposition, and
(b) the associated person shall be deemed to have received, in connection with assuming that liability, an amount equal to that amount.

(6) For the purposes of sub-sections (2), (3), and (5), the following conditions must be satisfied:-
(a) The business asset, trading stock, or depreciable asset of the business disposed of shall immediately become a business asset, trading stock, or depreciable asset of the business of the associated person after the transfer from the transferor.
(b) The non-business taxable asset or depreciable asset of an investment disposed of shall immediately become a business asset, non-business taxable asset, depreciable asset, or trading stock of the associated person after the transfer from the transferor.
(c) In the case of a liability, the liability must be transferred to the associated person for the purpose of deriving income from any business or investment of that associated person.
(d) At the time of the transfer, both the transferor and the associated person must be residents, and the associated person must not be an exempt person.
(e) Ownership inherent in the asset or the burden inherent in the liability must, as the case may be, remain at

least fifty percent, and
(f) Both the person and the associated person must make a written request for the election under sub-section (2), (3), or (5), as the case may be, to apply. 46.

Involuntary Disposition with Replacement of Asset or Liability: (1) If a person involuntarily disposes of an asset in any manner mentioned in sub-section (1) of section 40 and, within one year, acquires ownership of another asset of the same kind in replacement of that asset, and makes a written request for this section to apply, the following shall apply:- (a) that person shall be deemed to have received, as consideration for that disposition, an amount equal to the sum of the following amounts:- (1) the net outgoings in respect of that asset immediately before the disposition, and (2) the amount, if any, by which the amount received from the disposition exceeds the cost incurred in acquiring the replacement asset, and (b) the person shall be deemed to have incurred, in acquiring the replacement asset, an amount equal to the sum of the following amounts:- (1) the net outgoings in respect of the disposed asset immediately before the disposition, and (2) the amount, if any, by which the cost of acquiring the replacement asset exceeds the amount received from the disposition. (2) If a person involuntarily disposes of a liability in any manner mentioned in sub-section (2) of section 40 and, within one year, assumes another liability of the same kind in replacement of that liability, and makes a written request for this section to apply, the following shall apply:- (a) that person shall be deemed to have incurred, as consideration for that disposition, an amount equal to the amount resulting from subtracting the amount mentioned in sub-clause (2) from the amount mentioned in sub-clause (1): (1) the amount in respect of the net receipts in respect of that liability immediately before the disposition, (2) the amount, if any, by which the expense incurred in the disposition exceeds the amount received from assuming the replacement liability, (b) that person shall be deemed to have received, in assuming the replacement liability, an amount equal to the sum of the following amounts:- (1) the net receipts in respect of the disposed liability immediately before the disposition, and (2) the amount, if any, by which the amount received from assuming the replacement liability exceeds the expense incurred in the disposition. (3) Circumstances where an interest in an entity is replaced by another interest (security) in the same entity as a result of a change in the interest or restructuring of the entity, creating an involuntary disposition, shall be as prescribed. 47.

Disposition by Merger of Assets and Liabilities: (1) If, as a result of a person acquiring an asset or incurring a liability, another asset owned or another liability incurred by that person is terminated or merged, resulting in a disposition, the following shall apply:- (a) In relation to the merging asset or liability, if there were net outgoings in respect of the merging asset or liability immediately before the disposition, that person shall:- (1) be deemed to have received, in respect of the disposition of the merging asset or liability, an amount equal to those net outgoings. Provided that such amount shall not exceed the amount received by that person in respect of the merged liability. (2) be deemed to have incurred, in holding ownership of the merged asset or bearing the burden of the liability, an amount equal to that amount. (b) In relation to the merging liability, if there were net receipts in respect of the merging liability immediately before the disposition, that person shall:- (1) be deemed to have incurred, in respect of the disposition of the merging liability, an amount equal to those net receipts. Provided that, in the case of the merged asset, it shall not exceed the amount expended by that person in acquiring the asset. (2) be deemed to have received, in holding ownership of the merged asset or assuming the burden of the liability, an amount equal to that amount. (2) Without prejudice to the matters contained in sub-section (1), that sub-section shall also apply in the following circumstances:- (a) where that person acts to acquire or sell an asset, (b) where that person receives an asset that was leased out by that person, and (c) where a liability for which a guarantee was provided by the transferee is transferred. Amended by Finance Act, 2079.47A. Special Provisions regarding Disposition due to Business Mergers: (1) Where entities of the same nature engaged in banking and financial business or insurance business merge (merger or acquisition), the provisions of clauses (a), (b), (d), (e), (f), and (ch) of sub-section (2) and sub-section (3) of section 47 shall not apply. Provided that, if the entity that ceases to exist after the merger has any undeducted loss, such loss shall be deducted in equal installments over the next seven years.

If the entity deducting the loss in equal installments is again divided before deducting the entire loss, tax shall be paid on the amount deducted as loss at the tax rate prevailing in the financial year of the merger (merger or acquisition). (2) Where assets and liabilities are disposed of due to the merger of entities under sub-section (1), the following shall apply:- (a) In the case of disposition of trading stock and business assets:- (1) an amount equal to the net outgoings in respect of such asset immediately before the disposition shall be deemed to have been received by such person in respect of such disposition, and (2) the person acquiring the asset shall be deemed to have incurred a cost equal to the amount mentioned in sub-clause (1). (b) In the case of disposition of depreciable assets:- (1) an amount equal to the written down value under the diminishing balance method for the group according to section 4 of Schedule 2 at the time of disposition shall be deemed to have been received in respect of such disposition, and (2) the person acquiring the asset shall be deemed to have incurred a cost equal to the amount mentioned in sub-clause (1). (c) In the case of disposition of liabilities:- (1) an amount equal to the lower of the market value and the net receipts of such liability immediately before the disposition shall be deemed to be the cost incurred by such person in respect of the disposition, and (2) the person assuming the liability shall be deemed to have received, in respect of assuming such liability, an amount equal to the amount mentioned in sub-clause (1). (d) When calculating the cost of assets and liabilities of the merged entity, the acquiring entity or the entity resulting from the merger shall only calculate the cost in respect of the assets and liabilities that were held by the merging entity at the time of operating such merged business (prior to the merger or acquisition) according to clauses (a), (b), and (c). (3) Tax shall be deducted on any additional lump sum payment (excluding payments made through a retirement fund or payments required as per employee service conditions) made for the purpose of collectively retiring employees working in the entity that was disposed of due to merger under sub-section (1) or in the post-merger entity, at a rate with a fifty percent discount on the tax deduction rate. (4) If shareholders in the entity that was disposed of due to merger under sub-section (1) dispose of their shares by way of sale within two years of the merger, no capital gains tax shall be levied on the gain on such disposed shares. (5) No tax shall be levied on dividends distributed by the entity that was disposed of due to merger under sub-section (1) to shareholders who were shareholders at the time of the merger within two years from the date of the merger. (6) Entities of the same class seeking to merge and dispose under sub-section (1) shall submit a letter of intent Added by Finance Act, 2079. to the Department by the end of Ashadh, 2079. (7) Entities submitting a letter of intent under sub-section (6) for merger under sub-section (1) must complete the merger process Added by Finance Act, 2079. by the end of Ashadh, 2080.

Added by Finance Act, 2079.(8) Entities that merge with each other after the commencement of this section but have not availed of the facility under this section may also avail of the same facility. Added by Finance Act, 2079.(9) In the case of an entity that does not submit a letter of intent within the period specified in sub-section (6) and an entity that does not complete the merger process by the date mentioned in sub-section (7), the provisions of this section shall be deemed not to apply. 48. Disposition of Assets and Liabilities by way of Partition: If rights relating to any asset owned by a person or burdens relating to a liability incurred by a person are created in another person, including through a lease of the asset or any part thereof, the following shall apply:-

(a) if the rights or burdens are permanent, the first person shall be deemed to have disposed of part of that asset or liability but not to have acquired any new asset or liability, and

(b) if the rights or burdens are temporary or contingent, the first person shall not be deemed to have disposed of part of that asset or liability. Provided that the person shall be deemed to have acquired a new asset or incurred a new liability, as the case may be. 49. Allocation of Outgoings and Receipts Resulting in Disposition: (1) Where a person acquires, incurs, or disposes of any asset or liability, outgoings or receipts must be allocated among the assets or liabilities on the basis of their market values at the time of the acquisition, incurrence, or disposition, as the case may be:-

(a) if one or more assets are acquired or one or more liabilities are assumed at the same time, or

(b) if one or more assets or liabilities are disposed of at the same time.

(2) If a person holding ownership of an asset or bearing a liability disposes of part of that asset or liability, the net outgoings or net receipts of that asset or liability immediately before the disposition shall be allocated between the part disposed of and the part retained on the basis of their respective market values immediately after the disposition, as the case may be. Chapter 9

Special Provisions relating to Natural Persons

50.

Couples: (1) A resident natural person and that person's resident spouse may both, by giving written notice, elect to be treated as a single natural person for tax purposes for a particular income year. (2) For an income year in respect of which a couple makes the election under sub-section (1), the husband or wife shall be jointly and severally liable for the tax payable by either of them in that year. Amended by Finance Act, 2076.(3) Notwithstanding anything contained in sub-sections (1) and (2), a resident widow or widower who has a dependent to support shall be treated as a couple. 51. Medical Tax Credit: (1) A resident natural person may claim a medical tax credit for any income year for approved medical treatment expenses incurred by that person for themselves or through any other person. (2) The amount of medical tax credit for a natural person in any income year (b) Where the person to whom the liability is transferred assumes the liability, such person shall be deemed to have received an amount equal to the amount mentioned in clause (a). (3) If an entity distributes a dividend other than profit as a dividend to any beneficiary, the amount of such dividend shall be included in computing the income of such entity. Provided, however, that provision may be made that the matter mentioned in this sub-section shall not apply in any prescribed circumstances. 57. Change in control: (1) If there is a change of fifty percent or more in the ownership of an entity compared to its ownership during the immediately preceding three years, such entity shall be deemed to have disposed of its owned assets or liabilities borne by it. Added by the Finance Act, 2076.Provided, however, that this sub-section shall not apply in a case where new shareholders or partners are added and capital is increased in a startup venture capital and private equity fund while the number of shares and capital of the existing shareholders and partners remain unchanged.

Added by the Finance Act, 2076.(1a) For the purpose of calculating a change of fifty percent or more in the ownership of an entity pursuant to sub-section (1), only the ownership of such entity as follows shall be included:-

(a) ownership acquired by a Amended by the Finance Act, 2076.shareholder or partner who acquires one percent or more of the total ownership, and

(b) ownership acquired by an associated person of a Amended by the Finance Act, 2076.shareholder or partner who, among the Amended by the Finance Act, 2076.shareholders or partners acquiring less than one percent of the total ownership, acquires more than one percent of the total ownership of such entity.

(2) If there is a change in the ownership of an entity as mentioned in sub-section (1), such entity shall not be permitted to do the following after such change:-

(a) deduct interest carried forward pursuant to sub-section (3) of section 14 that was expended by such entity before the change in ownership,

(b) deduct losses incurred by such entity before the change in ownership pursuant to section 20,

(c) carry back losses incurred after the change in ownership to the income year prior to such change in ownership pursuant to sub-section (4) Amended by the Finance Act, 2076 of section 20,

(d) adjust any amount or expense accounted for pursuant to sub-section (4) Amended by the Finance Act, 2076 of section 24 before the change in ownership, and such amount or expense Amended by the Finance Act, 2076.adjustment pursuant to sub-section (4) of section 24 after the change in ownership,

(e) adjust any amount accounted for pursuant to clause (b) of sub-section (1) of section 25 before the change in ownership, and if the right to receive such amount is relinquished after the change in ownership or if such amount is a debt claim of a person and such person treats the debt as bad debt and writes it off, adjust pursuant to sub-section (1) of section 25,

(f) reduce, pursuant to section 36, the loss incurred on the disposal of an asset or liability before the change in ownership against the income derived from the disposal of an asset or liability after the change in ownership,

(g) claim expenditure for a premium accounted for pursuant to sub-clause (1) of clause (b) of sub-section (2) of section 60 before the change in ownership, if such premium is refunded to the insured after the change in ownership, or

(h) carry forward tax paid on foreign income to a future year pursuant to sub-section (3) of section 71.

(3) If there is a change in the ownership of an entity in any income year in the manner specified in sub-section (1), the parts of that income year before and after the change in ownership shall be treated as separate income years.

58. Provision to prevent reduction of dividend tax: Amended by the Finance Act, 2076.(1) An arrangement made by an entity while maintaining all of the following conditions shall be deemed to be an arrangement made to reduce dividend tax:-

(a) where such entity has accumulated, current or expected profits,

(b) where any person acquiring an interest acquires any interest in such entity, and such interest acquirer or an associated person of such acquirer makes any payment to a current or former beneficiary of such entity or an associated person of such beneficiary, whether or not related to the acquisition of the interest and whether or not made at the time of acquisition of the interest,

(c) where such payment is reflected in whole or in part in the profits of the entity, and

(d) where such entity distributes a dividend to such interest acquirer, and such dividend includes such profits in whole or in part.

(2) Where a dividend is distributed by an entity under an arrangement to reduce dividend tax made pursuant to sub-section (1), such arrangement shall be deemed to be as follows:-

(a) The payment made by the interest acquirer or the associated person of such acquirer shall be deemed not to be a payment made by such person, but rather the entity shall be deemed to have distributed a dividend to the former or current beneficiary mentioned in clause (b).

(b) The dividend distributed by the entity to the interest acquirer shall be deemed to be equal to the amount arrived at after deducting the amount referred to as that payment in clause (a). Chapter-11
Special Provisions Relating to Banking and Insurance Business

59. Banking business: (1) In computing the income or loss derived from the business of any person who carries on a banking business in any income year, the banking business shall be treated as a separate business distinct from any other business carried on by such person, and shall be computed separately. Added by the Finance Act, 2076.(1a) Subject to the standards prescribed by Nepal Rastra Bank, a person carrying on a banking business may deduct as an expense an amount up to five percent of the total of the outstanding loan amount and the amount set aside for non-banking assets placed in a risk-bearing fund. Added by the Finance Act, 2076.(1b) A cooperative institution may deduct as an expense an amount up to five percent of the outstanding loan amount placed in a risk-bearing fund.

Added by the Finance Act, 2076.(1c) Where a risk-bearing fund maintained pursuant to sub-sections (1a) and (1b) exists, expenses written off from profits as bad debts shall not be waived, and if the amount in such fund is capitalized or distributed as profit or dividend, it shall be included in the income of the year in which such distribution is made. (2) Repealed by the Finance Act, 2076 (3) Repealed by the Finance Act, 2076 Explanation: For the purpose of this section, "banking business" shall be understood to mean the banking business conducted by banks and financial institutions authorized to carry out banking transactions under the prevailing law. 60. General insurance business: (1) In computing the income or loss derived from the business of any person who carries on a general insurance business in any income year, the insurance business shall be treated as a separate business distinct from any other business carried on by such person, and shall be computed separately. (2) In computing the income of any person carrying on a general insurance business for any income year, the following shall be done:- (a) On the income side, in addition to any other amounts required to be included under this Act, the following amounts shall also be included:- (1) amounts received by such person in that year as insurance premiums, including reinsurance premiums, from carrying on that business, and (2) amounts received in that year from payments made pursuant to sub-clause (1) of clause (b) under any contract of reinsurance, guarantee, security, or indemnity. (b) On the expenditure side, in addition to amounts deductible under this Act, the following amounts shall also be deductible:- (1) payments made in that year by such person in the capacity of an insurer while carrying on that business, and (2) premiums refunded to the insured in that year, which were included pursuant to sub-clause (1) of clause (a) in computing the income from that business for that year or any prior year. Amended by the Finance Act, 2076.(3) The total of the following amounts placed in a risk-bearing fund:- (a) an amount up to fifty percent of the net insurance premium shown in the profit and loss account of any year, and (b) an amount up to one hundred and fifteen percent of the amount remaining to be paid for claims at the end of any year.

Provided, however, that an amount deducted as expenditure pursuant to this sub-clause in any year shall be included in income when computing the income from the insurance business for the following income year.

(3) Repealed by the Finance Act, 2076

(4) Repealed by the Finance Act, 2076

Explanation: For the purpose of this section, "registered general insurance business" shall be understood to mean an insurance business registered in Nepal under the prevailing law and carrying on general insurance business. 61. Life insurance business: (1) In computing the income or loss derived from the business of any person who carries on a life insurance business in any year, the life insurance business shall be treated as a separate business distinct from any other business carried on by such person, and shall be computed separately.

(2) In computing the income of any person carrying on a life insurance business for any income year, the following shall be done:-

(a) Include other amounts includible under this Act, excluding the following amounts:-

(1) amounts received by such person in that income year as insurance premiums, including reinsurance premiums, from carrying on that business, and

(2) amounts received in that year from payments made pursuant to sub-clause (1) of clause (b) under any contract of reinsurance, guarantee, security, or indemnity.

(b) Deduct other amounts deductible under this Act, excluding the following amounts:-

(1) payments made in that year by a person in the capacity of an insurer while carrying on that business, and

(2) Amended by the Finance Act, 2076.(2) premiums referred to in sub-clause (1) of clause (a) that are refunded to the insured.

(3) The amounts referred to in sub-clauses (1) and (2) of clause (a) and sub-clauses (1) and (2) of clause (b) of sub-section (2) shall not be deemed to be income or Amended by the Finance Act, 2076.expenditure of such person in respect of their assets or liabilities.

(4) A life insurance contract of a person's life insurance business shall not be deemed to be an asset or liability of such person. 62. Amounts received from insurance: (1) For the purpose of computing the income of a person, amounts received by such person from insurance shall be as provided in section 31.

(2) Notwithstanding anything contained in sub-section (1), with respect to gains derived from life insurance, the following shall apply:-

(a) where such amount is paid by a resident person, tax shall be levied on the insured by way of final withholding tax, and

(b) where such amount is paid by a non-resident person, such amount shall be included in the income of the insured and computed.

Explanation: For the purpose of this section, "gain derived from life insurance" shall be understood to mean the amount by which the payment received by a person in respect of life insurance exceeds the premiums paid by such person in relation to that insurance. Chapter-12

Special Provisions Relating to Retirement Savings

63. Amended by the Finance Act, 2076.Retirement fund: (1) Removed by the Finance Act, 2076

Removed by the Finance Act, 2076

(2) An individual beneficiary of an approved retirement fund may claim a deduction, in computing his or her taxable Amended by the Finance Act, 2076.income, for retirement contributions made to such fund in any

income year. Added by the Finance Act, 2076.Explanation: For the purpose of this section, "approved retirement fund" shall be understood to mean the Employees Provident Fund established under the Employees Provident Fund Act, 2019; the Citizen Investment Fund established under the Citizen Investment Fund Act, 2047; the retirement fund operated by the Social Security Fund established under the Contribution-Based Social Security Act, 2074; and the retirement fund operated by the Pension Fund established under the Pension Fund Act, 2075.

(3) Notwithstanding anything contained in sub-section (2), the amount claimed as a deduction by a person in any income year pursuant to that sub-section shall not exceed the prescribed limit for retirement contributions. 64. Tax on retirement fund: (1) For the purpose of determining the income of a retirement fund, amounts includible or deductible under this Act shall be included or deducted in computing the income of the fund.

Provided, however, that,- (a) Contributions received by such fund shall not be income of such fund, and such contributions shall not be included in the computation. (b) Retirement payments shall not be expenses of such fund, and such payments shall not be deductible in computing income. (c) The interest of any beneficiary in the retirement fund shall not be a liability of such fund. (2) Income of an approved retirement fund shall be exempt from tax. (3) Where an approved retirement fund ceases to be such a fund, such fund shall pay tax on the amount arrived at by deducting the amount under clause (b) from the amount under clause (a), at the rate of tax specified in sub-section (1) of section 2 of Schedule-1 Amended by the Finance Act, 2076.:- (a) all retirement contributions and all income that would have been considered taxable income had sub-section (2) not applied, accumulated in such fund during the period from the date of obtaining approval as an approved retirement fund to the date of expiry of recognition, (b) all retirement payments made by such fund during the period from the date of obtaining approval as an approved retirement fund to the date of expiry of recognition. 65. Retirement payments: (1) For the purpose of computing income, retirement payments made from a Amended by the Finance Act, 2076.contribution-based interest in an approved retirement fund of an individual Amended by the Finance Act, 2076.or from the Government of Nepal shall be as follows:- (a) retirement payments made by such fund on account of the interest in such fund shall be included in income, and (b) Notwithstanding anything contained in clause (a), if such payment is made in a lump sum, the payment remaining after deducting from such payment amount the higher of fifty percent of the payment amount or five hundred thousand rupees shall be deemed to be a gain derived from the disposal of a non-business taxable asset of such individual. Removed by the Finance Act, 2076 (2) For the purpose of computing the benefit derived from an interest in an unapproved retirement fund of an individual, the following shall apply:- (a) where the amount is paid by a resident person, such amount shall be subject to tax on the beneficiary by way of final withholding tax, and (b) where the amount is paid by a non-resident person, such amount shall be included in computing the income of such beneficiary.

66. Removed by the Finance Act, 2076

Chapter-13

International Taxation

67. Source of income, loss, gain and payment: (1) The source of income of a person from any employment, business or investment shall be deemed to be in Nepal to the extent that the amount under clause (a) exceeds the amount under clause (b):-

(a) amounts sourced in Nepal included in computing such income,

(b) amounts sourced in Nepal deducted in computing such income.

(2) The source of a loss incurred by a person from any business or investment shall be deemed to be in Nepal to the extent that the amount under clause (a) exceeds the amount under clause (b):-

(a) amounts sourced in Nepal deducted in computing the income from such business or investment,

(b) amounts sourced in Nepal included in computing such income.

(3) An amount included in computing income shall be deemed to be sourced in Nepal in the following circumstances:-

(a) net gains under clause (c) of sub-section (2) of section 7 or clause (b) of sub-section (2) of section 9, arrived at after deducting losses incurred from the disposal of an asset or liability sourced in Nepal from gains derived from the disposal of an asset or liability sourced in Nepal,

(b) gains and amounts included in computing income as mentioned in clause (d) of sub-section (2) of section 7 or clause (c) of sub-section (2) of section 9, where assets located in Nepal or liabilities to be borne in Nepal are involved,

(c) payments received sourced in Nepal, subject to clauses (a) and (b).

(4) Where assets located in Nepal or liabilities to be borne in Nepal are involved, the source of any gain or loss arising from the disposal of such asset or liability shall be deemed to be in Nepal.

(5) Where amounts deducted in determining income include the following amounts, the source of such amounts shall be deemed to be in Nepal:-

(a) deductible cost expenditure under sub-section (1) of section 15 in respect of assets located in Nepal,

(b) expenses under sub-section (1) of section 16 in respect of assets located in Nepal, and expenses to the extent deductible under section 19, and

(c) payments sourced in Nepal, subject to clauses (a) and (b).

(6) The source of the following payments shall be deemed to be in Nepal:-

(a) dividends paid by a resident entity,

(b) interest paid by a resident person,

(c) payments for natural resources made in respect of, or computed by reference to, natural resources derived from land situated in Nepal,

(d) rental amounts paid for the use of any property located in Nepal,

(e) royalties received by a person for allowing the use of any property located in Nepal, or for a right to use such property, or for agreeing not to use such property,

(f) general insurance premiums paid in respect of a risk located in Nepal, and premiums paid to a person for general insurance,

(g) payments received by a person operating a land, sea, or air transport or charter service business in Nepal, otherwise than as a result of transshipment, for:-

(1) the carriage of departing passengers, or

(2) the consignment of mail, livestock, or other direct movable property.

(h) payments received by a person operating a business of transmitting news or information through communication means such as wire, radio, optical fiber, or satellite, in respect of the transmission of news or information from facilities established in Nepal, whether or not such news or information originates in Nepal,

(i) payments, including service fees, for engaging in employment or providing services, or for agreeing not to do so, of the kind not mentioned in clause (g) or (h), in the following circumstances:-

(1) where the services are performed in Nepal, wherever the payment is made, or

(2) Amended by the Finance Act, 2076.where the payment is made by the Government of Nepal, wherever the employment is performed.

(j) annuity amounts, life insurance amounts, and retirement payment amounts not falling within clause (i) paid by a resident person, and any premium or other payment given to a resident person to secure such amounts,

(k) gifts received in respect of a business or investment conducted from property located in Nepal, and

(l) payments other than those mentioned in clauses (a), (b), (c), (d), (e), (f), (g), (h), (i), (j), and (k) above, being:-

(1) payments made in respect of the disposal of property located in Nepal or the acquisition of a liability to be borne in Nepal, or

(2) payments made in respect of activities carried on in Nepal.

(7) Any income, loss, amount, gain, or payment not deemed to be sourced in Nepal under the above sub-sections shall be deemed to be sourced in a foreign country, and for the purpose of determining in which foreign country such income, loss, amount, gain, or payment is sourced, references to Nepal in this Act shall apply as if they were references to a particular foreign country.

Explanation: For the purpose of this section,-

(a) "property located in Nepal" shall also be understood to include land or buildings situated in Nepal, and assets other than land or buildings of a resident person situated in a foreign country, or if such person is associated with a controlled foreign entity under section 69, such person's interest in that entity.

(b) Amended by the Finance Act, 2076."liability to be borne in Nepal" shall be understood to mean a liability created for a resident person from activities carried on in Nepal. 68. Foreign permanent establishments: (1) Notwithstanding anything contained in section 3, subject to other provisions of this Act, the responsibility for depositing tax on the income of a foreign permanent establishment in Nepal of a non-resident person shall be with that establishment itself.

(2) The income of the entity owning such establishment under section 69 shall be separated from the income of the foreign permanent establishment.

(3) Tax shall be levied on the permanent establishment as mentioned in clause (b) of section 3 on income remitted abroad by a foreign permanent establishment in Nepal of a non-resident person.

(4) The income remitted abroad by a foreign permanent establishment in Nepal of a non-resident person in

any income year shall be equal to the amount of dividends distributed by such foreign permanent establishment in that year. 69.

Controlled foreign entities: (1) If an entity, being a controlled foreign entity at the end of any income year, distributes dividends on its related income for that year, it shall be deemed to have distributed dividends proportionately to its beneficiaries as follows:- (a) according to the rights of those beneficiaries in such income at the time of dividend distribution, or (b) where such rights are not reasonably ascertainable, according to the manner deemed appropriate by the Department considering the circumstances. (2) Dividends distributed from an entity that is a controlled foreign entity at the end of any income year, otherwise than pursuant to sub-section (1) in that income year, shall not be subject to tax. (3) A dividend deemed to be distributed under sub-section (1) from such entity to a beneficiary associated with the entity at the time of dividend distribution shall be deemed to have the following characteristics:- (a) the same nature as the type and source of the related income of such entity, and (b) distributed proportionately from each type and source of the related income of such entity. (4) Any tax deposited by a controlled foreign entity, including any tax deemed to be deposited under sub-section (5) or sub-section (5) of section 72, in respect of amounts deemed distributed under sub-section (3), shall be allocated to the beneficiaries associated with such entity. (5) The tax allocated under sub-section (4) shall be deemed to have been deposited by the beneficiary at the time of distribution, and the beneficiary may avail of the tax credit facility as provided in section 71 for such tax. (6) The amount deemed distributed to a beneficiary under sub-section (1) at the time of distribution shall be included in the cost of any asset or liability held as an interest in the distributing entity by the receiving beneficiary. (7) A dividend distributed to a beneficiary exempt under sub-section (2) at the time of distribution shall be included in the income from any asset or liability held as an interest in the distributing entity by the receiving beneficiary. (8) For the purpose of this Act, foreign income tax deposited, or foreign income tax deemed to be deposited by a controlled foreign entity under sub-section (5) or sub-section (5) of section 72, shall be treated as tax deposited or deemed to be deposited by such entity under this Act.

Explanation: For the purpose of this section,-

(a) "related income" shall be understood to mean the taxable income of a controlled foreign entity for any income year computed as if such entity were a resident entity.

(b) "controlled foreign entity" refers to a non-resident entity in which a resident person has an interest, directly or indirectly through one or more intermediary non-resident entities, in any income year, and where such person is associated with such entity or is deemed to be associated, and where up to four other resident persons are associated with such entity, such entity shall also be understood to be a controlled foreign entity. 70. Tax on non-residents providing sea navigation, air transport or telecommunications services in Nepal: (1) The taxable income of a non-resident person operating sea navigation, charter service, or

air transport for any income year shall include amounts derived from the following activities, excluding amounts derived from transshipment in that year:-

(a) the carriage of passengers departing from Nepal, or

(b) the carriage of mail, livestock, or goods consigned from Nepal.

(2) The taxable income of a non-resident person operating a business of communication by wire, radio, optical fiber, or satellite for any income year shall include amounts derived from the transmission of news or information, whether originating in Nepal or not, from facilities established in Nepal.

(3) Amounts included in the taxable income of a non-resident person under sub-section (1) or (2) shall be taxed at the rate specified in sub-section (7) of section 2 of Schedule-1. Provided, however, that,-

(a) such amounts shall not be taken into account in computing the tax payable on any remaining taxable income of such person,

(b) expenses related to the computation of such amounts shall not be deductible in computing such remaining taxable income, and

(c) such person shall not be entitled to any tax credit facility in respect of the tax payable by such person under this section on such amounts. Explanation: For the purpose of this section, "non-resident person" shall be understood to mean a resident entity within a group of related entities whose head office is outside Nepal. 71.

Foreign tax credit: (1) A resident person who has deposited any foreign income tax in any income year may claim a credit for such foreign income tax in that income year, to the extent of the tax paid on the person's determinable foreign income. (2) In computing the foreign tax credit claimed under sub-section (1), the following shall be done:- (a) a separate computation shall be made for the determinable foreign income sourced in each country, and (b) in respect of each computation, the foreign tax credit claimed shall not exceed the average rate of Nepalese tax for that person in that year on the determinable foreign income. (3) Any foreign income tax deposited in respect of determinable foreign income of a person for which the credit facility under sub-section (1) is not granted due to the limit set in clause (b) of sub-section (2) may be dealt with as follows:- (a) it may be carried forward to the following year, and (b) it shall be deemed to have been deposited in respect of the person's determinable foreign income for a future income year sourced in that foreign country. (4) Notwithstanding anything contained in sub-section (1), for any income year, a person may forgo the foreign tax credit claim for that year and instead claim as an expense the amount of foreign income tax for which such credit facility is available. Explanation: For the purpose of this section,- (a) "determinable foreign income" shall be understood to mean the following income of a resident person for any income year from any employment, business, or investment, included in such person's determinable income for that year:- (1) income from a foreign source, or (2) income of a non-resident person deemed to be distributed to such resident person under section 69, whatever its source. Amended by the Finance Act, 2076.(b) "average rate of Nepalese tax" shall be understood to mean the rate arrived at by dividing the tax amount payable in a year by a person mentioned in clause (a) of section 3 before any foreign tax credit for that year by that person's taxable income for that income year, multiplied by one hundred. Chapter-14 Tax Administration and Official Documents 72. Department: (1) The Department shall be responsible for the implementation and administration of this Act.

Offices with specified jurisdictions shall function as integral parts of the Department.

(3) The Department may have the following officers and other employees:-

(a) Director General,

(b) such number of Deputy Director Generals, Chief Tax Administrators, Directors, Chief Tax Officers, Tax Officers, and other officers as required, and

(c) other employees.

(4) Subject to the directions given by the Government of Nepal, the Director General may do the following:-

(a) exercise any power conferred on the Department under this Act,

(b) subject to sub-sections (5) and (6), delegate the power under clause (a) to another officer for exercise,

(c) specify that all or some of the powers under clause (a), other than issuing a public circular under section 75, specifying a document under section 77, suspending or otherwise affecting any reviewable decision under sub-section (5) of section 115, accepting or rejecting in whole or in part the matters contained in an application made by a person under sub-section (7) of section 115, compounding an offence under section 129, or authorizing an officer under section 82, may be exercised by any officer of the civil service.

(5) Subject to the directions given by the Government of Nepal or the Director General, a Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, or Tax Officer serving as Office Chief may do the following:-

(a) exercise any of the powers conferred on the Department under this Act, other than issuing a public circular under section 75, specifying a document under section 77, suspending or otherwise affecting any reviewable decision under sub-section (5) of section 115, accepting or rejecting in whole or in part the matters contained in an application made by a person under sub-section (7) of section 115, or compounding an offence under section 129, and

(b) subject to sub-section (6), delegate such power to another officer of the Department for exercise.

(6) An officer of the Department other than the Director General, Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, or Tax Officer serving as Office Chief may do the following:-

(a) exercise any power delegated to such officer among the powers of the Department, other than the following powers:-

(1) issuing a public circular under section 75, specifying a document under section 77, suspending or otherwise affecting any reviewable decision under sub-section (5) of section 115, accepting or rejecting in whole or in part the matters contained in an application made by a person under sub-section (7) of section 115, or compounding an offence under section 129, or

(2) authorizing an officer under section 82 or issuing a notice under section 109, and

(b) shall not sub-delegate any power delegated to him or her. 73.

International agreements: (1) The Government of Nepal may enter into an international agreement with a foreign government to avoid double taxation where tax is leviable on a person's income under this Act or prevailing law and the same income is also taxable in a foreign country. (2) Where a competent authority of another country, pursuant to an international agreement concluded with Nepal, requests the Department to collect in Nepal an amount payable by a person who has any arrears under the tax law of that other country, this sub-section shall apply. (3) In a case where sub-section (2) applies, the Department may, by notice in writing to such person having tax arrears, for the purpose of sending that amount to the competent authority, require that person to deposit such amount in the Department within the date specified in such notice. (4) This sub-section shall apply where an international agreement provides that Nepal shall grant an exemption or a reduced rate of tax on income or payment. (5) In a case where sub-section (4) applies, the following entity shall not be eligible for tax Added by the Finance Act, 2076.81A. Amounts pertaining to business transactions not to be deposited in personal accounts: No person shall deposit cash, cheque, QR code, or any amount received through any other electronic means, received in respect of a business transaction, into a personal bank account. 82. Department may obtain information: (1) For the purpose of implementing this Act, an officer of the Department may do the following:- (a) obtain full or unrestricted access to any premises, place, document or other property located in Nepal, subject to the prevailing law, (b) obtain any part or copy of a document, including an electronic copy of a document to which access has been obtained pursuant to clause (a), (c) take possession of any document to which access has been obtained pursuant to clause (a) if the relevant officer believes that such document is evidence of a type necessary to determine a person's tax liability under this Act, and (d) take possession of any property in any form, if the officer believes that such document is kept in any property, where a person having access to a document has been requested to provide a copy of such document and has not provided it, and take possession of such property pursuant to clause (a). (2) No officer shall exercise any power under sub-section (1) without obtaining written authorization from the Department.

When an officer enters any premises or place exercising the power under sub-section (1), if the person in possession of that premises or place, or the person having access to any relevant document or property, requests to see the Department's authorization, such officer shall show such authorization to them.

(3) Any officer of the Department entering any premises or place exercising the power under sub-section (1) may request, and the person in possession of such premises or place, or the person having access to the relevant document or property, shall provide all reasonable facilities and assistance for the effective exercise of that power.

(4) The Department may retain in its possession documents or property taken into possession under clause (c) or (d) of sub-section (1) for the following periods:-

(a) in the case of any document taken into possession under clause (c) of sub-section (1), for as long as is necessary for determining a person's tax liability or for any other proceedings under this Act, and

(b) in the case of property taken into possession under clause (d) of sub-section (1), until access to the disputed document is obtained and possession is taken.

(5) A person whose document is taken into possession under sub-section (4) may inspect such document and may, under the supervision as determined by the Department and at the person's own expense, during office hours, take a copy or extract of such document.

(6) Notwithstanding any provision relating to privilege or public interest regarding obtaining access to documents necessary for the implementation of this Act, the provisions set out in this section shall apply. Explanation: For the purposes of this section, "person in possession" means, in relation to any premises or place, the owner, manager, or any other person present there. 83.

May obtain information by issuing notice: (1) The Department may, by issuing a written notice, order any person, whether or not liable to pay tax under this Act, to do the following:- (a) to submit, within the time specified in the notice, any information specified in such notice by preparing a document, (b) to appear before an officer of the Department for examination regarding tax matters of that person or another person, at the time and place specified in the notice, (c) to submit any document referred to in the notice that is under the control of that person, at the time of examination of that person under clause (b), for examination. (2) Any person being examined under clause (b) of sub-section (1) shall have the right to have legal or other representation throughout such examination. (3) Notwithstanding any provision relating to privilege or public interest regarding obtaining access to documents necessary for the implementation of this Act, the provisions set out in this section shall apply. 84. Official secrecy: (1) Every officer and other employee of the Department shall keep confidential all documents and information that come into their possession or knowledge in the course of performing their duties under this Act. (2) Notwithstanding anything contained in sub-section (1), an officer of the Department may disclose a document or information as per sub-section (1) to the following persons in the following manner:- (a) to the extent necessary for performing that officer's duties under this Act, (b) upon an order from any court or tribunal regarding administrative review or proceedings under this Act, (c) to the Minister of Finance, (d) where disclosure is necessary for the purposes of any other financial law, (e) to any person in the service of the Government of Nepal, if necessary for revenue or statistical work, (f) to the Auditor General or any person authorized by the Auditor General, where necessary for presentation in the course of performing official duties, or (g) to an authorized officer of the government of any country with which Nepal has entered into an international agreement, to the extent provided in that agreement. (3) Any person, court, tribunal, body, or officer receiving documents and information under sub-section (2) shall keep such documents or information confidential, except to the minimum extent necessary. Chapter 16 Payment of Tax 85.

Time, place and manner of tax payment: (1) Tax payable under this Act shall be paid at the prescribed place and in the prescribed manner Amended by the Finance Act, 2076. and the Department may prescribe that such tax payable shall also be paid through electronic means. (2) Subject to sub-section (1), tax payable under this Act shall be paid at the following times:- (a) in the case of tax to be deducted and deposited as advance tax, at the time mentioned in sub-section (4) of section 90, (b) in the case of tax payable in installments, at the time mentioned in sub-section (1) of section 94, (c) in the case of tax payable as per assessment,- (1) in relation to tax assessment under section 99, on the date on which the income return is required to be submitted, (2) in relation to tax assessment made under sub-section (2) of section 100, within the time limit specified in the notice of assessment served under section 102, (3) in relation to amended tax assessment under section 101, within the time limit specified in the notice of assessment served under section 102. (d) in relation to amounts payable to the Department pursuant to a notice issued under sub-section (8) of section 104, sub-section (1) of section 109, or sub-section (1) of section 110, on the date specified in such notice, (e) in relation to a liability incurred by a body under sub-section (2) of section 107 for not paying tax, at the same time as the tax would have been payable by that body, (f) in relation to amounts demanded under sub-section (3) or (4) of section 108, within seven days from the date of settlement through auction sale or the date on which settlement was not possible, respectively, and (g) in relation to fees and interest determined under section 122, on the date specified in the notice of determination. (3) The due date for tax payment shall not be affected in the following circumstances:- (a) action taken by the Department under Chapter 20 to recover tax, or (b) initiation of other proceedings under this Act. 86. Proof of tax payable: A certificate signed by an officer of the Department, stating the name, address, and amount of tax payable by a person, shall be sufficient proof for the following actions regarding the tax payable by that person:- (a) action taken by the Department under Chapter 20 to recover tax, or (b) proceedings relating to any offense under Chapter 23. Chapter 17 Withholding of Tax at Source 87.

Withholding of tax by employer: (1) Every resident employer shall, when making any payment of any amount sourced in Nepal that is included in computing the income derived by any employee or worker from employment, deduct tax at the rate as per Schedule-1. (2) The liability of an employer to deduct tax under sub-section (1) shall not be reduced or extinguished due to the following reasons:- (a) the employer having the right or duty to deduct, withhold, or reduce any other amount from the said payment, or (b) the income from the employment of the employee or worker not being reducible under other prevailing law. 88. Withholding of tax when making payment of investment return and service fee: (1) A resident person, when making payment of interest sourced in Nepal, natural resource, rent, royalty, Amended by the Finance Act, 2078 service fee, commission, sales bonus, retirement payment and any other return, and retirement payment amount, shall deduct tax at the rate of fifteen percent of the total payment amount. Added by the Finance Act, 2078Provided that, in the following payments, tax shall be deducted at the following rates:- (1) in the case of retirement payment from the Government of Nepal or contribution-based retirement payment from an approved retirement fund, at the rate of five percent on the benefit calculated under clause (b) of sub-section (1) of section 65, (2) in the case of commission paid by a resident employing company to a non-resident person, at the rate of five percent, (3) when making payment for the lease of an aircraft, at the rate of ten percent, (4) in the case of service fee paid to a resident person providing services registered for value added tax or to a resident body making exempt transactions under value added tax, at the rate of one point five percent of the payment amount, (5) in the case where a resident person makes payment of rent sourced in Nepal, at the rate of ten percent, Provided, (a) tax shall be deducted at the rate of one point five percent on the amount paid as rent of such vehicle to a person registered for value added tax and engaged in the business of renting out vehicles. (b) tax shall not be deducted on the amount received by a natural person as house rent. Repealed by the Finance Act, 2078(c) (6) in the case of payment of return amount distributed to a natural person from a mutual fund, at the rate of five percent.

Added by the Finance Act, 2078(7) in the case of payment made by a resident person for the use of satellite, bandwidth, optical fiber, telecommunication equipment, or electricity transmission line, at the rate of ten percent. Added by the Finance Act, 2078(8) in the case of payment amount for transportation service and for renting out transportation vehicles, at the rate of two point five percent. Added by the Finance Act, 2079Provided that, tax shall be deducted at the rate of one point five percent on the amount paid to a person registered for value added tax and engaged in the business of providing transportation service or renting out transportation vehicles. Repealed by the Finance Act, 2079 Added by the Finance Act, 2078(9) when a resident bank or financial institution makes interest payment on loans taken in foreign currency from a foreign bank or other financial institution for investment in sectors prescribed by Nepal Rastra Bank Amended by the Finance Act, 2079 at the rate of Amended by the Finance Act, 2079 five percent. Added by the Finance Act, 2078(9A) when a hydropower project with a reservoir or semi-reservoir of more than two hundred megawatts, which completes financial closure by the month of Chaitra of the year 2082, makes interest payment on loans taken in foreign currency from a foreign bank or other foreign financial institution, at the rate of five percent. Added by the Finance Act, 2078(10) tax shall not be deducted on the incentive amount provided to a consumer for making payment through electronic payment instruments such as payment cards, e-money (wallet), mobile banking, etc., as per prevailing law, for the purchase of goods and services. Added by the Finance Act, 2078(11) when making payment of registration fee, tuition fee, and examination fee to a foreign school or university, at the rate of five percent of the payment amount. Added by the Finance Act, 2078(12) when a resident bank or financial institution pays interest on deposits to a life insurance company, at the rate of five percent.

Added by the Finance Act, 2078(13) when making royalty payment to a resident person for a literary article or composition, at the rate of one point five percent of the payment amount. (2) A resident person, when making the following payments sourced in Nepal, shall deduct tax at the following rates:- (a) in the case of dividend payment, five percent of the payment amount, (b) when making payment of investment insurance benefit, five percent of the payment amount, or (c) when making benefit payment from an unapproved retirement fund, five percent of the benefit amount. (3) Notwithstanding anything contained in sub-section (1), a resident bank, financial institution, cooperative, or any other body issuing bonds, or a company listed under prevailing law, when making payment of interest or any amount in the nature of interest to any natural person on deposits, bonds, debentures, and government bonds as follows, shall deduct tax at the rate of Amended by the

Finance Act, 2078 six percent of the total payment amount:- (a) sourced in Nepal, and (b) not related to business operations. (4) Notwithstanding anything contained in sub-sections (1), (2), and (3), this section shall not apply to the following payments:- (a) any payment made by a natural person other than for business operations, except Amended by the Finance Act, 2078 , (1A) payment for articles and compositions published in newspapers, (b) interest paid to a resident bank or other resident financial institution, (1) interest paid by cooperative banks and cooperative associations/institutions to each other on loan investments, (2) Repealed by the Finance Act, 2078 (c) payment that is tax-exempt or payment from which tax is required to be deducted under section 87, Amended by the Finance Act, 2076.285(d) interchange fee paid to a credit card issuing bank, Repealed by the Finance Act, 2076.286(e) Added by the Finance Act, 2076.88A. Withholding of tax on windfall gains: (1) Tax shall be deducted at the rate of twenty-five percent on payment made as windfall gains. Provided that, the Government of Nepal may, by publishing a notice in the Nepal Gazette, grant exemption from windfall gains tax on national and international level prizes received for contributions in the fields of literature, arts, culture, sports, journalism, science, technology, and public administration. (2) Notwithstanding anything contained in sub-section (1), windfall gains tax shall not be levied on prizes up to five hundred thousand rupees received for contributions in the fields of literature, arts, culture, sports, journalism, science, technology, and public administration.

Added by the Finance Act, 2076.Provided that, if the prize amount exceeds five hundred thousand rupees, windfall gains tax shall be levied on the excess amount. 89. Withholding of tax when making payment under a contract or agreement: Amended by the Finance Act, 2076.(1) A resident person, when making payment of an amount exceeding fifty thousand rupees under a contract or agreement, shall deduct tax at the rate of one point five percent of the total payment amount.

(2) To determine the amount mentioned in sub-section (1), if any other payments have been made within the preceding ten days under the same contract to the same person or a related person, or to the person receiving payment under the same contract or a related person, such payments shall be added together for determination. Amended by the Finance Act, 2076.(3) Notwithstanding anything contained in sub-section (1), a resident person making payment to a non-resident person under any contract or agreement shall deduct tax as follows:-

(a) Amended by the Finance Act, 2076 on a contract or agreement, five percent,

(b) Amended by the Finance Act, 2076. when paying premium to a non-resident insurance company or commission paid from premium received as reinsurance from a non-resident insurance company, one point five percent,

(c) Amended by the Finance Act, 2076. other than as mentioned in clause (a) or (b), if the Department has given written notice to such resident person, at the rate specified in such notice. Repealed by the Finance Act, 2076

Added by the Finance Act, 2076.(3A) Tax shall be deducted at the rate of one point five percent on payment amount exceeding fifty lakh rupees made for carrying out work through a consumer committee.

(4) Notwithstanding anything contained in sub-section (1), this section shall not apply to the following payments:-

(a) any payment made to a natural person not engaged in business operations, other than rent paid for land or house sourced in Nepal and fixtures and equipment installed in the house,

(b) payment that is tax-exempt or payment from which tax is required to be deducted under section 87, 88, or 88A. Amended by the Finance Act, 2076.Explanation: For the purposes of this section, "contract or agreement" means a contract or agreement made for the supply of any goods or labor, or for the construction, installation, or erection of tangible property or structures, and also includes work designated by the Department as a contract or agreement; and if such contract or agreement also covers services related to construction, installation, or erection, it also means the payment for such services. Repealed by the Finance Act, 2076
Repealed by the Finance Act, 2076

90.

Details and payment of deducted tax: Amended by the Finance Act, 2076.(1) Every person required to deduct advance tax shall, within twenty-five days of the end of each month, submit details to the Department in the manner and format prescribed by the Department. (2) Along with the details mentioned in sub-section (1), the person deducting advance tax shall deposit with the Department the tax deducted or the amount deemed to have been deducted under sub-section (3) within the time limit mentioned in sub-section (1). (3) If the person deducting advance tax has not deducted tax under section 87, 88, 88A, or 89, such tax shall be deemed to have been deducted at the time it should have been deducted. (4) Amended by the Finance Act, 2076. The amount of tax deducted under section 87, 88, 88A, or 89, or the amount deemed to have been deducted under sub-section (3), shall be deposited by the person making such advance deduction, and in cases where sub-section (5) applies, the person from whom tax is deducted shall deposit such tax within Amended by the Finance Act, 2076. twenty-five days after the period mentioned in sub-section (1). Added by the Finance Act, 2076.(4A) Notwithstanding anything contained in sub-section (4), a person paying tax based on turnover under sub-section (4A) of section 4 of the Act Amended by the Finance Act, 2076. shall deposit the advance tax deducted under Chapter 17 at the time of paying installment tax. (5) Amended by the Finance Act, 2076. In the following circumstances, both the person from whom advance tax is deducted and the person making such advance deduction shall be jointly and severally liable to deposit the tax amount with the Department:- (a) if the person making advance deduction has not deducted tax from any payment under section Amended by the Finance Act, 2076. 87, 88, 88A, or 89, and (b) if the person making advance deduction has not deposited with the Department, by the date required for tax deposit under sub-section (4), the amount deemed to have been deducted under sub-section (3). (6) If the person making advance deduction deducts tax under section Amended by the Finance Act, 2076. 87, 88, 88A, or 89 and deposits it with the Department, any claim made by the person from whom tax was deducted regarding such deducted payment shall be considered equivalent to payment to the person from whom tax was deducted. (7) If the person making advance deduction deposits with the Department the amount of tax not deducted under section Amended by the Finance Act, 2076.

87, 88, 88A, or 89, such deposited tax amount may be recovered from the person from whom the tax should have been deducted. Amended by the Finance Act, 2076.(8) If the Department is satisfied that a person has not submitted the details or tax required to be deposited under sub-section (1) or (2), or that the situation under sub-section (5) exists in relation to a person, the Department may order the deposit of the amount not deposited or under-deposited, along with interest under section 119 and Added by the Finance Act, 2076. also a fee under section 120 for not deducting tax on a payment from which advance tax should have been deducted. Provided that, before giving such order, a written notice shall be given stating the reasons and allowing a period of fifteen days to submit evidence and justification regarding such order. 91. Tax deduction certificate: (1) The person making advance deduction shall provide a tax deduction certificate as follows to the person from whom tax is deducted, within the time specified in sub-section (2):-

(a) certified in the manner prescribed by the Department, if any, and

(b) showing the amount of tax deducted under section Amended by the Finance Act, 2076. 87, 88, 88A, or 89 and the payment amounts.

(2) The advance tax deduction certificate shall be provided within Amended by the Finance Act, 2076. twenty-five days from the end of the month in which the advance tax deduction was made, stating the period of deduction.

(3) Notwithstanding anything contained in sub-section (2), in the case of tax deduction under section 87, the advance tax deduction certificate shall be provided as follows:-

(a) Such certificate shall be only for the entire period during which the employee remained in service in that income year.

(b) Such certificate shall be provided within thirty days from the end of that year, or if the employee ceased employment with the person making advance deduction during that year, within thirty days from the date of cessation of employment. 92.

Payments subject to final withholding tax: (1) The following payments shall be considered as payments subject to final withholding tax:- (a) dividend paid by a resident Amended by the Finance Act, 2076. company or partnership firm, (b) rent paid for land or house sourced in Nepal and its related fixtures and equipment, to a natural person other than one engaged in business operations, (c) benefit paid by a resident person under investment insurance Repealed by the Finance Act, 2076 , (d) benefit paid by a resident person as interest from an unapproved retirement fund, Amended by the Finance Act, 2076.(e) interest paid by a bank, financial institution, or other body issuing bonds mentioned in sub-section (3) of section 88, or by a Amended by the Finance Act, 2076. company or cooperative listed under prevailing law, as follows:- (1) interest paid to a natural person, sourced in Nepal and not related to business operations, (2) interest paid to an institution exempt from tax under clause (d) of section 2. (f) Amended by the Finance Act, 2076. payment made to a non-resident person from which tax is required to be deducted under section 87, 88, 88A, or 89, (g) all types of payments (excluding regularly paid pensions) including retirement payment made by the Government of Nepal, an approved retirement fund, or an unapproved retirement fund, (h) meeting allowance up to twenty thousand rupees per meeting, payment for occasional teaching, setting question papers, or evaluating answer scripts, (i) payment as windfall gains, (j) return amount distributed to a natural person from a mutual fund, (k) payment for rent of vehicle or transportation vehicle or transportation service of a natural person depositing tax under sub-section (13) of section 1 of Schedule-1. (2) If the person making advance deduction or the person from whom tax is deducted deposits with the Department the tax deducted under section Amended by the Finance Act, 2076. 87, 88, 88A, or 89, or the tax deemed to have been deducted under sub-section (3) of section 90, from a payment subject to final withholding, the person under clause (c) of section 3 shall be deemed to have fulfilled the tax liability. 13.

Set-off and inclusion of tax not finally deducted: (1) For the purpose of computing the amount of any payment, if any tax has been deducted from such payment, such deducted tax amount shall be treated as part of the payment. (2) If tax has been deducted on any payment other than a payment subject to final withholding tax, the person from whom tax is deducted shall be deemed to have deposited the following tax amounts:- (a) the amount of tax deducted from the payment under section 87, 88, or 89, (b) the amount of tax deemed to have been deducted under sub-section (3) of section 90 or the tax amount deposited with the

Department by the person making advance deduction or the person from whom tax is deducted. (3) The amount under sub-section (2) may be claimed for set-off only against the tax amount required to be deposited by the person from whom tax is deducted for the income year in which the payment was made. (116) Chapter 18 Installment Amended by the Finance Act, 2076. and Advance Tax 94.

Deposit of tax in installments: (1) A person who has or is likely to have assessable income in any income year from any business or investment shall deposit tax in three installments as follows:-

Date by which to deposit Tax amount to be deposited

By the end of the month of Poush The remaining tax payable out of forty percent of the estimated tax
By the end of the month of Chaitra The remaining tax payable out of seventy percent of the estimated tax
By the end of the month of Ashadh The remaining tax payable out of one hundred percent of the estimated tax

Explanation: For the purposes of this sub-section,-

(a) "Estimated tax" means the installment estimated tax computed under section 95 by a person required to deposit installment tax, at the time of depositing the installment tax for any year.

(b) "Remaining tax payable" means the shortfall after deducting the following total amounts from the amount calculated at the percentage specified in this sub-section for installment deposit of the estimated tax:-

(1) the tax amount already deposited in that income year through prior installments under this section before the due date of the relevant installment,

(2) the tax amount deducted, before the due date of the relevant installment in that income year, from payments included in computing that person's income for that year under Chapter 17,

(3) the tax amount deposited, before the due date of the installment, by the withholding agent or the person from whom tax is deducted, being the amount deemed to have been deducted under sub-section (3) of section 90 from the payments mentioned in sub-clause (2),

(117)

and

(4) the tax set-off amount for medical treatment expenses that the person can claim under section 51, in relation to approved medical treatment expenses incurred by that person before the due date of the installment. 94A.

A person paying tax based on turnover shall deposit tax in two installments as follows:- Date by which to deposit Tax amount to be deposited By the end of the month of Poush Tax applicable at the prescribed rate on transactions up to the 20th of Poush By the end of the month of Ashadh The tax amount computed by estimating transactions up to the end of Ashadh based on actual transactions up to the 20th of Ashadh, applying the prescribed rate, and deducting the tax deposited by the end of Poush. (2) Notwithstanding anything contained in sub-section (1), if the total amount of the installment payable under that sub-section is less than Amended by the Finance Act, 2076. seven thousand five hundred rupees, such installment amount need not be paid. (3) Notwithstanding anything contained in this section, the advance tax amount required to be deposited under section 95A on the income from the disposal of non-business taxable property shall not be required to be deposited in installment form. (3) A person depositing installments shall be entitled to deduct the tax amount deposited through installments in any income year under this section against the tax payable for that year. 95.

Details of estimated tax to be deposited: (1) Every person required to deposit installments in any income year shall, by the date for paying the first tax installment under section 94 in that year, submit to the Department a statement in the format and manner prescribed by the Department Amended by the Finance Act, 2076. containing an estimate of the following amounts for that person for that year:- (a) the assessable income that such person may derive in that year from each source of employment, business, and investment, and the source of such income, (b) the taxable income of that person that may be derived in that year and the tax payable by the person mentioned in clause (a) of section 3, computed under section 4 without deducting the tax set-off amount for medical treatment expenses, (c) in relation to a foreign permanent establishment in Nepal of a non-resident person, the amount of income repatriated abroad by such foreign establishment in that year and the tax payable by the person mentioned in clause (b) of section 3, computed under sub-section (5) of section 4 on such income, and (d) any other details prescribed by the Department. (2) The sum of the tax amounts mentioned in clauses (b) and (c) of sub-section (1) of the person referred to in sub-section (1) shall be the estimated tax required to be deposited in that income year. (3) For estimating the tax payable in any income year under clause (b) of sub-section (1), when computing the foreign tax set-off amount claimed under section 71, only the foreign income tax that the person has deposited in that year or that the person estimates to deposit in that year shall be computed. (4) The estimate made by a person depositing tax installments under sub-section (1) shall remain effective for the entire income year until the person submits a revised estimate to the Department, stating the reasons for revision and including the necessary information in the format under sub-section (1). (5) Notwithstanding anything contained in sub-section (2), a revised estimate submitted under sub-section (4) shall apply only for computing the tax installments payable under section 94 in that income year after the date of submission (119) of the revised estimate to the Department. (6) Notwithstanding anything contained in sub-sections (1) and (5), the Department may prescribe that a person required to deposit tax installments, or a class of persons required to deposit tax installments, need not submit an estimate under sub-section (1). (7) Notwithstanding anything contained in sub-section (2), if a person required to deposit tax installments fails to submit an estimate under sub-section (1) for any income year, or if the Department is not satisfied with the estimate or revised estimate submitted, the Department may do the following Added by the Finance Act, 2076 :- (a) the Department may estimate the estimated tax payable by that person in that year based on the tax payable by the person mentioned in clause (a) or (b) of section 3 in the preceding income year, and (b) the Department shall give a written notice to the person required to deposit installments, stating the estimate prepared under clause (a), the method used to prepare the estimate, and the reasons why the Department is not satisfied with the estimate submitted by the person. (8) If the Department gives a notice to the person required to deposit installments under sub-section (7), the estimated tax amount payable by that person in that year shall be the amount estimated by the Department.

Added by the Finance Act, 2076.95A. Collection of advance tax: (1) A body operating a commodity futures market service shall collect advance tax at the rate of ten percent on the profit and gain derived from such business from a person trading under the commodity futures market.

(2) If a person, other than a resident body registered under prevailing law and engaged in the transaction of buying and selling of securities, derives a gain from the disposal of an interest in a resident body, advance tax shall be collected on such gain computed under section 37 as follows:-

(a) in the case of gain derived from the disposal of an interest in a body listed with the Securities Board of Nepal, by the body performing the function of a securities exchange market: Amended by the Finance Act, 2076. in the case of a resident natural person, five percent of the gain amount on interest held for a period exceeding three hundred sixty-five days and seven point five percent of the gain amount on interest held for three hundred sixty-five days or less, Amended by the Finance Act, 2076. in the case of a resident body, ten percent of the gain amount, and in other cases, twenty-five percent of the gain amount,

(b) in the case of gain derived from the disposal of an interest in a body not listed with the Securities Board of Nepal, by the body whose interest is disposed of: in the case of a resident natural person, ten percent of the gain amount, Amended by the Finance Act, 2076. in the case of a resident body, fifteen percent of the gain amount, and in other cases, twenty-five percent of the gain amount. Added by the Finance Act, 2076.(2A) When computing the gain under clause (b) of sub-section (2), it shall be done based on the weighted average cost of the interest held by that person in that body on that date.

Amended by the Finance Act, 2076.(3) Under clause (b) of sub-section (2), when an interest is disposed of and the Company Registrar's Office registers the shares, registration shall be done only after the proof of payment of advance tax on the gain amount is submitted. (4) (5) For capital gain from the disposal of land or private building of a natural person, the Land Revenue Office shall collect advance tax at the time of registration as follows:- (a) if the ownership of the disposed non-business taxable property (land and building) is five years or more, at the rate of Amended by the Finance Act, 2076. five percent, (b) if the ownership of the disposed non-business taxable property (land and building) is less than five years, at the rate of Amended by the Finance Act, 2076. seven point five percent. Added by the Finance Act, 2076.(6) Except as stated in sub-section (5), the Land Revenue Office shall, at the time of registration, collect advance tax at the rate of one point five percent on the value of the disposal of land or building owned by any other person. Added by the Finance Act, 2076.(6A) A resident bank or financial institution providing foreign exchange facility for language tests and standardized test fees to a student going to study abroad shall collect advance tax at the rate of fifteen percent at the time of providing the foreign exchange (3) In addition to the income required to be included by the person required to submit details pursuant to sub-section (2), the income obtained from the professional tax exemption facility under clause (d) of Section 5, sub-section (3) of Section 7, clause (a) of sub-section (3) of Section 8, clause (a) of sub-section (3) of Section 9, and Section 11 of the Act shall also be included. Provided, however, that it shall not be mandatory to include retirement payment, meeting allowance, and interest income amended by the Finance Act, 2076.. (4) From the income determined pursuant to sub-section (3), the income under clause (c) of Section 3 of the Act and the income exempt from tax under Section 11 shall be deducted. Provided, however, that a deduction shall not be required if meeting allowance and interest income are not included. (5) The format of the income statement to be submitted pursuant to sub-section (2) shall be as prescribed by the Department amended by the Finance Act, 2076.. 98.

Extension of time for filing income statement: (1) If any person required to file an income statement under Section 96 submits a written application to the Department for additional time within the period for filing such statement, the Department may extend the time for filing the income statement if there appears to be a reasonable cause. The applicant shall be notified in writing of the Department's decision regarding the application for such extension. (2) Pursuant to sub-section (1), the Department may extend the time for submitting the income statement for a maximum of three months, either at one time or in stages. 99. Assessment of tax: (1) If a person has filed an income statement for any income year by the date on which the income statement is required to be filed, disclosing the following amounts, such income statement shall be deemed to be an assessment of tax: (a) The amount of tax mentioned in the income statement to be paid for that income year by a person referred to in clauses (a) and (b) of Section 3, and (b) The amount of tax remaining to be paid for that year as mentioned in the income statement. (2) If a person does not submit an income statement for any income year, until the income statement is filed, on the date on which the income statement is required to be submitted, it shall be deemed that an assessment has been made as follows: (a) The amount of any tax deducted from the amount received under Chapter-17 and any amount deposited by him/her in installments for that year under Chapter-18 shall be deemed to be the total amount of his/her tax for that year, and (b) It shall be deemed that there is no tax remaining to be paid according to the assessment. 100.

Best judgment assessment: (1) Where an income statement is required to be filed for any income year or any part of any income year pursuant to sub-section (5) of Section 96, it shall be done in accordance with Section 99. amended by the Finance Act, 2076.(2) Notwithstanding anything contained in sub-section (1), in the situation referred to in sub-section (5) of Section 96, the Department may, based on the amounts mentioned in sub-clauses (1), (2), and (3) of clause (a) of sub-section (2) of Section 96, fairly assess the tax of such person for any income year or part of that year. (3) Where an assessment is made under sub-section (1) or (2), the following shall apply: (a) A person for whom the assessment is made for the full income year shall not be required to file the income statement under sub-section (1) of Section 96 for that income year, or (b) A person for whom the assessment is made for a part of any income year shall be required to file the income statement for that income year under sub-section (1) of Section 96. (4) The tax amount deposited according to the assessment for any part of an income year may be adjusted against the tax payable when assessing the tax for the full year. (5) When making an assessment under this section, the Department shall grant a period of seven days to submit evidence of clarification. 101. Amended assessment: (1) The Department may make an amended assessment to adjust the tax liability of a person whose tax has been assessed under Section 99 or 100 on a fair basis in accordance with the objectives of this Act. (2) If the Department considers it appropriate, it may further amend the amended assessment made under sub-section (1) as many times as necessary on a fair basis. (3) When making an assessment under sub-section (1) or (2), the Department must do so within four years from the following date: (a) In case of assessment under Section 99, the date on which the income statement was required to be submitted, (b) In case of assessment under sub-section (2) of Section 100, the date on which the notice of assessment was given to the person assessed under Section 102, (c) In case of assessment under sub-section (1) or (2), the date mentioned in clause (a) or (b) related to the amended assessment made under sub-section (1). (4) Notwithstanding anything contained in sub-section (3), if the assessment of any person has been erroneously made due to fraud, the Department may amend such assessment at any time.

While making such amendment, it must be completed within one year from the date of obtaining information that the statement was filed or assessment was made fraudulently.

(5) Notwithstanding anything contained in sub-section (3), if an assessment has been amended or the assessed tax has been reduced by the Revenue Tribunal or other competent courts, the Department shall not amend such assessment to that extent. Provided, however, that it shall not be deemed to prevent amendment if an order for reinvestigation is given.

(6) When amending an assessment under this section, the Department shall give a written notice to the person clearly stating the basis for such amendment and grant a period of amended by the Finance Act, 2076.fifteen days to submit evidence of clarification relating to such assessment. 101A. Assessment of tax on unexplained assets: (1) Pursuant to Section 28 of the Money Laundering Prevention Act, 2064, regarding the assessment of tax on unexplained assets of any person, the Department shall, subject to that section,

investigate whether a tax-related offense has been committed or not.

(2) If, upon investigation under sub-section (1), the Department finds that no tax-related offense has been committed, income tax at the maximum rate applicable to the income of that year shall be recovered from such person. 102. Notice of assessment: The Department shall give a written notice of assessment under sub-section (2) of Section 100 or under Section 101 to the person assessed, stating the following particulars:

(a) The assessed tax payable and the balance of tax to be deposited for the income year or period to which the assessment relates, by a person referred to in clauses (a) and (b) of Section 3,
(b) The method by which the tax was calculated in the assessment mentioned in clause (a),
(c) The reason why the Department had to make the assessment,
(d) The time within which the assessed tax remaining to be deposited must be deposited, and
(e) The time, place, and manner for filing a complaint if dissatisfied with the assessment. Chapter-20

Tax Collection, Waiver and Refund

103.

104. Claim on property: (1) Notwithstanding anything contained in the prevailing law, if a person fails to deposit tax by the date on which such tax is due, a claim of the Government of Nepal shall be deemed to have arisen on the property of the person maintaining tax arrears.

(2) When making a claim on the property on which a claim arises under sub-section (1), the Department shall give a written notice to that person stating the following:

(a) Description of the property claimed,
(b) The extent of the claim as mentioned in sub-section (3),
(c) The tax related to such claim, and
(d) Any other matter if applicable.

(3) When making a claim on property under sub-section (2), the claim shall arise only to the extent of the tax payable by such person, the interest payable under Section 119 in respect of such tax, and the expenses incurred for the claim and auction sale.

(4) A claim made under sub-section (2) shall not be effective until the following actions are taken:

(a) In respect of buildings and land, until the Department provides information to register the claim under sub-section (6),
(b) In respect of other tangible property, until the Department seizes such property under sub-section (3) of Section 105, and
(c) In any other case, until the notice under sub-section (2) is given to the person maintaining tax arrears.

(5) If the person maintaining tax arrears pays to the Department the entire amount under sub-section (3) covered by the claim made under sub-section (2), the claimed property shall be released.

(6) If the Department makes a claim on any land, land or building under sub-section (2), it shall inform the relevant Land Revenue Office, and that Office shall attach such land, land or building so that it is not sold or transferred to anyone.

(7) If the claim on land, land or building is to be released under sub-section (5), the Department shall give information thereof to the Land Revenue Office. Upon receiving such information, the Land Revenue Office

shall release such attached land, land or building.

(8) Regarding the expenses payable under sub-section (3), the Department shall, as soon as possible, give notice to the person maintaining tax arrears stating the following:

(a) The expenses incurred by the Department in relation to the claim and auction sale of the property of the person maintaining tax arrears before giving such notice, and
(b) The date on which such expenses must be paid by the person maintaining tax arrears to the Department.

Explanation: For the purposes of this section, "expenses incurred for the claim and auction sale" shall mean the expenses incurred or to be incurred by the Department as follows:

(a) Expenses incurred or to be incurred by the Department under this section in relation to the creation or release of the claim on such property, or
(b) Expenses incurred or to be incurred by the Department under Section 105 in relation to seizing, keeping, and selling by auction the claimed property. 105. Auction sale of claimed property: (1) The Department shall give notice to the person maintaining tax arrears for the auction sale of the claimed property held by such person.

(2) The notice given under sub-section (1) may be included in or attached to the notice given under sub-section (2) of Section 104. Such notice shall clearly state the following and be given to the person maintaining tax arrears:

(a) The claimed property, the manner and time of auction or sale of such property, and
(b) In respect of tangible property, the manner and place where the Department will take possession of such property.

(3) After the Department gives the notice under sub-section (1) or (2) to the person maintaining tax arrears, it may do the following:

(a) Seize the tangible property mentioned in such notice at any time,
(b) Enter any premises mentioned in the notice under sub-section (1) at any time for the purpose of taking possession of tangible property, and
(c) In respect of tangible property other than land, land or buildings, keep such property at any place the Department deems appropriate at the expense of the person maintaining tax arrears.

(4) After the Department gives the notice under sub-section (1) to the person maintaining tax arrears, it may sell by public auction or sell or dispose of such claimed property in the manner it deems appropriate at the following times:

(a) If the claimed property is land, land or building, thirty days after the date of taking possession of such property under sub-section (3),
(b) If the claimed property is perishable tangible property, one day after taking possession under sub-section (3),
(c) If the claimed property is tangible property other than that mentioned in clause (a) or (b), ten days after taking possession under sub-section (3), and
(d) If the property is of any other kind, ten days after taking possession of such property under sub-section (3).

(5) From the proceeds of the auction sale under sub-section (4), the expenses of the claim and auction sale

of the property sold shall first be deducted.

After deducting such expenses, the tax payable and the interest payable under Section 119 in respect of such tax shall be deducted, and if any amount remains thereafter, such amount shall be refunded to the person maintaining tax arrears.

(6) After adjusting the proceeds from the auction sale under sub-section (5), the Department shall give a written notice to the person maintaining tax arrears stating the process of such adjustment.

(7) If, when adjusting the proceeds from the auction sale by following the process under sub-section (5), the amount is insufficient to fully pay the expenses, tax, and interest mentioned in that sub-section, the Department shall recommence proceedings under Section 104, 119 or this section to recover the shortfall. Explanation: For the purposes of this section,-

(a) "Claimed property" shall mean the property of the person maintaining tax arrears mentioned in sub-section (2) of Section 103 or sub-section (2) of Section 104 of the person required to deduct advance tax.
(b) "Expenses incurred for the claim and auction sale" shall mean the expenses incurred or to be incurred by the Department under Section 104.
(c) "Person maintaining tax arrears" shall mean the person required to deduct advance tax mentioned in Sections 103 and 104 as well. 106. Restriction on leaving Nepal amended by the First Amendment.: (1) If a person does not deposit tax within the date on which tax is due, the Department may, for up to 72 hours from the date of payment of the time mentioned in the notice given to such person to deposit tax, require prior approval of the relevant amended by the First Amendment.High Court of the Government of Nepal.

(2) If it becomes necessary to extend the period mentioned in sub-section (1), the Department must obtain prior approval of the relevant High Court.

(3) If the person under sub-section (1) deposits the tax or if the Department feels that satisfactory arrangements have been made regarding the deposit of tax, the Department may withdraw such order by notifying the relevant office under sub-section (1). 107.

Officials of entity to be held responsible: (1) If an entity fails to comply with any matter required to be complied with under this Act, every person acting as an official of that entity at that time shall be responsible for such failure. (2) If an entity commits an offense by not paying tax by the date on which such tax is due, every official currently holding office or who held office up to six months prior shall be jointly or severally responsible for paying such tax. (3) Notwithstanding anything contained in sub-sections (1) and (2), those sub-sections shall not apply in the following circumstances: (a) Where the entity committed such offense without the knowledge or consent of that person, and (b) Where that person had taken or used such care, effort, and skill as would ordinarily be taken by a person exercising ordinary human prudence in similar circumstances to prevent such offense. (4) If a person deposits tax payable under sub-section (2), that person may do the following: (a) Recover the amount so deposited from the entity, (b) For the purpose of clause (a), keep under his/her control the property, including money, of the entity that is in or comes into his/her possession, up to the amount so deposited. (5) If a person takes control of any property under clause (b) of sub-section (4), neither the entity nor any other person shall be entitled to make any claim against such person. Explanation: For the purposes of this section, "official of any entity" shall mean the manager of that entity or any person acting in that capacity. 108.

Recovery of tax from receiver: (1) Every receiver shall, within fifteen days from the date on which he/she is appointed as a receiver or the date on which he/she takes possession of any property in Nepal, whichever is earlier, give written notice thereof to the Department. (2) The Department shall give a written notice to the receiver regarding the amount payable by the person maintaining tax arrears. (3) After receiving the notice under sub-section (2), the receiver shall do the following: (a) Sell the necessary portion of the property in his/her possession and, from the proceeds, subject to clause (c) of sub-section (2) of Section 103, pay any debt having priority over the tax payable under sub-section (2), and set aside the amount notified by the Department under that sub-section, and (b) Deposit with the Department on behalf of the person maintaining tax arrears, the amount so set aside in respect of his/her tax liability. (4) To the extent that the receiver fails to set aside any amount under sub-section (3), the receiver shall have a personal liability to deposit with the Department an amount equal to the tax liability payable by such person maintaining tax arrears. Provided, however, that the receiver shall not be allowed to recover the deposited amount from the person maintaining tax arrears. Explanation: For the purposes of this section,- (a) "Receiver" shall mean any of the following persons: (1) Liquidator, (2) A person appointed, out of court or by court, as a receiver in respect of any property or entity, (3) A person holding property as pledgee, (4) The direct heir, administrator, or executor of the property of a deceased natural person, or (5) A person acting on behalf of an incapacitated natural person. (b) "Person maintaining tax arrears" shall mean the person whose property has come into the possession of the receiver. 109.

Recovery of tax from person liable to pay amount: (1) If a person maintaining tax arrears fails to pay tax by the date on which such tax is due, the Department may, by written notice to any of the following payers, order the deposit in the Department within the date mentioned in such notice of an amount up to the tax payable on behalf of the person maintaining tax arrears: (a) A person who is liable to pay money to the person maintaining tax arrears, (b) A person who holds money for or on behalf of the person maintaining tax arrears, (c) A person who holds money on behalf of a third party to be paid to the person maintaining tax arrears, or (d) A person authorized by a third party to pay such money to the person maintaining tax arrears. (2) The Department shall give a copy of the notice given to the payer under sub-section (1) to the person maintaining tax arrears. (3) Notwithstanding anything contained in sub-section (1), the date mentioned in the notice under that sub-section shall not be earlier than the dates mentioned in clauses (a) and (b): (a) The date on which such money is payable to the person maintaining tax arrears or the date on which such money is held on his/her behalf, and (b) The date on which the notice is given under sub-section (2). (4) The amount deposited by the payer under sub-section (1) shall be deemed to be a payment to the person maintaining tax arrears. Such amount shall not be claimed from the payer by the person maintaining tax arrears or any other person. 110.

Recovery of tax from agent of non-resident person: (1) If a non-resident person maintaining tax arrears fails to pay tax by the date on which such tax is due, the Department may, by written notice to any person holding in his/her possession any property owned by the person maintaining tax arrears, order the deposit of tax on behalf of the person maintaining tax arrears from an amount equal to the market value of such property, not exceeding the amount of tax payable by such person maintaining tax arrears, within the date mentioned in such notice. (2) If a person deposits tax in accordance with the order under sub-section (1), he/she may do the following: (a) Recover such payment amount from the person maintaining tax arrears, (b) For the purpose of clause (a), take control of any property, including money, of the person maintaining tax arrears that is in or comes into his/her possession, up to the amount so paid. (3) If a person takes control of any property under clause (b) of sub-section (2), neither the person maintaining tax arrears nor any other person shall be entitled to make any claim against such person. Added by the First Amendment.110A. Recovery of arrears tax in installments: Before instituting a case under Section 111, if a person makes a written request to pay the arrears amount in installments, the tax officer may, giving a reasonable period, grant approval to pay in installments. Added by the First Amendment.110B. Liability for tax payment of a joint venture: Persons involved in a joint venture shall be jointly or severally responsible for the payment of the tax liability of the joint venture in which they are involved. Added by the First Amendment.110C. Person receiving actual benefit responsible for tax payment: If it is proved that the person receiving the actual benefit of a business is different from the person in whose name the business is registered, the liability to pay the tax of such business shall be of the person receiving such benefit. 111. Prosecution in case of non-payment: For recovery from a person who fails to deposit tax within the period for deposit, the Department may file a case in the relevant District Court. 112. Waiver: (1) If the tax payable by a person is irrecoverable, the Government of Nepal may grant a full or partial waiver of such tax. (2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may grant a full or partial waiver of fees and interest imposed under Chapter-22. 113.

Tax refund and adjustment: (1) If a person has paid tax in excess of his/her tax liability, the Department may direct that the excess tax amount be deducted from the tax payable by him/her under this Act. Any amount remaining after such deduction shall be refunded by the Department to the relevant person. (2) If a person does not have to deposit the tax related to the interest deposited under Section 11 9, the Department shall refund such interest to that person. Amended by the First Amendment.(3) If a person applies to the Department as prescribed to receive a refund under sub-section (1), the Department shall refund such amount within sixty days from the date of application. (4) A person applying under sub-section (3) must submit such application within two years from the later of the following dates. If the application is not made within that period, the amount under sub-section (1) shall not be refunded: (a) The date of expiry of the income year in which the excess amount was deposited, (b) The date on which the excess amount was deposited, or (c) The date of the court verdict. (5) The Department shall give a written notice of its decision regarding the application made under sub-section (3) to the relevant person. (6) When the Department refunds any tax amount to a person by court order or for other reasons, the Department shall also pay to such person interest at the standard rate for the following periods: (a) If such tax refund relates to the adjustment of excess tax available to a person in any income year under Section 93, 94 or 100, the period from the date on which the income statement was required to be submitted under Section 96 to the date of the refund, and (b) In any other case, the period from the date on which such person paid the refundable tax to the date of the refund. (7) The adjustment of tax credits claimable under Section 51 or 71 in any income year and such tax credits shall not be adjusted or refunded under this sub-section. Provided, however, that the adjustment of tax credits in that year may be made in accordance with the provisions made in sub-section (2) of Section 4, sub-section (4) of Section 51, and sub-section (3) of Section 71. Amended by the Finance Act, 2076.386(8) Chapter-21 Review and Appeal 114.

Decisions subject to administrative review and procedure: (1) For the purposes of this Act, the following decisions shall be subject to administrative review: (a) A pre-order issued by the Department under Section 76, Added by the Finance Act, 2076.387(a1) A decision made or order given under sub-section (8) of Section 90, (b) The estimate made or the decision to make an estimate by the Department regarding the estimated tax payable by any person under sub-section (7) of Section 95, (c) A decision made by the Department to order a person to submit an income statement under sub-section (5) of Section 96 or under Section 97, (d) A decision made by the Department on an application made by a person for extension of the time for submitting an income statement under Section 98, (e) The determination of tax payable by a person for any income year under Section 100 or 101, Added by the Finance Act, 2076.or the determination of auction sale expenses under sub-section (5) of Section 105, or the determination of fees and interest payable by a person under Section 122, (f) A notice given by the Department under sub-section (2) of Section 108 requiring a person in the capacity of a receiver to set aside an amount as payable, (g) A decision made by the Department under sub-section (1) of Section 109 to order a person holding money payable to the person maintaining tax arrears to deposit it in the Department, (h) A decision made by the Department under sub-section (1) of Section 110 to order a person to deposit the tax of a non-resident person on his/her behalf, (i) A decision made by the Department on an application made by a person for tax refund under sub-section (5) of Section 113, and (j) A decision made by the Department on an application made by a person for extension of the time for filing an application under sub-section (3) of Section 115 amended by the Finance Act, 2076.. (2) Even if the Department has made a decision on matters mentioned in clauses (d), (i) and (j) of sub-section (1), if the Department does not give notice of the decision within thirty days of the application to the person applying under Section 98, sub-section (3) of Section 113 or sub-section (3) of Section 115, such application shall be deemed to be a decision to reject it, and that decision shall be subject to administrative review under sub-section (1). (3) If notice of the decision within the period under sub-section (2) is not received by the person applying and if information thereof is registered in the Department, it shall be deemed that the Department has made a decision to reject the application mentioned in that sub-section and given notice thereof to that person on that date.

115. Right to file application for administrative review: (1) A person dissatisfied with a decision subject to administrative review under Section 114 may file an application against that decision with the Department within thirty days from the date of receipt of notice of such decision.

(2) An application filed under sub-section (1) shall clearly state the reasons and grounds for such review.

(3) If a person, having missed the period for filing an application under sub-section (1), files an application for extension of time within seven days from the date of missing the deadline, the Department may do the following:

(a) If reasonable cause appears, extend the time for up to a maximum of thirty days from the date of missing the deadline under sub-section (1), and
(b) Give written notice of the Department's decision on such application to the applicant.

(4) The filing of an application under sub-section (1) shall not be deemed to affect the implementation of the decision mentioned in sub-section (1) of Section 114.

(5) Notwithstanding anything contained in sub-section (4), until the application filed by a person under sub-section (1) is finally decided, the Department may stay or otherwise affect the decision made under sub-section (1) of Section 114. Amended by the Finance Act, 2076.390(6) A person filing an application under sub-section (1) shall pay the entire amount of the non-disputed tax and amended by the Finance Act, 2076.one-fourth of the disputed tax out of the assessed tax amount.

(7) On an application filed by a person under sub-section (1), the Department may do the following:

(a) Accept or reject the matters mentioned in the application in full or in part, and
(b) Give written notice of the decision on the application to that person. Added by the Finance Act, 2076.392(8) If the Department does not give notice of its decision on the application within sixty days from the date of filing the application under sub-section (1), the applicant may file a review in the Revenue Tribunal under Section 116. Added by the Finance Act, 2076.393(9) If a review is filed under sub-section (8), such person shall, within fifteen days from the date of filing the review, give written information to the Department attaching a copy of the appeal petition. 116.

Appeal to the Revenue Tribunal: (1) A person dissatisfied with the decision on an application filed with the Department under Section 115 may file an appeal with the Revenue Tribunal under the Revenue Tribunal Act, 2031. (2) A person filing an appeal under sub-section (1) shall register one copy of the notice of appeal with the Department within fifteen days of filing the appeal. (3) The filing of an appeal under sub-section (1) shall not be deemed to affect the implementation of the decision mentioned in sub-section (1) of Section 114. (4) Notwithstanding anything contained in sub-section (1) of Section 114, an appeal shall lie to the Revenue Tribunal if the decision subject to administrative review in that sub-section was made by the Director General. Amended by the Finance Act, 2076.394(5) When filing an appeal with the Revenue Tribunal under sub-section (1), the non-disputed tax amount out of the assessed tax shall be paid, and a deposit of fifty percent of the disputed tax amount, fees and penalty, or a bank guarantee for such amount, shall be provided. Amended by the Finance Act, 2076.395(6) When calculating the deposit amount or bank guarantee under sub-section (5), the twenty-five percent tax amount deposited in the Department for administrative review shall also be counted added by the Finance Act, 2076.396. Added by the Finance Act, 2076.397(7) A bank voucher deposited in the deposit account at the Treasury and Comptroller Office in the name of the relevant office, or a bank guarantee for an equal amount, as per sub-section (5), shall be submitted along with the appeal petition. Chapter-22 Fees and Interest 117.

Fee for failure to keep records or file returns or income statements: Amended by the Finance Act, 2076.398(1) If a person fails to submit the following returns, such person shall be liable to a fee as follows: (a) If an income statement for any income year is not submitted under sub-section (1) of Section 95, a fee of amended by the Finance Act, 2076.five thousand rupees or an amount equal to zero point zero one percent of the assessable income amount mentioned in the income statement, whichever is higher, (b) If any person required to collect advance tax fails to submit the return under amended by the Finance Act, 2076.sub-section (9) of Section 95A, such person shall be liable to a fee at the rate of one and a half percent per annum of the amount of advance tax to be collected for each month and part of a month from the date on which the return was required to be submitted to the date on which the return is submitted, (c) If an income statement for any income year is not submitted under sub-section (1) of Section 96, in the case of a person referred to in sub-section (4) of Section 4 of the Act, a fee of amended by the Finance Act, 2076.one thousand two hundred rupees per statement, and if the period is less than one year, at the rate of one hundred rupees per month, and in the case of other persons, a fee of zero point one percent per annum of the assessable income amount calculated by not deducting any deductible amount and including any amount to be included, or amended by the Finance Act, 2076.one thousand two hundred rupees per statement, and if the period is less than one year, at the rate of one hundred rupees per month, whichever is higher.

Added by the Finance Act, 2076.403

Added by the Finance Act, 2076.404(d) If an income statement for any income year is not submitted under Section 97, a fee equal to zero point one percent per annum of the amount resulting after deducting the income subject to final withholding from the assessable income of such person, or a fee of one thousand two hundred rupees per statement, and if the period is less than one year, at the rate of one hundred rupees per month, whichever is higher.

(2) If a person fails to keep records required to be kept under Section 81 for any income year, such person shall be liable to a fee equal to zero point one percent of the assessable amount calculated by not deducting any deductible amount and including any amounts to be included when calculating income for any income year for which such records were not kept, or one thousand rupees, whichever is higher.

(3) If any agent required to deduct advance tax fails to submit the return under sub-section (1) of Section 90, such agent shall be liable to a fee at the rate of two and a half percent per annum of the amount of advance tax to be deducted for each month and part of a month from the date on which the return was required to be submitted until such return is filed. 118.

Interest payable if estimated tax paid is lower in installments: (1) If, for an income year, in relation to the installment amount payable under Section 94 by a person, the amount mentioned in clause (b) exceeds the amount mentioned in clause (a), interest under sub-section (2) shall be payable on the amount of such excess: (a) The amount of each installment paid by such person in that income year, (b) The amount that would have been payable as an installment for each installment period if the estimate or revised estimate of the total amount payable by way of installments for that income year was correct, or if such amount is not correct, amended by the Finance Act, 2076.90 percent of the amount payable as an installment for each installment period of the tax amount payable by a person referred to in clauses (a) and (b) of Section 3. (2) A person under sub-section (1) shall be liable to interest at the standard rate for each month and part of a month from the date on which that installment was payable for that year until the following period: (a) In the case of a person making an assessment under sub-section (1) of Section 99, until the date on which the income statement is required to be submitted, (b) In the case of a person for whom the Department makes a first amended assessment under Section 101 due to failure to make an assessment under sub-section (1) of Section 99, until the date on which notice of such amended assessment is served under Section 102. Explanation: For the purposes of this section, "amount payable by way of installments" shall mean the installment amount calculated in accordance with sub-section (1) of Section 94 for a person who, after submitting an estimate once, does not submit a revised estimate, and for whom the Department makes an estimate under 125. Penalty for Obstructing or Unduly Influencing Tax Administration: (1) A person who commits the following acts shall be liable to a fine of five thousand rupees to twenty thousand rupees or imprisonment for one month to three months or both: (a) obstructs an officer of the Department in the course of performing his/her duty under this Act, (b) fails to act in accordance with the notice under Section 83, or (c) obstructs the implementation of this Act in any other manner. (2) If an attempt is made to commit an act under sub-section (1), half of the penalty mentioned in that sub-section shall be imposed. 126.

Penalty for Offence Committed by an Authorized or Unauthorized Person: (1) Any authorized person who violates Section 84 shall be liable to a fine of up to eighty thousand rupees or imprisonment for up to one year or both. (2) If any person not authorized under this Act collects or attempts to collect any tax or any other amount as tax, he/she shall be liable to a fine of eighty thousand rupees to two hundred and forty thousand rupees or imprisonment for one year to three years or both. 127. Penalty for Abettor: A person who knowingly assists, advises, or abets another person in committing any offence under this Act, or Amended by the Finance Act, 2055.414 certifies false financial or tax accounts, or provides incorrect advice, shall be liable to half of the penalty prescribed for the offender. Provided that, if such abettor is a government employee, he/she shall be liable to the same penalty as the offender. 128. Penalty for Non-Compliance: Unless otherwise provided in this Act, a person who fails to comply with any provision of this Act or the Rules made under this Act shall be liable to a fine of five thousand rupees to thirty thousand rupees. 129. Department May Order to Deposit Fine Amount: (1) Notwithstanding anything elsewhere contained in this Chapter, if before the initiation of judicial proceedings a person accepts in writing that he/she has committed one or more offences referred to in this Chapter other than those mentioned in Section 126, the Department may order such person to deposit a fine amount not exceeding the fine leviable for such one or more offences. (2) When issuing an order under sub-section (1), the Department shall specify in that order the nature of the offence, the amount of fine to be paid, and the date by which the fine amount must be paid. (3) An order given by the

Department under this section shall be final and no appeal shall lie against it. 130. Government of Nepal to be Plaintiff: In a case under this Chapter, the Government of Nepal shall be the plaintiff. 131. Investigation and Filing of Cases: (1) Investigation into an offence punishable under this Chapter shall be conducted by the designated officer, and such investigation shall be completed and the case filed in the concerned District Court within thirty-five days. (2) While conducting an investigation under sub-section (1), the investigating officer shall seek the opinion and advice of the government attorney. Chapter-24 Miscellaneous 132.

May Obtain Services of Experts: The Government of Nepal Amended by the Finance Act, 2055.415 or the Department may obtain the services of relevant experts for tax examination work, and the provisions regarding government confidentiality mentioned in Section 84 shall also apply to such experts. 133. Departmental Action to Be Taken: If, due to negligence in making a tax assessment, the liability of a taxpayer is increased or decreased, the Director General may initiate departmental action against the officer concerned for making such assessment or for failing to issue a revised assessment within the period under sub-section (3) of Section 101, in accordance with the prevailing law relating to his/her service conditions. 134. Identity Card of Officer: Every officer shall carry an identity card as prescribed and shall show it to anyone who requests to see it in the course of performing official duties. 135. Powers Equivalent to a Court: For the purposes of this Act, the Department shall have powers equivalent to a court under the prevailing law regarding summoning persons, taking statements, examining evidence, and requiring the production of documents. 136. Not Liable for Acts Done in Good Faith: Notwithstanding anything elsewhere contained in this Act, no officer shall be personally liable for any act done in good faith in the course of performing his/her duty. Added by the Finance Act, 2055.416136A. Provision for Reward and Informer's Fee: (1) If a person provides information with evidence that a person has evaded or attempted to evade his/her tax liability in whole or in part, a reward equivalent to twenty percent of the tax amount determined based on the evidence submitted by such person out of the tax recovered on the basis of such information may be given by the decision of the Director General. (2) If there is more than one person entitled to the reward under sub-section (1), the reward amount shall be distributed proportionately. (3) Notwithstanding anything contained in sub-section (1), a person providing information about revenue leakage may be given an informer's fee of up to ten thousand rupees immediately, in accordance with the procedure prescribed by the Department based on the veracity of the information. (4) The name, surname, and address of a person providing information under sub-sections (1) and (3) shall be kept confidential. 137. Government of Nepal May Give Orders or Directions: For making tax administration effective, the Government of Nepal may give necessary orders or directions to the Department. 138. Power to Make Rules: The Government of Nepal may make necessary Rules to implement the objectives of this Act. 139.

May Issue Directives: Subject to this Act or the Rules made under this Act, the Department may issue necessary directives. 140. Amendment, Addition or Deletion in Schedules: The Government of Nepal may, by publishing a notice in the Nepal Gazette, make necessary additions, deletions, or amendments in the Schedules other than Schedule-1. 141. Police to Render Assistance: It shall be the duty of the police to render assistance requested by the Department in relation to the implementation of this Act or the Rules made under this Act. Added by the Finance Act, 2055.417141A. 142. Tax Provisions to Be According to This Act: Notwithstanding anything contained in the prevailing law, no other Act shall make any amendment, change, or other provision regarding taxes under this Act, except to the extent that the Finance Act applicable for each fiscal year amends this Act to make provisions regarding levying, assessing, increasing, decreasing, granting exemption, or remission of taxes. 143.

Repeal, Amendment and Saving: (1) The Income Tax Act, 2031 and the House and Land Rent Tax Act, 2023 are hereby repealed. (2) The following Acts are amended as follows: (a) Amended by the Finance Act, 2055.418 (b) Amendment to the Employees Provident Fund Act, 2019: In the proviso to Section 18 of the Employees Provident Fund Act, 2019, the words ?no tax of any kind shall be levied? are replaced with the words ?no tax of any kind except income tax shall be levied?. (c) Amendment to the Nepal Petroleum Act, 2040: Clause (c) of Section 13 of the Nepal Petroleum Act, 2040 is hereby omitted. (d) Amendment to Section 29 of the Pension Fund Act, 2042: In Section 29 of the Pension Fund Act, 2042, the words ?no other tax of a similar nature shall be levied? are replaced with the words ?no tax of any kind except income tax shall be levied?. (e) Amendment to Section 51 of the Citizen Investment Fund Act, 2047: Section 51 of the Citizen Investment Fund Act, 2047 is hereby repealed. (f) Amendment to Section 30 of the Nepal Amended by the Finance Act, 2055.419 Science and Technology Academy Act, 2048: Section 30 of the Nepal Amended by the Finance Act, 2055.420 Science and Technology Academy Act, 2048 is hereby repealed. (g) Amended by the Finance Act, 2055.421 Amendment to Section 15 of the Industrial Enterprises Act, 2049: (1) Clauses (c), (d), (e), (j), (th), (t), (th), (d) and (dh) of Section 15 of the Industrial Enterprises Act, 2049 are hereby omitted. Amended by the Finance Act, 2055.422 (2) The words ?in income tax, thirty, twenty-five and twenty percent respectively for ten years from the date of operation and? appearing in Clause (ch) are hereby omitted. (h) Amended by the Finance Act, 2055.423 Amendment to the Foreign Investment and Technology Transfer Act, 2049: Sub-section (1A) of Section 5 of the Foreign Investment and Technology Transfer Act, 2049 is hereby omitted. (i) Amendment to the B.P. Koirala Institute of Health Sciences Act, 2049: The word ?income tax? appearing in the second paragraph of Section 21 of the B.P.

Koirala Institute of Health Sciences Act, 2049 is hereby omitted. (j) Amendment to the Tribhuvan University Act, 2049: Sub-section (2) of Section 33 of the Tribhuvan University Act, 2049 is hereby omitted. (k) Amendment to Section 12 of the Electricity Act, 2049: (1) The word ?Income Tax? in the heading of Section 12 of the Electricity Act, 2049 is hereby omitted. (2) Sub-sections (1), (2), (3), (4), (5) and (6) are hereby omitted. (l) Amendment to Section 36 of the Pokhara University Act, 2053: Sub-section (2) of Section 36 of the Pokhara University Act, 2053 is hereby omitted. (m) Amendment to Section 18 of the B.P. Koirala Memorial Cancer Hospital Act, 2053: The word ?income tax? appearing in sub-section (1) of Section 18 of the B.P. Koirala Memorial Cancer Hospital Act, 2053 is hereby omitted. (n) Amendment to the Urban Development Fund Act, 2053: Section 24 of the Urban Development Fund Act, 2053 is hereby repealed. (o) Sub-section (1) of Section 34 of the Telecommunications Act, 2053 is hereby repealed. (3) All acts done under the Acts or Sections of Acts repealed or amended under sub-section (1) or (2) shall be deemed to have been done under this Act. (4) With regard to the assessment and collection of income tax for income years prior to the commencement of this Act, the provisions of the Income Tax Act, 2031 shall apply. Schedule-1 (Relating to Section 4) Tax Rates 1.

In respect of a natural person: Amended by the Finance Act, 2076.4(1) Tax shall be levied on the taxable income of a resident natural person for any income year, subject to sub-sections (2), (4) and (4A) of this Schedule, at the following rates: (a) One percent for employment taxable income up to five hundred thousand rupees, Added by the Finance Act, 2076.Provided that, in the case of a taxpayer registered as a sole proprietorship, income from retirement benefits, contributions to a retirement fund and contribution-based social security fund shall not be subject to tax under this clause. (b) For taxable income exceeding five hundred thousand rupees but up to seven hundred thousand rupees, five thousand rupees on the first five hundred thousand rupees as per clause (a) and ten percent on the taxable income exceeding five hundred thousand rupees, (c) For taxable income exceeding seven hundred thousand rupees but up to one million rupees, twenty-five thousand rupees on the first seven hundred thousand rupees as per clause (b) and twenty percent on the taxable income exceeding seven hundred thousand rupees, (d) For taxable income exceeding one million rupees but up to two million rupees, eighty-five thousand rupees on the first one million rupees as per clause (c) and thirty percent on the taxable income exceeding one million rupees, and Amended by the Finance Act, 2076.(e) For taxable income exceeding two million rupees up to five million rupees, an additional twenty percent on the tax rate applicable under clause (d), and for taxable income exceeding five million rupees, an additional thirty percent on the tax rate applicable under clause (d) on the excess taxable income.

Added by the Finance Act, 2076.(2) Tax shall be levied on the taxable income of any couple making a selection under Section 50 of this Act for any income year, subject to sub-sections (4) and (4A) of this Schedule, at the following rates:

(a) One percent for employment taxable income up to six hundred thousand rupees,

Added by the Finance Act, 2076.Provided that, in the case of a taxpayer registered as a sole proprietorship, income from retirement benefits, contributions to a retirement fund and contribution-based social security fund shall not be subject to tax under this clause.

(b) For taxable income exceeding six hundred thousand rupees but up to eight hundred thousand rupees, six thousand rupees on the first six hundred thousand rupees as per clause (a) and ten percent on the taxable income exceeding six hundred thousand rupees,

(c) For taxable income exceeding eight hundred thousand rupees but up to one million one hundred thousand rupees, twenty-six thousand rupees on the first eight hundred thousand rupees as per clause (b) and twenty percent on the taxable income exceeding eight hundred thousand rupees,

(d) For taxable income exceeding one million one hundred thousand rupees but up to two million rupees, eighty-six thousand rupees on the first one million one hundred thousand rupees as per clause (c) and thirty percent on the taxable income exceeding one million one hundred thousand rupees,

Added by the Finance Act, 2076.(e) For taxable income exceeding two million rupees up to five million rupees, an additional twenty percent on the tax rate applicable under clause (d), and for taxable income exceeding five million rupees, an additional thirty percent on the tax rate applicable under clause (d) on the excess taxable income. Added by the Finance Act, 2076.(3) The provision mentioned in sub-section (4) shall apply in the following circumstances:

(a) In respect of a resident natural person whose income in any income year exceeds five hundred thousand rupees, or in respect of a resident couple who have opted under Section 50 of this Act, whose income in any income year exceeds six hundred thousand rupees,
(b) The net gain from the disposal of non-business chargeable assets is included in the income of that natural person or couple and in the calculation of the corresponding taxable income.

Added by the Finance Act, 2076.(4) Subject to sub-section (3), the following persons shall be taxed as follows:

(a) Tax shall be levied at the rate specified in sub-section (1) or (2) of this Schedule as if only the following amount were the taxable income of that natural person or couple, on whichever of the following amounts is higher:
(1) The amount remaining after deducting the amount of such gain from the total taxable income of that natural person or couple,
(2) Five hundred thousand rupees in the case of a natural person or six hundred thousand rupees in the case

of a couple.
(b) The remaining amount of such taxable income shall be taxed at the rate of ten percent. Provided that,
(1) If the ownership of the disposed non-business chargeable asset (land and real estate) is five years or more, tax shall be levied at the rate of five percent.
(2) If the ownership of the disposed non-business chargeable asset (land and real estate) is less than five years, tax shall be levied at the rate of seven point five percent.
(3) In the case of gain from the disposal of an interest held for a period exceeding three hundred and sixty-five days in an entity listed on the Nepal Securities Board, tax shall be levied at the rate of five percent, and in the case of gain from the disposal of an interest held for a period of three hundred and sixty-five days or less, tax shall be levied at the rate of seven point five percent. Added by the Finance Act, 2076.(4A) Notwithstanding anything else contained in this section, income under sub-sections (6), (6C), (6D) of Section 95A of any resident natural person not engaged in operating a business Added by the Finance Act, 2076.shall be taxed at five percent. Added by the Finance Act, 2076.(5) Tax under this section shall be calculated only on the amount remaining after deducting from the taxable income up to a maximum of fifty thousand rupees as prescribed for remote area allowance payable to a natural person working in a remote area designated by the Government of Nepal. Added by the Finance Act, 2076.(6) Tax under this section shall be calculated only on the amount remaining after deducting from the taxable income seventy-five percent of the foreign allowance of an employee working in a Nepalese diplomatic mission abroad.

Added by the Finance Act, 2076.(7) The tax amount under sub-section (4) of Section 4 of this Act shall be as follows: (a) In the case of a natural person conducting business in a metropolitan city or sub-metropolitan city area: seven thousand five hundred rupees, (b) In the case of a natural person conducting business in a municipality area: four thousand rupees, (c) In the case of a natural person conducting business in an area other than those mentioned in clauses (a) and (b): two thousand five hundred rupees. (8) Tax shall be levied at the rate of twenty-five percent on the taxable income of a non-resident natural person for any income year. Amended by the Finance Act, 2076.440(9A) Notwithstanding anything else contained in this section, if a resident natural person has retirement income, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income an amount equal to twenty-five percent of the amount mentioned in clause (a) of sub-section (1) for a natural person or clause (a) of sub-section (2) for a couple. Provided that, the limit of the amount to be deducted in this manner shall not exceed the prescribed amount. Amended by the Finance Act, 2076.441(10) Notwithstanding anything else contained in this section, if a resident natural person is a person with disability, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income an amount equal to fifty percent of the amount mentioned in clause (a) of sub-section (1) for such natural person or clause (a) of sub-section (2) for a couple. Amended by the Finance Act, 2076.442(11) Notwithstanding anything else contained in this section, if a resident natural person is a woman earning only remuneration income, there shall be a ten percent reduction in the tax amount payable by such natural person. Amended by the Finance Act, 2076.443(12) Notwithstanding anything else contained in this section, if a resident natural person has made an investment insurance, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or Amended by the Finance Act, 2076.444 forty thousand rupees, whichever is lower.

Amended by the Finance Act, 2076.445(13) Notwithstanding anything else contained in this section, in the case of vehicles for hire, annual income tax at the following rates shall be collected from the owner at the time of registration or renewal of the vehicle through the Transport Management Office:

Vehicle Type Annual Tax Payable per Vehicle

(1) Car, Jeep, Van, Micro Bus
(a) Up to 1300 cc Rs. 5,500/-
(b) From 1301 to 2000 cc Rs. 6,000/-
(c) From 2001 to 2100 cc Rs. 6,500/-
(d) From 2101 to 4000 cc Rs. 8,000/-
(e) Above 4001 cc Rs. 9,000/-
(2) Mini Truck, Mini Bus, Water Tanker Rs. 8,000/-
(3) Mini Tipper Rs. 9,000/-
(4) Truck, Bus Rs. 10,500/-
(5) Machinery Equipment like Dozer, Excavator, Loader, Roller, Crane Rs. 15,500/-
(6) Oil Tanker, Gas Bullet, Tipper Rs. 15,500/-
(7) Tractor Rs. 2,500/-
(8) Power Tiller Rs. 2,000/-
(9) Auto Rickshaw, Three Wheeler, Tempo Rs. 2,500/-
(10) Electric Vehicle
(a) Up to 50 kW Rs. 3,000/-
(b) From 50 kW to 125 kW Rs. 4,000/-
(c) From 125 kW to 200 kW Rs. 6,000/-
(d) Above 200 kW Rs. 7,500/-

Amended by the Finance Act, 2076.446(14)

Amended by the Finance Act, 2076.447(15)

Amended by the Finance Act, 2076.448(16) Notwithstanding anything else contained in this section, if a resident natural person has made health insurance with a resident insurance company, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or twenty thousand rupees, whichever is lower. Amended by the Finance Act, 2076.449(16A) Notwithstanding anything else contained in this section, if a resident natural person has insured his/her own private building with a resident insurance company, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or five thousand rupees, whichever is lower.

Amended by the Finance Act, 2076.450(17) When calculating tax on the transaction amount under sub-section (4A) of Section 4 of this Act, Amended by the Finance Act, 2076.451 tax shall be levied as per sub-section (4) of Section 4 of the Act for transactions up to thirty lakh rupees, and on the transaction amount exceeding that, at the following rates:

(a) For a person dealing in goods with a commission or mark-up of up to three percent, including gas, cigarettes, etc., on transaction amounts exceeding thirty lakh rupees up to fifty lakh rupees: zero point two five percent of the transaction amount, and on transaction amounts exceeding fifty lakh rupees up to one crore rupees: zero point three percent,
(b) For a person conducting business other than that mentioned in clause (a), on transaction amounts exceeding thirty lakh rupees up to fifty lakh rupees: one percent of the transaction amount, and on transaction amounts exceeding fifty lakh rupees up to one crore rupees: zero point eight percent,
(c) For a person conducting a service business: two percent of the transaction amount. 2. In respect of an

entity: (1) Subject to sub-sections (2), (3), (5) and (7) of this section, Amended by the Finance Act, 2076.452 tax shall be levied at the rate of twenty-five percent on the taxable income of any entity for any income year.

(2) For any income year, tax shall be levied at the rate of thirty percent on the taxable income of any bank, financial institution, general insurance business, Amended by the Finance Act, 2076.453 entity conducting financial transactions, Amended by the Finance Act, 2076.454 telecommunications and internet services, money transfer, capital market business, securities business, merchant banking business, commodity futures market, securities and commodity broker business, entities dealing in cigarettes, bidis, cigars, chewing tobacco, khaini, Amended by the Finance Act, 2076.455 gutkha, pan masala, liquor, beer, or entities conducting petroleum operations under the Nepal Petroleum Act, 2040. Explanation: In the case of petroleum operations, "taxable income" shall mean the taxable income determined in accordance with the procedures specified in the petroleum agreement and this Act and the Rules made under this Act.

Amended by the Finance Act, 2076.456(3) A cooperative institution registered under the Cooperative Act, 2074, if it conducts transactions other than exempt transactions, tax shall be levied at the following rates: (a) If operated within a municipality area: five percent, (b) If operated within a sub-metropolitan city area: seven percent, (c) If operated within a metropolitan city area: ten percent, Provided that, in the case of a cooperative institution conducting savings and credit transactions, tax shall be levied at the following rates: (1) If operated within a municipality area: ten percent, (2) If operated within a sub-metropolitan city area: fifteen percent, (3) If operated within a metropolitan city area: twenty percent. Amended by the Finance Act, 2076.457(3A) Amended by the Finance Act, 2076.458(3B) Tax shall be levied at the rate of twenty percent on the taxable income of schools and colleges registered and operated under a public trust. (4) Amended by the Finance Act, 2076.459 (5) Amended by the Finance Act, 2076.460For any income year, tax shall be levied on the taxable income of a trustee receiving or managing the estate of a deceased resident person or a resident natural person who is incapacitated, treating such estate receiver, manager, or trust as a resident natural person, according to sub-section (1) and sub-section (4) of section 1 of this Schedule. (6) For any income year, tax shall be levied at the rate of Amended by the Finance Act, 2076.461 five percent on income remitted abroad by a foreign permanent establishment in Nepal of any non-resident person. (7) For any income year, tax shall be levied at the rate of five percent on the taxable income of any non-resident person in respect of income mentioned in Section 70 of this Act. Amended by the Finance Act, 2076.462Provided that, in the case of a non-resident person providing water transport, air transport, or telecommunication services that do not depart from Nepal to arrive in another foreign country, tax shall be levied at the rate of two percent. (8) Amended by the Finance Act, 2076.463 Schedule-2 (Relating to Section 19) Determination of Depreciation Deduction 1.

Classification and Grouping of Depreciable Assets: (1) The classification of depreciable assets shall be as follows:

Class Description of Assets

"A" Buildings, structures, and other similar constructions of a permanent nature.
"B" Computers, data processing equipment, furniture, fixtures, and office equipment.
"C" Automobiles, buses, and minibuses.
"D" Construction and excavation related equipment and depreciable assets not included elsewhere, including sub-section (3) of Section 17, sub-section (3) of Section 18, and sub-section (3) of this Schedule.
"E" Intangible assets other than depreciable assets mentioned in Class "D".

(2) Any person shall place a depreciable asset owned by him/her and used for generating income from

business or investment in any income year into a pool as follows at the time it first comes into ownership or use, and such pools shall be considered as the person's pools of depreciable assets for that year:

(a) In respect of similar assets owned or used by the person, depreciable assets of Class "A", "B", "C", or "D" shall be considered to be in the same pool as other assets of the same class.
(b) In respect of depreciable assets of Class "E", even though they are assets of the same class, they must be placed in separate pools.

(3) Costs incurred for the exploration, extraction of minerals, and development thereof from natural resources in the course of generating income from a business shall be treated as if they were costs incurred in purchasing assets for the business related to that income. 2.

Depreciation Expense: (1) Any person shall be entitled to deduct, for any income year, an expense equal to the depreciation occurring in that year on assets in each of the person's pools of depreciable assets, calculated according to sub-sections (2) and (6) of this section. (2) A person must calculate the depreciation deduction for assets in a pool for his/her income year using the following formula: A x B Where: "A" means the depreciation base amount of the pool of assets at the end of that income year, "B" means the depreciation deduction rate applicable to that pool as mentioned in Section 3 of this Schedule. (3) The depreciation base amount of depreciable assets in Class "A", "B", "C", or "D" at the end of any income year shall be determined by subtracting the amount in clause (c) from the sum of clauses (a) and (b): Provided that the amount after such subtraction shall not be less than zero: (a) The amount remaining after deducting the depreciation expense for that pool calculated under sub-sections (2) and (6) from the depreciation deduction base amount of that pool at the end of the previous year. (b) The amount of expenditure under sub-section (5) of this Schedule 444.

Amended by the First Amendment. or expense added to the pool for assets added to that pool during that year.
(c) Any amount received from the disposal of any asset of that pool during that year.

(4) The depreciation deduction base amount of each depreciable asset under Class "E" at the end of any income year shall be the total sum of the following amounts:

(a) The depreciation deduction base amount of depreciable assets in the pool at the end of the previous income year, and
(b) The amount added to that depreciation deduction base amount during that fiscal year for an asset within that pool under sub-section (5).

(5) The cost incurred for any depreciable asset included in any pool of a person's depreciable assets shall be added to the depreciation base amount of the relevant pool as follows:

(a) At the time the asset is included in the pool under Section 1 of this Schedule or the time the cost for acquiring the asset is incurred, whichever is later, it shall be added taking the first value calculated according to the following formula:

A / 3 x B

For the purposes of this clause, "A" shall have the following value for the following period:
(i) For the period from the beginning of the income year to the end of Poush, the value shall be three,
(ii) For the period between Magh and the end of Chaitra, the value shall be two, and
(iii) For the period from Baishakh to the end of the income year, the value shall be one.

"B" means that cost amount.

(b) The remaining part of the cost shall be added in the income year following the income year in which the first part was added, provided that the pool has not been dissolved in the interim under sub-section (2) of Section 4 of this Schedule.

(6) If the depreciation expense calculated under sub-section (2) of this section from the depreciation deduction base amount of pools of depreciable assets of Class "A", "B", "C", or "D" results in an amount less than two thousand rupees, the entire remaining amount shall be calculated as an additional depreciation expense. 3. Rate of Depreciation: (1) Subject to sub-section (2), the rate of depreciation applicable to each pool mentioned in sub-section (2) of Section 2 of this Schedule shall be as follows:

Class Rate

"A" 5 percent
"B" 25 percent
"C" 20 percent
"D" 15 percent
"E" The rate expressed as a percentage obtained by dividing the cost of the asset at the time of its acquisition by the useful life of the asset, adjusted to the nearest half year. 446.

449. Added by the First Amendment.(4) If a person issues bills and invoices using a fiscal printer and cash machine, he/she may claim the lump sum amount of expenditure on such printer and cash machine as depreciation expense in the same year. 4. Disposal of Depreciable Assets: (1) When calculating income from the disposal of a depreciable asset or assets used in business or investment in that income year, if clause (a) exceeds clause (b), such excess amount shall be included in that income:

(a) The incomes obtained or deemed to be obtained by a person in that income year from the disposal of assets belonging to Class "A", "B", "C", or "D" pools of the person,
(b) The depreciation deduction base amount of the pool at the end of that year, calculated under sub-section (3) of Section 2 of this Schedule without including the income from the disposal.

(2) If a person disposes of all assets in a pool of his/her depreciable assets before the end of any income year, that pool shall be deemed to be dissolved and the following shall apply:

(a) If the amount calculated for the assets in the depreciable asset pool according to the following formula exceeds the depreciation deduction base amount, the person shall be deemed to have received that excess amount for that year:

A ? B

Or

(b) If the depreciation deduction base amount of the pool exceeds the amount resulting from the depreciation calculation for the assets in the depreciable asset pool according to the following formula, the person shall be allowed an expense amount equal to that excess in that year:

B ? A

Explanation: For the purposes of this section:

(1) "A" means the incomings received or receivable by a person from the disposal of that asset in that year.

(2) "B" means the total of clauses (i), (ii), and (iii):
(i) The reducing balance value of the pool in that year,
(ii) The outgoings for that year added to the depreciation base amount of the pool, and
(iii) The outgoings to be added to the depreciation base amount of the pool in the following year under sub-section (5) of Section 2 of this Schedule.
(3) For the purposes of this Schedule, the reducing balance value of a pool of depreciable assets in any income year means the following amount:

(a) In the case of a pool of Class "A", "B", "C", or "D", the amount after deducting any depreciation calculated for that pool for that year under sub-section (2) and sub-section (6) of Section 2 of this Schedule from the depreciation base amount of that pool at the end of the previous income year,
(b) In the case of a pool of Class 450.

Amended by the First Amendment. "E", the amount after deducting all expenses allowed to the person as a deduction under sub-section (1) of Section 2 of this Schedule for previous income years from the depreciation base amount of that pool at the end of the previous income year.

(1) Provision of the original Act:
(d) "Non-business chargeable asset" means land, buildings, and shares or securities in any entity, excluding the following assets:
(1) Business assets, depreciable assets, or trading stock,
(2) A private building of a natural person meeting the following conditions:
(a) Owned continuously for three years or more, and
(b) Occupied by that person continuously or intermitt

23. Added by the Economic Ordinance, 2061 (with "4(a) His Majesty's Government" inserted, and subsequently substituted by "Government of Nepal" by the Finance Act, 2063), and amended by the Finance Act, 2074, maintaining continuity. 24. Added by the Finance Act, 2074. Before the amendment, the words "(5) Village Development Committee, Municipality or District Development Committee" existed. By the Act to Amend Some Nepal Acts, 2072, the words "(5) Rural Municipality, Municipality or District Assembly" were substituted. 25. Amended by the Finance Act, 2075. Previously, the word "and" appeared. 26. Added by the Economic Ordinance, 2060, and maintained in continuity. 27. Deleted by the Economic Ordinance, 2060 (the words "done or" were removed). 28. Added by the Finance Act, 2064. Subsequently amended and maintained in continuity by the Finance Act, 2067, and further amended by the Finance Act, 2075. 29. By the Economic Ordinance, 2060, "sub-section (4)" was substituted with "sub-section (5)". 30. Deleted by the Finance Act, 2082. Before deletion, the provision added and maintained by the Finance Act, 2081 read: "5. If a person located outside Nepal indicates a digital presence in Nepal, or if a server located outside Nepal transacts data or services in Nepal for at least ninety days in the preceding twelve-month period, that location shall be considered."

31. Added by the Economic Ordinance, 2060, and subsequently maintained in continuity by subsequent Economic Ordinances and Finance Acts, and amended by the Finance Act, 2075. The original added provision: "(a1) "Adjusted taxable income" means the taxable income calculated for any person for any income year without deducting any amount under Section 12 and without making any deduction under Section 17 or 18."

32. Added by the Finance Act, 2080. 33. Where "ten percent" was maintained by the Finance Acts, 2064, 2065, and 2066, but that provision was not continued thereafter, the original Act's provision remains in effect.

34. The word "commission," was deleted by the Economic Ordinance, 2078, and that amendment was confirmed by the Finance Act, 2078.

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35.

Amended by the Finance Act, 2075. (1) Original Act's provision: "(ka1) 'Beneficiary' means a person having an interest in any body related to the activity." (2) By the Economic Ordinance, 2059, the words "related to the activity" were deleted; by the Economic Ordinance, 2060, the words "as per clause (ma)" were inserted before the word "interest"; subsequently amended and maintained in continuity by the Finance Act, 2063, and further amended by the Finance Act, 2075. 36. By the Act to Amend Some Nepal Laws, 2063, the following provision was added: "3a. Tax on His Majesty: Income of His Majesty the King, Her Majesty the Queen, His Royal Highness the Crown Prince and other members of the royal family, and income from their personal property, shall be taxable under this Act." This was repealed by the Finance Act, 2065. 37. Amended by the Economic Ordinance, 2060, and maintained in continuity, and further amended by the Finance Act, 2075. Original Act's provision: "(1) The amount of tax payable by any person referred to in Section 3 for any income year shall be equal to the total tax amount payable by such person." 38. Added by the Economic Ordinance, 2060, and maintained in continuity, and amended by the Finance Act, 2075. 39. Amended by the Economic Ordinance, 2060, and maintained in continuity, and amended by the Finance Act, 2075. Original Act's provision: "(ga) Has not claimed to adjust tax on taxable income under Section 51 except for medical treatment expenses paid by the employer and retirement contributions, and has not claimed to deduct expenses under sub-sections (2) and (3) of Section 63 and expenses under Section 12." 40. Added by the Economic Ordinance, 2062, and maintained in continuity, and amended by the Finance Act, 2075. 41.

Amended by the Finance Act, 2078. (1) Original Act's provision: "(kha) The income from business and the turnover of the business do not exceed the limit mentioned in sub-section (6) of Section 1 of Schedule 1, and" (2) Provision amended by the Economic Ordinance, 2060: "(kha) The income from business does not exceed one hundred fifty thousand rupees and the turnover of the business does not exceed twelve lakh rupees, and" (3) Provision amended by the Ordinance, 2062: "(kha) The income from business does not exceed one hundred fifty thousand rupees and the turnover of the business does not exceed fifteen lakh rupees, and" (4) Provision maintained as amended by the Finance Act, 2075: "(kha) The income from business does not exceed two lakh rupees and the turnover of the business does not exceed twenty lakh rupees," (5) Provision amended by the Economic Ordinance, 2078: "(kha) The taxable income from business does not exceed three lakh rupees and the turnover of the business does not exceed thirty lakh rupees," (177) 42. By the Economic Ordinance, 2078, the words (which before deletion by amendment read: "the person has opted to apply this provision for that income year,") were deleted, and that amendment was confirmed by the Finance Act, 2078. 43. Added by the Finance Act, 2072, and by the Economic Ordinance, 2078, the words "not registered for value added tax" were deleted, and that amendment was confirmed by the Finance Act, 2078. 44. By the Economic Ordinance, 2078, the words "not registered for value added tax" were deleted, and that amendment was confirmed by the Finance Act, 2078. 45.

Added by the Finance Act, 2072, and amended by the Finance Act, 2075. (1) Provision added by the Finance Act, 2072: "(4a) Notwithstanding anything written in sub-section (2), a resident natural person under clause (ka) of Section 3 who fulfills the following conditions shall have the tax payable in any income year on the basis of turnover equal to the amount calculated at the rate specified in sub-section (17) of Section 1 of Schedule 1: (ka) In that income year, the person has only income from a business sourced in Nepal, (kha)

Has not claimed to adjust tax on account of medical treatment expenses under Section 51, (ga) Has not claimed advance tax deduction under Section 93, (gha) The annual turnover of the business is more than twenty lakh rupees and less than fifty lakh rupees, (nga) Not registered for value added tax, and (cha) The income is not from consultancy and specialist services provided by natural persons including doctors, engineers, auditors, legal practitioners, athletes, artists, and consultants." 46. Amended by the Finance Act, 2078. By the Economic Ordinance, 2078, the phrase originally reading "(kha) The annual turnover of the business is more than twenty lakh rupees and less than fifty lakh rupees," was replaced with the phrase "(kha) The taxable income from business is up to ten lakh rupees and the turnover of the business is more than thirty lakh rupees and less than one crore rupees," and amended accordingly. 47. Amended by the Finance Act, 2080. Previously, the words "less than one crore rupees" appeared. 48. By the Economic Ordinance, 2078, the phrase "(ga) Not registered for value added tax." was deleted, and that amendment was confirmed by the Finance Act, 2078. 49. Added by the Finance Act, 2082. 50. Amended by the Economic Ordinance, 2072, and subsequently maintained in continuity by subsequent Finance Acts, and amended by the Finance Act, 2075. Original Act's provision: Section 88, by the Finance Act, 2060, "Section 88" was substituted with "87, 88 and 89". 51.

Amended by the Finance Act, 2078. (1) In the original Act, the words "Section 12 or Section 63" appeared. (178) (2) By the Finance Act, 2060, after the words "Section 12 or Section 63," the words "or both sections" were inserted. (3) By the Finance Act, 2066, the words "Section 12, 12a. or 63 or all three sections" were substituted by amendment. (4) By the Finance Act, 2074, the words "Section 12, 12a., 12b., 6dha or all these sections" were substituted by amendment. (5) By the Finance Act, 2075, the words "Section 12, 12a., 12b., 63 or" were inserted. 52. By the Finance Act, 2076, the word "and" was deleted. 53. Amended by the Finance Act, 2075. 54. Added by the Finance Act, 2066. By the Finance Act, 2074, the "and" in clause (kha) was deleted, and instead of clause (ga), "(ga) "investment, and" was inserted, creating a new clause (gha), and subsequently amended by the Finance Act, 2075. 55. Amended by the Finance Act, 2068, and continued by subsequent Finance Acts, and amended by the Finance Act, 2075. (1) Original Act's provision: "6. Assessable Income: Subject to this Act, for any person, in any income year, the following income from any business, employment or investment shall be considered assessable income:- (ka) In the case of a resident person, income from that person's employment, business or investment during that year, wherever the source of income may be, and (kha) In the case of a non-resident person, income from employment, business or investment during that year where the source of income is in Nepal. Provided that assessable income shall not include any income exempted under Section 11 or 64." By the Economic Ordinance, 2059 (2059.9.22), after the words "Section 11 or 64" the words "or both" were inserted by amendment, and that provision was continued until the Finance Act, 2066. (2) Provision maintained by the Finance Act, 2068: "6.

Assessable Income: Subject to this Act, for any person, in any income year, the following income from any business, employment, investment or windfall gain shall be considered assessable income:-

(ka) In the case of a resident person, income from that person's employment, business, investment or windfall gain during that year, wherever the source of income may be, and

(kha) In the case of a non-resident person, income from employment, business, investment or windfall gain during that year where the source of income is in Nepal. Provided that assessable income shall not include any income exempted under Section 11 or 64 or both."

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56. By the Economic Ordinance, 2060, maintained in continuity, and amended by the Finance Act, 2075. In

the original Act, the words "shall be deemed and calculated" appeared. 57. Amended by the Economic Ordinance, 2060. In the original Act, the word "treaty" appeared. 58. Amended by the Finance Act, 2074. Original Act's provision: "(nga) Allowance paid by the Government of Nepal to widows, elderly or disabled persons,". 59. Amended by the Finance Act, 2082. Before the amendment, the word "province" appeared. 60. Deleted by the Finance Act, 2074. Original Act's provision: "(3) Amount earned by Nepal Rastra Bank in accordance with its objectives, or" was added by the Finance Act, 2067, but the amendment by the Finance Act, 2074 did not continue it, resulting in the sub-section not being amended:

"(4) Amount earned by the Securities Board of Nepal in accordance with its objectives."

61. Added by the Finance Act, 2064 and amended by 2074. Original provision: "(jha) Any type of income of the Government of Nepal"

62. Added by the Finance Act, 2074. 63. Amended by the Finance Act, 2077. Provision added by the Finance Act, 2074: (ta) Amount earned by the Securities Board of Nepal in accordance with its objectives. 64. Deleted by the Finance Act, 2081. The previously existing words "Amount earned by drinking water and sanitation consumer institutions registered under the Water Resources Act, 2049, in accordance with their objectives," were deleted. 65. Added by the Economic Ordinance, 2078, and that addition was confirmed by the Finance Act, 2078. 66. Added by the Economic Ordinance, 2078, and that addition was confirmed by the Finance Act, 2078. 67. Amended by the Finance Act, 2080. The previously existing words "or the relevant body of the Government of Nepal" were deleted. 68.

Amended by the Finance Act, 2080. (1) Provision maintained by the Finance Act, 2079: "Provided that income derived from operating an agricultural business registered as a firm, company, partnership or organized institution, a business of dehydrating vegetables, and a cold storage business shall be granted one hundred percent tax exemption on the tax payable on such income." (2) Provision added by the Finance Act, 2078: "Provided that income derived from operating an agricultural business registered as a firm, company, partnership or organized institution shall be granted fifty percent tax exemption on the tax payable on such income." 69. Amended by the Finance Act, 2075. (1) Original Act's provision: "(2) No tax shall be levied on the income of a cooperative institution registered and operating under the Cooperative Act, 2048, engaged in businesses such as agriculture or forest-based sericulture and silk production, fruit farming and fruit processing, animal husbandry, dairy industry, poultry farming, fish farming, tea farming and processing, coffee farming and processing, herb farming and processing, vegetable seed production, beekeeping, honey production, rubber farming, fruit farming and production, community forestry, agroforestry and other commercial forestry-related businesses, agricultural and forest-based industries, cold storage established for vegetable storage, and trading of agricultural seeds, pesticides, fertilizers, and agricultural implements (except those operated by mechanical power), and community-based savings or credit cooperative institutions in municipalities designated by the department where necessary infrastructure has not been developed, and rural community-based savings and credit cooperative institutions or associations. No tax shall also be levied on the dividend distributed by such institution or association." (180) (2) Provision maintained by the Finance Act, 2063: "(2) No tax shall be levied on the income of a cooperative institution registered and operating under the Cooperative Act, 2048, engaged in businesses such as agriculture or forest-based sericulture and silk production, fruit farming, production and processing, animal husbandry, dairy industry, poultry farming, fish farming, tea farming and processing, coffee farming and processing, herb farming and processing, vegetable seed production, beekeeping, honey production, rubber farming, fruit farming and production, community forestry, agroforestry and other commercial forestry-related businesses, agricultural and forest-based industries, cold storage established for vegetable storage, and trading of agricultural seeds, pesticides, fertilizers, and agricultural implements (except those operated by mechanical power), and rural community-based savings or credit cooperative institutions and rural community-based savings and credit cooperative institutions or associations.

No tax shall also be levied on the dividend distributed by such institution or association."

(3) Provision additionally maintained by the Finance Act, 2064: "(2) No tax shall be levied on the income of a cooperative institution registered and operating under the Cooperative Act, 2048, engaged in businesses such as agriculture or forest-based sericulture and silk production, fruit farming, production and processing, animal husbandry, dairy industry, poultry farming, fish farming, tea farming and processing, coffee farming and processing, herb farming and processing, vegetable seed production, beekeeping, honey production, rubber farming, community forestry, agroforestry and other commercial forestry-related businesses, agricultural and forest-based industries, cold storage established for vegetable storage, and trading of agricultural seeds, pesticides, fertilizers, and agricultural implements (except those operated by mechanical power), and rural community-based savings and credit cooperative institutions or associations. No tax shall also be levied on the dividend distributed by such institution or association. Explanation: "Rural community" means an area other than a municipality area and the village development committees adjoining that area."

(4) Provision additionally maintained by the Finance Act, 2065: After the words "agricultural seeds" the words "animal feed, fodder," were inserted.

(5) Provision maintained by the Finance Act, 2074: "(2) No tax shall be levied on the income of a cooperative institution registered and operating under the Cooperative Act, 2048, engaged in businesses such as agriculture or forest-based sericulture and silk production, fruit farming, production and processing, animal husbandry, dairy industry, poultry farming, fish farming, tea farming and processing, coffee farming and processing, herb farming and processing, vegetable seed production, beekeeping, honey production, rubber farming, community forestry, agroforestry and other commercial forestry-related businesses, agricultural and forest-based industries, cold storage established for vegetable storage, and trading of agricultural seeds, animal feed, fodder, pesticides, fertilizers, and agricultural implements (except those operated by mechanical power), and savings and credit cooperative institutions or associations operating in the area of a rural municipality. No tax shall also be levied on the dividend distributed by such institution or association."

71. Amended by the Finance Act, 2077, which amended the provision of 2076, replacing the previously existing words "savings and credit cooperative" with the words "cooperative engaged in financial transactions."

72.

Added by the Finance Act, 2071, and amended by the Finance Acts, 2074 and 2075, and maintained. (1) Added provision: "(2a) Interest of up to twenty-five thousand rupees annually earned from deposits made in microfinance institutions based in rural communities, rural development banks, postal savings banks, and cooperatives under sub-section (2) shall be exempt." (2) Provision maintained by the Finance Act, 2074: "(2a) Interest income of up to twenty-five thousand rupees annually earned from deposits made in microfinance institutions operating in the area of a rural municipality, rural development banks, postal savings banks, and cooperatives under sub-section (2) shall not be taxed." 73. Added by the Finance Act, 2076. 74. Added by the Finance Act, 2082. 75. Deleted by the Finance Act, 2080. Provision added by the Finance Act, 2076: "(ga) A person who has received a facility under clause (ka) or (kha) shall also receive any other tax exemption facility available under this section." 76.

Amended by the Finance Act, 2075. (1) Original Act's provision: "(3) Tax on income from a special industry for any person in any income year shall be levied as follows:- (ka) Ninety percent of the tax rate applicable to the income of that year if six hundred or more Nepali citizens are provided direct employment throughout the year, (kha) If the special industry is operated in very underdeveloped, underdeveloped, or less developed areas, then seventy, seventy-five, and eighty percent respectively of the tax applicable to the income of those years for ten income years including the income year in which such industry was established." (2) Provision maintained as amended by the Finance Act, 2065: (1) Before the amendment, the words "from a special industry" were replaced with the words "from a special industry and information technology industry," and the following clause (ka) was maintained: "(ka) Ninety percent of the tax rate applicable to the income of that year for a special industry and information technology industry providing direct employment to five hundred or more Nepali citizens throughout the year," (3) Provision maintained as amended by the Finance Act, 2066, in clauses (ka) and (kha) as follows: "(ka) Ninety percent of the tax rate applicable to the income of that year for a special industry and information technology industry providing direct employment to three hundred or more Nepali citizens throughout the year, eighty percent of the tax rate applicable to the income of that year for an industry providing direct employment to twelve hundred or more Nepali citizens throughout the year, eighty percent of the tax rate applicable to the income of that year for a special industry that provides direct employment to more than one hundred Nepali citizens throughout the year, including at least thirty-three percent women, Dalits or persons with disabilities, for three hundred or more, (kha) If the special industry is operated in very underdeveloped, underdeveloped, or less developed areas, then fifty, seventy, and seventy-five percent respectively of the tax applicable to the income of those years for ten income years including the income year in which such industry was established." (4) Provision maintained as amended by the Finance Act, 2067, in clause (kha) as follows: In clause (kha), the words "fifty, seventy and seventy-five percent" were replaced with the words "ten, twenty and thirty percent," and other matters remained unchanged. (5) By the Finance Act, 2072, the following clause (ka1) was added after clause (ka), but subsequent Finance Acts did not continue it: "(ka1) Seventy percent of the tax applicable to the income of a special industry, agricultural industry, and tourism industry that provides direct employment exclusively to Nepali citizens throughout the year, Provided that the industry receiving this facility must have provided employment to at least one hundred persons." (6) Provision maintained by the Finance Act, 2073: "(3) Tax on income from a special industry and information technology industry for any person in any income year shall be levied as follows:- (ka) Ninety percent of the tax applicable to the income of that year for a special industry and information technology industry providing direct employment to three hundred or more Nepali citizens throughout the year, eighty percent of the tax applicable to the income of that year for a special industry providing direct employment to twelve hundred or more Nepali citizens throughout the year, eighty percent of the tax applicable to the income of that year for a special industry that provides direct employment to more than one hundred Nepali citizens throughout the year, including at least thirty-three percent women, Dalits, or persons with disabilities, (kha) Seventy percent of the tax applicable to the income of that year for a special industry, agricultural industry, and industry related to the tourism sector that provides direct employment exclusively to Nepali citizens throughout the year, Provided that only an industry that has provided employment to at least one hundred persons shall receive such facility. (ga) If the special industry is operated in very underdeveloped, underdeveloped, or less developed areas, then ten, twenty, and thirty percent respectively of the tax applicable to the income of those years for ten income years including the income year in which such industry was established, (gha) A special industry established with a capital investment of more than one billion rupees and providing direct employment to more than five hundred persons throughout the year shall be granted a full income tax exemption for five years from the date of starting operations, and fifty percent of the tax applicable for the subsequent three years, Provided that if an existing industry in operation increases its installed capacity by at least twenty-five percent, achieving a capital of one billion rupees, and provides direct employment to more than five hundred persons throughout the year, the income derived from such capacity expansion shall be granted a full income tax exemption for five years and fifty percent of the tax applicable for the subsequent three years." 77.

81. Added by the Finance Act, 2079. 82. Added by the Finance Act, 2077. 83. Amended by the Finance Act, 2077. Previously, the words "achieving a capital of one billion rupees and providing to more than five hundred" appeared. 84. Added by the Economic Ordinance, 2062. Subsequently maintained with amendments by subsequent Economic Ordinances and Finance Acts, and amended by the Finance Act, 2075.

(1) Provision added by the Economic Ordinance, 2062: "(3a) Tax on income from export for any person in any income year shall be levied as follows:-

(ka) Fifty percent of the tax applicable to the income of a special industry established in an export promotion zone or special economic zone designated by His Majesty's Government by notification in the Nepal Gazette.

(kha) Twenty-five percent of the tax applicable to the income of an information technology-based industry established within an information technology park designated by His Majesty's Government by notification in the Nepal Gazette.

(ga) Seventy-five percent of the tax applicable to the income under sub-section (12) of Section 1 of Schedule 1 and sub-section (3) of Section 2 of Schedule 1, excluding the income referred to in clauses (ka) and (kha)."

(2) Provision amended by the Finance Act, 2063: "(3a) Income tax payable on the income of an industry established in a special economic zone shall be fully exempt for five years from the date of commencement of the industry, and fifty percent of the income tax payable for subsequent income years shall be exempt."

(3) Provision amended by the Finance Act, 2064: "(3a) Tax on the income of an industry established in a special economic zone and tax on dividends distributed by such industry shall be exempt as follows:-

(ka) One hundred percent of the income tax payable for five years from the date of commencement of operations for an industry established in a special economic zone located in a Himalayan district and a hilly district designated by the Government of Nepal, and fifty percent of the income tax payable for subsequent income years,

(kha) One hundred percent of the income tax payable for five years from the date of commencement of operations for an industry established in a special economic zone located in other areas, and fifty percent of the income tax payable for subsequent income years,

(ga) One hundred percent of the tax on dividends distributed by an industry established in a special economic zone for five years from the date of commencement of operations, and fifty percent for the subsequent three years,

(gha) Fifty percent of the income tax payable on income derived by foreign investors of an industry established in a special economic zone from foreign technology or management service fees and royalties."

(4) Provision added by the Finance Act, 2072, clause (nga), continued until the Finance Act, 2074: "(nga) One hundred percent dividend tax on capitalization of retained profits into shares for the capacity expansion of the same industry, for special industries and industries related to the tourism sector."

85.

By the Finance Act, 2068, the words "excluding the area referred to in clause (ka)" were inserted. 86. Added by the Finance Act, 2082. 87. Amended by the Finance Act, 2077. Before the amendment, the words "petroleum and natural gas" appeared. 88. Added by the Finance Act, 2063.

(1) Provision added by the Finance Act, 2063: "(3ga) Twenty-five percent of the tax applicable to the income of an information technology-based industry established within an information technology park designated by the Government of Nepal by notification in the Nepal Gazette shall be exempt."

(2) Provision maintained as amended by the Finance Act, 2067: "(3ga) Fifty percent of the tax applicable to the income of an industry related to software development, data processing, cyber cafes, and digital mapping established within a technology park, biotechnology park, and information technology park designated by the Government of Nepal by notification in the Nepal Gazette shall be exempt."

(3) The provision maintained as amended by the Finance Act, 2067, was further amended and maintained by the Finance Act, 2075. 89. Amended by the Finance Act, 2077. 90. Amended by the Finance Act, 2067. Before the amendment, the words "information technology-based" appeared. 91. Amended by the Finance Act, 2082. Previously, "twenty-five percent" was amended to "fifty percent" by the Finance Act, 2067, which was maintained. 92. Amended by the Finance Act, 2078.

(1) Provision added by the Finance Act, 2066: "(3gha) A federal entity licensed to generate, transmit, or distribute electricity that commercially commences generation, generation and transmission, generation and distribution, or generation, transmission, and distribution of hydropower by the month of Chaitra 2075 shall receive a full income tax exemption for the first seven years from the date of commencement, and a fifty percent income tax exemption for the subsequent three years. Such facility shall also be available for electricity generated from solar, wind, and biomass.

Provided that for a licensee who has already commenced commercial production at the time of the commencement of this sub-section, the provision in effect at the time of obtaining the license shall remain." (2) By the Finance Act, 2068, the proviso in this sub-section was amended as follows:- "(ka) A hydropower project that commences construction within Bhadra 7, 2071, and commercially commences hydropower generation by the month of Chaitra 2075, shall receive a full income tax exemption for the first ten years and a fifty percent income tax exemption for the subsequent five years. (kha) For a licensee who has already commenced commercial production at the time of the commencement of this sub-section, the provision in effect at the time of obtaining the license shall remain." (3) Provision before amendment by the Finance Act, 2078: "(3gha) A person or entity licensed to commercially generate, transmit, or distribute hydropower by the month of Chaitra 2080 shall receive a full income tax exemption for the first ten years from the date of commercial commencement of hydropower generation, and a fifty percent income tax exemption for the subsequent five years. Such facility shall also be available for electricity generated from solar, wind, and biomass. Provided that for a licensee who has already commenced commercial production at the time of the commencement of this sub-section, the provision in effect at the time of obtaining the license shall remain." 93. Amended by the Finance Act, 2080, substituting "2084" for "2083". By the Finance Act, 2079, "2083" was substituted for "2082". 94. Provision maintained as amended by the Finance Act, 2080. (1) Previously existing provision: "Provided that for reservoir and semi-reservoir hydropower projects above forty megawatts that achieve financial closure by the month of Chaitra 2085, a full income tax exemption for the first fifteen years and a fifty percent income tax exemption for the subsequent six years." (2) By the Finance Act, 2079, the word "2082" was substituted. (3) By the Finance Act, 2079, the word "forty" was substituted for "two hundred". 95. Added by the Finance Act, 2067, and maintained as amended by the Finance Act, 2075; the provision before amendment by the Finance Act, 2076 read: "(3nga) There shall be a twenty-five percent exemption on the tax rate applicable to income derived from the export of goods manufactured by a productive industry." 96. Amended by the Finance Act, 2081. Previously, the word "export" appeared. 97.

Amended by the Finance Act, 2080. (1) Provision before amendment: "On income derived from the export of goods manufactured in Nepal, an additional fifty percent on the tax remaining after exemption under clause (ka) or (kha)." (2) By the Economic Ordinance, 2078, ("twenty-five percent" was substituted with "thirty-five percent"), and that amendment was confirmed by the Finance Act, 2078. (3) Provision maintained by the Finance Act, 2076: "(ga) On income derived from the export of goods manufactured by a productive industry, an additional twenty-five percent on the tax remaining after exemption under clause (ka) or (kha)." 98. Added by the Finance Act, 2067, and subsequently maintained with amendments by subsequent Finance Acts, and further amended by the Finance Act, 2075. Thereafter, the provision amended by the Finance Act, 2076, was further amended by the Finance Act, 2077. (1) Provision added by the Finance Act, 2067: "(3cha) There shall be a forty percent exemption on the tax rate applicable to income derived from the construction and operation of roads, bridges, airports, tunnels, or from investment and operation in trams and trolleybuses." (2) Provision amended by the Finance Act, 2076: "(3cha) Tax on income derived from the following activities by any entity shall be exempted as follows:- (ka) Twenty percent for operating trams or trolley buses, (kha) Twenty percent for constructing and operating ropeways, cable cars, railways, tunnels, or sky bridges, (ga) Forty percent for constructing and operating airports, (gha) Fifty-two percent for constructing and operating roads, bridges, or tunnels, (nga) Fifty-two percent for investment and operation in trams or trolley buses." 99. Added by the Finance Act, 2067. By the Finance Act, 2073, the words "ten percent" in this sub-section were substituted with "fifteen percent," and the provision was maintained as amended by the Finance Act, 2075. 100. Added by the Finance Act, 2067, and subsequently maintained with amendments by subsequent Finance Acts, and amended by the Finance Act, 2077. Provision added by the Finance Act, 2067: "(3ja) An industry established in a very developed area producing fruit-based brandy, cider, and wine shall receive a forty percent income tax exemption for ten years from the date of commencement of operations." 101. Added by the Finance Act, 2067. Subsequently maintained by subsequent Finance Acts, and further amended by the Finance Act, 2075. 102. Added by the Finance Act, 2067. Subsequently maintained by subsequent Finance Acts, and further amended by the Finance Act, 2075. 103.

Amended by the Finance Act, 2080. (1) Added by the Finance Act, 2071, and by the Finance Act, 2073, the word "rupees" was inserted after the words "two billion," and the provision was maintained as amended by the Finance Act, 2075. (2) By the Finance Act, 2077, the proviso in sub-section (3ta) reading "Provided that if an existing industry or airline company in operation increases its current installed capacity by at least twenty-five percent, achieving two billion rupees, the income derived from such capacity expansion shall receive a full exemption for five years and a fifty percent exemption on the income tax rate for the subsequent three years" was deleted. (3) Provision before amendment by the Finance Act, 2080: "(3ta) An industry related to the tourism sector established with a capital investment of more than two billion rupees, or an airline company operating international flights, shall receive a full income tax exemption for five years from the date of commencement of operations, and a fifty percent exemption on the income tax rate for the subsequent three years." 104. Added by the Finance Act, 2075. 105. Amended by the Finance Act, 2081. Previously, the words "special industry" appeared. 106. Deleted by the Finance Act, 2082. Before deletion, the provision added and maintained by the Finance Act, 2081 read: Explanation: For the purpose of this sub-section, "information technology industry" means an industry related to technology parks, information technology parks, biotechnology parks, software development, data processing, digital mapping, business process outsourcing, data mining, and cloud computing. 107. Added by the Finance Act, 2075. 108. Amended by the Finance Act, 2080. The previously existing words "as a company" were replaced with the words "a company." 109. Added by the Finance Act, 2075. 110. Added by the Finance Act, 2075. 111. Added by the Finance Act, 2075. 112. Amended by the Finance Act, 2077. Before the amendment, the words "five years" appeared. 113. Amended by the Finance Act, 2077. Before the amendment, the words "two years" appeared. 114. Amended by the Finance Act, 2076. 115. Amended by the Finance Act, 2080. Added by the Finance Act, 207 ??? Added by Finance Act, ???? and continued by subsequent Finance Acts, with amendment sustained by Finance Act, ????. ??? The restrictive phrase was removed by Finance Act, ????. Original provision: "Provided that such loan liability must have been incurred for the purpose of generating income from business or investment." ??? Amended by Finance Ordinance, ????.

Amended phrase: "The total interest amount deductible under that sub-section shall not exceed the total of the following amounts." ??? Amended by Finance Ordinance, ????. Amended phrase: "of taxable income" replaced by "of adjusted taxable income". ??? Amended by Finance Act, ???? and continued by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(6) Where the business inventory of a person cannot be ascertained, such person may choose to calculate the cost of inventory using the first-in-first-out method or the average cost method. Provided that once such a method is chosen, it shall not be changed without the written permission of the Department." ??? Amended by Finance Act, ???? and continued by subsequent Finance Acts, with amendment sustained by Finance Act, ????. ??? Added by Finance Ordinance, ???? and continued, with amendment sustained by Finance Act, ????. ??? Ibid. ??? Added by the Ordinance amending certain Nepal Acts relating to Revenue, ????, but removed as not continued by subsequent Finance Acts. Added provision: "(1) A person engaged in a business specified by the Department may maintain inventory accounts using the retail method and file income returns accordingly." ??? Added by the Ordinance amending certain Nepal Acts relating to Revenue, ????, but removed by Finance Act, ????. Added provision: "The value declared under Section 10A of the Value Added Tax Act, 2052 is recognized as cost expenditure unless proven otherwise." ??? Amended by Finance Act, ????, with amendment sustained by Finance Act, ????. (1) Provision of the original Act: "(2) Notwithstanding anything contained in sub-section (1), the expenditure deductible under that sub-section shall not exceed five percent of the depreciation amount of that asset block, and if more expenditure is incurred, such deduction shall only be made in order of the expenditure incurred." (2) Amended by Finance Act, ???? (by replacing the word "five" in the original section with "seven"). (3) By Finance Ordinance, ????, the following restrictive phrase was added to sub-section (2): "Provided that this limit shall not apply to the maintenance expenditure incurred during the complete overhaul of an aircraft by a person providing air transport services in accordance with the standards determined by the Civil Aviation Authority of Nepal." (4) Provision amended by Finance Act, ????: "(2) Notwithstanding anything contained in sub-section (1), the expenditure deductible under that sub-section shall not exceed seven percent of the depreciation amount of the asset block at the end of that income year.

Provided that this limit shall not apply to the maintenance expenditure incurred during the complete overhaul of an aircraft by a person providing air transport services in accordance with the standards determined by the Civil Aviation Authority of Nepal."

(5) Amendment to the restrictive phrase by Finance Act, ????:

"Provided that

(a) such limit shall not apply to the maintenance expenditure incurred during the complete overhaul of an aircraft by a person providing air transport services in accordance with the standards determined by the Civil Aviation Authority of Nepal.

(b) for maintenance expenditure of property damaged in earthquake-affected districts specified by the Government of Nepal, such limit shall not apply up to fiscal year ????/?? if the taxpayer so desires."

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(3) Any excess expenditure or part thereof not deductible under sub-section (1) as a result of the limit under sub-section (2) may be added to the depreciation amount of the relevant asset block under sub-section (5) of Section 2 of Schedule 2."

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(2) Notwithstanding anything contained in sub-section (1), when calculating the limit of expenditure deductible under that sub-section in any year, such limit shall not exceed fifty percent of the taxable income computed without deducting pollution control expenditure of all businesses operated by that person and without including the limits under sub-section (2) of Section 12 and sub-section (2) of Section 18."

??? Added by Finance Ordinance, ????.

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(2) Notwithstanding anything contained in sub-section (1), when calculating the limit of expenditure deductible under that sub-section in any year, such limit shall not exceed fifty percent of the taxable income of that person computed without deducting research and development expenditure of all businesses operated by that person and without including the limits under sub-section (2) of Section 12 and sub-section (2) of Section 17."

??? Added by Finance Ordinance, ????.

??? Amended by Finance Act, ????. The original Act contained the words "shall be entitled to."

??? Amended by Finance Act, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????.

(1) Provision of the original Act: "(b) unrelieved losses of the past four income years incurred by that person from any business.

Provided that, in the case of projects involving construction and operation of public infrastructure and transfer to the Government of His Majesty the King, unrelieved losses of the past seven years."

(2) Amended by Finance Ordinance, ???? by adding the following restrictive phrase:

"Provided that, in the case of projects involving construction and operation of public infrastructure and transfer to the Government of His Majesty the King, and projects involving construction, generation and transmission of power houses, unrelieved losses of the past seven income years, and in the case of an entity engaged in petroleum operations under the Petroleum Act, ????, unrelieved losses of the past twelve years."

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(2) For the purpose of computing income from any investment in any income year, a person may deduct the unrelieved loss of that year incurred from any other investment."

??? Added by Finance Act, ???? and continued, with the words "full or partial" replaced by "full" and the word "subsequent" replaced by "future" by Finance Act, ????, and further added by Finance Act, ????.

??? Added by Finance Act, ????.

??? Removed by Finance Act, ????. Before amendment, the words added and sustained by Finance Act, ???? were: "tax collected under sub-section (7) of Section 9A and not reconciled in that income year."

??? Added by Finance Act, ???? and amended by Finance Act, ????. Original provision: "(g1) Remuneration and wage expenses distributed to employees and workers who have not obtained a Permanent Account Number."

??? Added by Finance Act, ???? and amended by Finance Act, ????. Provision before amendment: "(ghar) Expenses in respect of invoices exceeding one thousand rupees where the Permanent Account Number is not mentioned."

??? Removed by Finance Act, ????. Originally there was the word "or."

??? Added by Finance Act, ????.

??? Amended by Finance Act, ????. Before amendment, the words "clauses (a), (b), (c), (d) and (e)" existed.

??? Amended by Finance Ordinance, ????. Before amendment, the words "for a natural person" existed.

??? Added by Finance Act, ???? and continued, with addition sustained by Finance Act, ????.

??? Added by Finance Act, ????.

??? Added by Finance Ordinance, ????, but not continued by subsequent Finance Ordinances and Acts. Added provision: "(g1) Special fee paid upon declaration to regularize inventory."

??? Added by Finance Act, ????.

??? Amended by Finance Ordinance, ???? and continued, with addition sustained by Finance Act, ????. Provision before amendment: "in the income computation made by a person."

??? Amended by Finance Ordinance, ????.

Provision of the original Act: "(2) Where the value of such liability can be determined in a fair and reasonable manner." ??? Amended by Finance Act, ???? and continued with amendments as follows by subsequent Finance Ordinances and Acts, with amendment sustained by Finance Act, ????. (1) Provision of the original Act: "(3) Notwithstanding anything contained in sub-section (1), in computing income from any investment or business, the Department may, by written notice, in the following circumstances, if tax is reduced, adjust the time of payment to prevent postponement or reduction of payment for tax purposes: (a) In the following cases,- (1) Where any expense is deductible in computing income for any income year, but if that person were required to account on a cash basis for tax purposes, that expense would only be deductible in a future income year, or (2) Where any payment has been received in that income year which, in computing income of a future income year, should only be included, but if that person were required to account on a cash basis for tax purposes, the amount of that payment would be included in the income year in which the payment was received, and (b) Where any person, by giving or receiving payment in any income year, reduces the total tax payable." (2) By Finance Ordinance, ????, the following sub-section (3A) was added after sub-section (3): "(3A) Notwithstanding anything contained in sub-section (1), the Department may recognize the accounting prescribed by Nepal Rastra Bank under the Nepal Rastra Bank Act, 2058 and prevailing banking laws in respect of banking business." (3) Sub-section (3) was removed by Finance Ordinance, ????.

Original provision: "(3) Notwithstanding anything contained in sub-section (1), in computing income from any investment or business, the Department may, by written notice, in the following circumstances, if tax is reduced, adjust the time of payment to prevent postponement or reduction of payment for tax purposes:

(a) In the following cases,-

(1) Where any expense is deductible in computing income for any income year, but if that person were required to account on a cash basis for tax purposes, that expense would only be deductible in a future income year, or

(2) Where any payment has been received in that income year which, in computing income of a future income year, should only be included, but if that person were required to account on a cash basis for tax purposes, the amount of that payment would be included in the income year in which the payment was received, and

(b) Where any person, by giving or receiving payment in the income year of any income year, reduces the total tax payable."

(4) By Finance Act, ????, the following restrictive phrase was included and the amendment continued.

"Provided that a cooperative society may also account for interest income on a cash basis."

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(4) When computing the income of any person from business or investment on an accrual basis, appropriate adjustments shall be made upon receipt or payment in the following circumstances where differences may arise:

(a) Where that person includes any payment receivable or deducts any payment payable, and

(b) Where after the event mentioned in clause (a), due to differences in currency valuation etc., that person receives or pays a different amount, resulting in a difference in the amount received or incurred."

??? Amended by Finance Ordinance, ????. Before amendment, the words "reimbursement of amount" existed.

??? By Finance Ordinance, ????, the words "money or" were removed.

??? By Finance Ordinance, ????, the words "money and" were removed.

??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "29.

Indirect Payments: Where a person intends to benefit another person from a payment made by the payer or a person related to the payer, the Department may, by issuing a notice in writing, treat such other person or a specified person as the recipient of that payment: (a) If that other person indirectly benefits from any payment, or (b) If that other person specifies the person to receive any payment." ??? Added by Finance Act, ???? and amended by Finance Act, ????. Original provision: "Provided that compensation received by a resident natural person for physical injury from a personal accident shall not be included in income, and expenses for treatment of injury from such accident shall not be eligible for tax reconciliation claim under

Section 51." ??? By Finance Ordinance, ????, the word "seller" was removed. ??? Amended by Finance Ordinance, ????. Before amendment, the words "value transfer" existed. ??? Added by Finance Act, ????. ??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(2) Any amount which, as a result of receipt, is to be included in income when determining the income of that person." ??? Amended by Finance Ordinance, ???? replacing the words "taxable amount." ??? Amended by Finance Act, ????.

Added by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts as follows, with amendment sustained by Finance Act, ????. (1) Provision of the original Act: "(2) Up to that time, the net outgoing expenditures made in respect thereof shall be deemed to be an amount equal to the receipt amount." (2) Provision amended by Finance Ordinance, ????: "(2) Upon subsequent disposal of such asset, until the time of disposal under this section, the net outgoing expenditures made in respect of such asset shall be deemed to be an amount equal to the receipt amount." (3) Provision amended by Finance Act, ????: "(2) Upon subsequent disposal of such asset, until the time of disposal under this section, the net outgoing expenditures made in respect of such asset shall be deemed to be an amount equal to the receipt amount." ??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. (1) Provision of the original Act: "(2) Up to that time, the net incomes made in respect of the liability under sub-section (1) shall be deemed to be an amount equal to the expenditure amount." (2) Amendment by Finance Ordinance, ????: "(2) Upon subsequent disposal of such liability, until the time of disposal under this section, the net incomes made in respect of the liability under sub-section (1) shall be deemed to be an amount equal to the expenditure amount." ??? Added by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. ??? Amended by Finance Ordinance, ????: (Originally the words "taxable" existed.) ??? Amended by Finance Act, ???? (before amendment, the word "without" existed). ??? Added by Finance Act, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. ??? Amended by Finance Ordinance, ???? (by replacing the words "the entity desiring to dispose shall within Asar end of ????"), with amendment sustained by Finance Act, ????. ??? By Finance Ordinance, ????, the words "Internal Revenue" were removed. ??? Amended by Finance Ordinance, ???? (before amendment, the words "within Asar end of ????" existed), with amendment sustained by Finance Act, ????. This provision has been continuously amended from Finance Act, ???? and sustained up to ????. ??? Amended by Finance Act, ????.

Originally there was the provision of the current sub-section (9). ??? Addition sustained by Finance Act, ????. Originally contained in the current sub-section (8). ??? Added by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. ??? Amended by Finance Ordinance, ????. Provision of the original Act: "(a) A shareholder of any company shall be taxed finally by the method of dividend deduction, and" ??? Amended by Finance Ordinance, ???? and continued, with amendment sustained by Finance Act, ????. Provision of the original Act: "(b) Other entities shall not be taxed." ??? Amended by Finance Ordinance, ????. Continued by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(3) Notwithstanding anything contained in sub-section (1), when a resident company distributes dividends to another resident company, excluding dividends distributed to tax-exempt institutions, where the dividend-receiving resident company controls, directly or indirectly, or through one or more related entities, twenty-five percent or more of the voting rights of the dividend-distributing company, then such dividends distributed to that resident company shall be taxable, and" ??? Removed by Finance Ordinance, ????. Provision of the original Act: "(4) Notwithstanding anything contained in sub-section (3), that sub-section shall not apply in the following circumstances: (a) Dividends distributed to a company by reason of ownership of redeemable shares of the dividend-distributing company. (b) Dividends referred to in Section 58." ??? Added by Finance Act, ????. ??? Added by Finance Ordinance, ???? and continued with amendments by subsequent Finance Ordinances and Finance Acts as follows, with amendment sustained by Finance Act, ????. (1) Provision added by Finance Ordinance, ????: "(1A) For the purpose of calculating a change of fifty percent or more ownership of an entity as mentioned in sub-section (1), only the following ownership of that entity shall be included: (a) Ownership taken by a shareholder taking one percent or more of the total ownership of that entity, and (b) Ownership taken by a related person of a shareholder who takes more than one percent of the total ownership of that entity, among shareholders taking less than one percent of the total ownership of that entity." ??? Amended by Finance Act, ????. The word "shareholder" was replaced by "shareholder or partner". ??? Amended by Finance Act, ????. The word "shareholder" was replaced by "shareholder or partner". ??? Amended by Finance Act, ????. The word "shareholder" was replaced by "shareholder or partner". ??? Removed by Finance Act, ????.

The original Act contained the words "Section 59 or 60". ??? By Finance Act, ????, the words "of clause (a)" were removed. ??? Amended by Finance Act, ????. Before amendment, the words "under clause (b) of sub-section (4) of Section 24" existed. ??? Amended by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(1) If any entity distributes dividends in the following manner, it shall be deemed to have made arrangements to reduce dividend tax: (a) If profits, current or anticipated, are retained, (b) If any person acquiring an interest makes any payment to the current or former interest holder of that entity or to a related person of that holder, whether or not related to the acquisition of the interest and whether or not paid at the time of acquisition, (c) If such payment is reflected in whole or in part in the entity's profits, and (d) If that entity distributes dividends to such interest acquirer and such dividends cover in whole or in part such profits." ??? Added by Finance Ordinance, ???? and continued with amendments by subsequent Finance Acts, with the provision as amended by Finance Act, ????, sustained by Finance Act, ????. Provision added by Finance Ordinance, ????: "(1A) A person conducting banking business in accordance with the standards prescribed by Nepal Rastra Bank may deduct as expenditure an amount up to a maximum of five percent of the outstanding loan amount kept in a risk-bearing fund. Any expense written off from profit as bad debt while such risk-bearing fund exists shall not be waived, and any amount in that fund, if capitalized or distributed as profit or dividend, shall be included in the income of the year in which it is distributed." ??? Added by Finance Act, ???? and continued, with amendment sustained by Finance Act, ????. ??? Ibid. ??? Removed by Finance Act, ????. Provision of the original Act: "(2) If any person incurs a loss from banking business in any income year, that person may reduce such loss from the income of the past five income years of that business as prescribed. Provided that if an amount under sub-section (1A) has been deducted as expenditure, such loss shall not be reduced." (This restrictive phrase was added by Finance Ordinance, ????.) ??? Removed by Finance Act, ????.

Provision of the original Act: "(3) When reducing losses under sub-section (2), the following conditions must be met: (a) Not exceeding any income obtained from that business in the past income year, (b) The total sum not exceeding the amount of loss, (c) The amount of unrelieved loss for the purpose of Section 20 shall be reduced. Explanation: For the purpose of this section, "banking business" means banking operations conducted by banks and financial institutions authorized to carry out banking transactions under prevailing law." ??? Added by Finance Act, ???? and continued, with amendment sustained by Finance Act, ????. ??? Removed by Finance Act, ????. Provision of the original Act: "(3) If any person incurs a loss from a registered general insurance business in any income year, that person may reduce such loss from the income of the past five income years of that business as prescribed." ??? Removed by Finance Act, ????. Provision of the original Act: "(4) When reducing losses under sub-section (3), the following conditions must be met: (a) Not exceeding any income obtained from that business in the past income year, (b) The total sum not exceeding the amount of loss, (c) The amount of unrelieved loss for the purpose of Section 20 shall be reduced." ??? Amended by Finance Ordinance, ????. Provision of the original Act: "(2) Premium refund to the insured mentioned in sub-clause (1) of clause (a)." ??? Amended by Finance Ordinance, ????. Provision contained in the original Act: the words "shall be included in expenses" existed. ??? Amended by Finance Act, ????. Before amendment, the words "approval of retirement fund" existed. ??? Removed by Finance Act, ????. Provision sustained before removal: "(1) A resident person desiring to maintain a retirement fund may apply to the Department for approval to maintain the fund, and the Department shall grant approval as prescribed." ??? Removed by Finance Act, ????. (1) Provision sustained before removal by Finance Act, ????: Provided that if the Citizens Investment Fund established under the Citizens Investment Fund Act, 2044, the Social Security Fund established under the Contributory Social Security Act, 2074, or the Employees Provident Fund established under the Employees Provident Fund Act, 2019, and the Pension Fund established under the Pension Fund Act, 2075, desire to maintain a retirement fund or operate a retirement fund, such fund shall not require approval. (2) Added by Finance Ordinance, ???? and sustained by Finance Act, ????, with amendment by Finance Act, ????.

Provision added by Finance Ordinance, ????: "Provided that if the Citizens Investment Fund established under the Citizens Investment Fund Act, 2044 desires to maintain a retirement fund, such fund, and if the Employees Provident Fund established under the Employees Provident Fund Act, 2019 operates a retirement fund, such fund shall not require approval."

??? The amendment by Finance Ordinance, ???? was continued by subsequent Finance Ordinances and Finance Acts, with amendment sustained by Finance Act, ????. The original Act contained the words: "may be claimed to be deducted from income."

??? Added by Finance Act, ????.

??? The provision amended by Finance Ordinance, ???? was continued by subsequent Finance Ordinances and Finance Acts, with amendment sustained by Finance Act, ????. The original Act contained the words "applicable to the company."

??? Added by Finance Act, ????.

??? Added by Finance Ordinance, ???? (with the words "or retirement payment from the Government of His Majesty the King" and by Finance Act, ????, the words "Government of His Majesty the King" were replaced by "Government of Nepal") and continued, with addition sustained by Finance Act, ????.

??? Added by Finance Act, ???? and removed by Finance Act, ????. Originally the following provision existed: "Explanation: For the purpose of this section, 'contributory benefit' means a benefit related to retirement contribution made within the limit prescribed under sub-section (3) of Section 63."

??? Added by Finance Act, ???? and continued, with addition sustained by Finance Act, ????.

??? Repealed by Finance Ordinance, ????, with repeal sustained by Finance Act, ????. Provision of the original Act: "66. Expenses and incomes in respect of interest in retirement fund: (1) Expenditure incurred on any asset held as an interest of a natural person in a retirement fund shall include the following amounts:

(a) All retirement contributions made by that natural person in respect of the interest, and

(b) Amounts included in incomes in respect of such asset under sub-section (2) for the period between the date of approval of the fund as an approved retirement fund and the date of termination of approval, where tax has been deposited under sub-section (3) of Section 64 from the fund. Provided that the above amounts shall not be included in expenses referred to in Section 38.

(2) Incomes in respect of any asset held as an interest of any person in an approved retirement fund shall include the deductions claimed by that person under sub-section (2) of Section 63 in respect of such retirement contributions."

??? Amended by Finance Ordinance, ????. Originally the words "such activities" existed.

??? Amended by Finance Act, ????.

Provision sustained before amendment: "(b) 'Liability to be borne in Nepal' means the liability of a resident person." ??? Amended by Finance Ordinance, ???? and continued by subsequent Finance Ordinances and Finance Acts, with amendment sustained by Finance Act, ????. Provision of the original Act: "(b) 'Average rate of tax of Nepal' means the rate of tax of Nepal computed as the rate that would be payable by a person mentioned in clause (a) of Section 3 on the taxable income of that person for the year before any foreign tax reconciliation." ??? Amended by Finance Act, ????. Added by Finance Act, ????: "Large Taxpayer Office", by Finance Act, ????: "Taxpayer Service Office", and by Finance Act, ????: "Medium Taxpayer Office". ??? Amended by Finance Ordinance, ????. Provision of the original Act: "(1) A taxpayer shall not be entitled to exercise any of the rights mentioned in sub-section (2) without fulfilling the duties required to be performed under this Act." ??? Amended by Finance Ordinance, ???? (before amendment, the words "shall provide at the Department or at any other place as required by the Department or by any means" existed), with amendment sustained by Finance Act, ????. ??? Added by Finance Act, ????. ??? Added by Finance Act, ???? and continued, with amendment sustained by Finance Act, ????. ??? Amended by Finance Act, ???? and continued with amendments by subsequent Finance Acts, with amendment sustained by Finance Act, ????. (1) Provision of the original Act: "(1) Subject to this Act, for the purpose of identifying any person, the Department shall issue an identification document called a Permanent Account Number to such person." (2) Provision amended and sustained by Finance Act, ????: "(1) Subject to this Act, for the purpose of identifying any person, the Department shall issue an identification number called a Permanent Account Number to such person. Provided that an entity approved by the Department may, upon completing the procedure under this Act, issue such Permanent Account Number. A taxpayer receiving a Permanent Account Number so issued shall not engage in import-export transactions until the period specified by the Department." ??? Amended by Finance Act, ????. The words "the Department to any person" in the original Act were replaced by 305 Added by the Economic Act, 2072, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. 306 Omitted by the Economic Act, 2076. Previous provision: contained the words "Tax on rental income from a house not related to the business of a natural person shall be within the end of Asar of the current year and".

307 Amended by the Economic Ordinance, 2060, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075: Provision of the original Act: "(5) If a person required to deduct advance tax under the following fails to deduct or deposit such tax, both the person from whom the tax is to be deducted and the person deducting such advance tax shall be jointly and severally liable to deposit such tax amount in the Department:- (a) If the person deducting advance tax fails to deduct tax from any payment under Section 87, 88 or 89, and (b) If the person deducting advance tax fails to deposit in the Department the amount deemed to have been deducted under subsection (3) within the date required to deposit tax under

subsection (4)." 308 Amended by the Economic Act, 2073, and amended by the Economic Act, 2075. 309 Ibid. 310 Ibid. (212) 311 Added by the Economic Act, 2064, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. 312 Added by the Economic Act, 2073. 313 Amended by the Economic Act, 2073, and amended by the Economic Act, 2075. 314 Amended by the Economic Act, 2070, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. Previously contained the words "within fifteen days". 315 Added by the Economic Act, 2073, and amended by the Economic Act, 2075. Previously contained the word "Company". 316 Amended by the Economic Act, 2066, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. (1) Provision of the original Act: "(c) Profit paid by a resident person as consideration for investment," (2) Provision as amended (added) and continued by the Economic Act, 2064: "(c) Profit paid by a resident person as consideration for investment and payment of compensation for personal accident," (3) Provision as amended and continued by the Economic Act, 2065: "(c) Profit paid by a resident person as consideration for investment and payment for personal accident," (4) Provision as amended and continued by the Economic Act, 2066: "(c) Profit paid by a resident person as consideration for investment insurance." 317 Amended by the Economic Ordinance, 2059. Provision of the original Act: "(e) Interest paid by a bank or financial institution as mentioned in subsection (3) of Section 88, and" 318 Added the words "or cooperative" by the Economic Act, 2072.

319 Amended by the Economic Act, 2073, and amended by the Economic Act, 2075. 320 Added by the Economic Ordinance, 2060, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. 321 Added by the Economic Ordinance, 2060, and amended as follows, and amended by the Economic Act, 2075. (1) Added provision: "(j) Meeting allowance, payment for occasional teaching, payment for preparing question papers, and payment for checking answer books." (2) Provision added by the Economic Act, 2072: "(j) Meeting allowance, payment for occasional teaching," (3) The provision added by the Economic Act, 2072 was continued by the Economic Acts, 2073 and 2074. (213) 322 Added by the Economic Act, 2066, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. 323 Added by the Economic Act, 2070, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. 324 Amended by the Economic Act, 2082. (1) Provision amended by the Economic Ordinance, 2078 prior to amendment by the Economic Act, 2082, with such amendment continued by the Economic Act, 2078: "(t) Payment for rental or transport service of vehicle or conveyance of a natural person other than a sole proprietorship firm." (2) Provision added and continued as amended by the Economic Act, 2075: "(t) Payment for rental of vehicle or transport service of a natural person other than a sole proprietorship firm." 325 Continued by the Economic Act, 2073, and subsequent Economic Acts, and amended by the Economic Act, 2075. 326 Added by the Economic Act, 2067, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. 327 Amended by the Economic Ordinance, 2060, and continued, and amended by the Economic Act, 2075. Provision of the original Act: "94.

Deposit of tax in installments: (1) A person having or likely to have taxable income from any business or investment in any year shall deposit tax in three installments as follows:- Date by which to deposit Amount to be deposited By the end of Poush month 40% of the estimated tax exceeding the tax already paid By the end of Chaitra month 70% of the estimated tax exceeding the tax already paid By the end of Ashadh month 100% of the estimated tax exceeding the tax already paid Explanation: For the purpose of this subsection,- (a) "Estimated tax" means the estimated tax of the installment calculated under Section 95 by a person required to deposit tax in installments at the time of depositing the installment tax for any year. (b) "Tax already paid" means the total sum of the following:- (1) The amount of tax deposited in that income year by prior installment under this Section before the date of depositing the respective installment, (2) The amount of tax deducted from payments that are to be included in computing the income of that person in that year under Chapter 17 before the date of depositing the respective installment in that income year, (3) If the tax withholding agent or the person from whom tax is deducted has deposited in the Department the amount deemed to have been deducted under subsection (3) of Section 90 from the payments referred to in sub-clause (2) before the date of depositing the installment, such tax amount, and (4) The medical treatment expense tax adjustment amount that such person may claim under Section 51 in respect of approved medical treatment expenses incurred by that person before the date of depositing the installment." 328 Added by the Economic Act, 2072. 329 Amended by the Economic Ordinance, 2060, and continued, and amended by the Economic Act, 2075. Previously contained the words "installment amount". 330 Amended by the Economic Act, 2076. Previously contained the words "five thousand". 331 Added by the Economic Act, 2081. 332 Added by the Economic Ordinance, 2059, and continued, and amended by the Economic Act, 2075. 333 Amended by the Economic Ordinance, 2059. The previously existing words "or where it is prescribed that a person must submit an estimate to pay the tax installment under subsection (6)" were omitted.

334 When Section 95ka was added by the Economic Act, 2066, the provision remaining in this subsection: "(6) The amount of advance tax collected or the amount deemed to have been collected under clause (a) of subsection (3) along with the details mentioned in subsection (5) shall be deposited in the Department within the period under that subsection." (2) Provision amended and continued by the Economic Act, 2073: "(6) Except as provided in subsection (5), the Land Revenue Office shall collect advance tax at the rate of ten percent at the time of registration on the gain from the transfer of land or building owned by any other person." (3) Provision amended and continued by the Economic Act, 2075: "(6) Except as provided in subsection (5), the Land Revenue Office shall collect advance tax at the rate of ten percent at the time of registration on the gain from the transfer of land or building owned by any other person." 335 Amended by the Economic Ordinance, 2078, with the amendment continued by the Economic Act, 2078. Before amendment, contained the words "five percent of the gain amount in the case of a resident natural person". (215) 336 Amended by the Economic Act, 2075. Previously contained the words "at the rate of ten percent of the gain amount in other cases". 337 Amended by the Economic Act, 2075. 338 The restrictive phrase added by the Economic Act, 2070 was omitted by the Economic Act, 2073: "Provided that this subsection shall not apply in the case of transfer of interest invested by a mutual fund." 339 Added by the Economic Act, 2076. 340 Amended by the Economic Act, 2073.

Previous provision: "(3) The Land Revenue Office shall collect advance tax at the time of registration on capital gain from the transfer of land or private building of a natural person as follows:- (a) At the rate of two point five percent if the ownership of the transferred non-business taxable asset (land and building) is for five years or more, (b) At the rate of five percent if the ownership of the transferred non-business taxable asset (land and building) is for less than five years;" 341 Omitted by the Economic Ordinance, 2078, with the amendment continued by the Economic Act, 2078. (1) Previous provision: "(4) Even if the person required to collect advance tax under subsections (1), (2) and (3) fails to collect the advance tax, it shall be deemed to have been collected at the time it should have been collected." (2) Provision amended by the Economic Act, 2073: "(4) Notwithstanding anything contained in subsection (2), no advance tax shall be collected in the case of transfer of interest invested by a mutual fund." 342 Amended by the Economic Act, 2079. Before amendment, contained the words "at the rate of two point five percent". 343 Amended by the Economic Act, 2079. Before amendment, contained the words "at the rate of five percent". 344 Amended by the Economic Act, 2076. Provision before amendment: "(6) Except as provided in subsection (5), the Land Revenue Office shall collect advance tax at the rate of ten percent at the time of registration on the gain from the transfer of land or building owned by any other person." 345 Added by the Economic Act, 2077. 346 Added by the Economic Ordinance, 2078, and continued with amendment by the Economic Act, 2078. Provision added by the Economic Ordinance, 2078: "(6ka) When a person receives payment in foreign currency for providing software or other electronic services of a similar nature outside Nepal, the concerned bank, financial institution, and money transfer institution shall collect advance tax at the rate of one percent of the amount of such payment received." 347 Amended by the Economic Act, 2080. Previously contained the word "one". 348 Added by the Economic Act, 2078. 349 Amended by the Economic Act, 2080. Previously contained the word "one". 350 Added by the Economic Act, 2078. 351 Amended by the Economic Act, 2080. Previously contained the word "one". 352 Added by the Economic Act, 2080.

353 Omitted by the Economic Act, 2062. (1) Provision as amended and continued by the Economic Act, 2081 before being omitted by the Economic Act, 2082: (7) Advance income tax shall be collected at the customs point on the following goods imported for commercial purposes under the prevailing customs duties law as follows:- (a) Ten percent on the value determined for customs purposes on live animals falling under Chapter 1 of the Customs Tariff, meat and edible offal falling under Chapter 2, all types of fish products except seeds falling under Chapter 3, flowers and other products falling under Chapter 6, edible vegetables and certain roots and tubers falling under Chapter 7, edible fruits and nuts and other products falling under Chapter 8. (b) Two point five percent on the value determined for customs purposes on dairy produce, eggs, honey and other products falling under Chapter 4, all types of cereals except seeds falling under Chapter 10, products of flour, gram flour and other mill products falling under Chapter 11, medicinal plants, sugarcane falling under Chapter 12, and vegetable products falling under Chapter 14. Provided that on imports of goods subject to value added tax, only one point five percent advance income tax shall be collected. (2) Previous provision added by the Economic Act, 2075, and added to and amended by the Economic Acts, 2076 and 2080: (7) Advance income tax shall be collected at the customs point at the rate of five percent on the value determined for customs purposes on live buffaloes, buffaloes, goats, rams, sheep, lambs falling under Chapter 1, live, fresh and frozen fish falling under Chapter 3, fresh flowers falling under Chapter 6, fresh vegetables, potatoes, onions, dry vegetables, garlic, baby corn falling under Chapter 7, and fresh fruits falling under Chapter 8, and at the rate of two point five percent on meat falling under Chapter 2, dairy products, eggs, honey falling under Chapter 4, millet, buckwheat, amaranth, rice, groats falling under Chapter 10, flour, gram flour and mill products falling under Chapter 11, medicinal plants, sugarcane falling under Chapter 12, and vegetable products falling under Chapter 14, imported for commercial purposes. Provided that on imports of goods subject to value added tax, one point five percent advance income tax shall be collected. 354 Amended by the Economic Act, 2082.

Provision as amended and continued by the Economic Act, 2075 before amendment: "(8) Even if the person or body required to collect advance tax under subsections (1), (2), (5) and (6) fails to collect the advance tax, it shall be deemed to have been collected at the time it should have been collected." 355 Amended by the Economic Act, 2075. 356 Amended by the Economic Act, 2076. (1) When Section 95ka was added by the Economic Act, 2067, the provision remaining in this subsection: "(10) In the following circumstances, the person required to deposit advance tax shall be entitled to reduce the annual tax liability payable." (2) Provision amended and continued by the Economic Act, 2073: "(10) In the following circumstances, both the person required to deposit advance tax and the person required to collect advance tax shall be jointly and severally liable to deposit such amount in the Department:- (a) If the person required to collect advance tax fails to collect the advance tax, and (b) If the person required to collect advance tax fails to deposit in the Department the amount deemed to have been collected under subsection (7) within the period under subsection (9)." (3) Provision amended and continued by the Economic Act, 2075: "(10) The amount of advance tax collected or the amount deemed to have been collected under subsection (7) along with the details mentioned in subsection (8) shall be deposited in the Department within the period under that subsection." 357 Amended by the Economic Act, 2075. 358 Amended by the Economic Act, 2076. 359 Amended by the Economic Act, 2076. 360 Amended by the Economic Act, 2076. 361 Amended by the Economic Act, 2076. 362 Amended by the Economic Act, 2076. 363 Amended by the Economic Act, 2076. 364 Added by the Economic Act, 2075. 365 Added by the Economic Act, 2081. 366 Omitted by the Economic Ordinance, 2060, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. Provision of the original Act: "(4) Any amount of tax deducted, installments, or determined tax deposited in that year by a person to allow tax adjustment under Section 93, 94 or 100," 367 Omitted by the Economic Ordinance, 2060, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075.

371 Added by the Economic Act, 2076. 372 Amended by the Economic Act, 2072, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075.

(1) Provision of the original Act: "97. Return not required: Except if the Department gives a written order, none of the following persons shall be required to submit an income return for any income year under Section 96:-

(a) Any person liable to pay tax among those mentioned in clause (a) of Section 3 in that income year,

(b) A person mentioned in clause (c) of Section 3 in that income year, or

(c) Any resident natural person to whom subsection (3) of Section 4 applies in that income year."

(2) Provision as amended and continued by the Economic Act, 2072: "97 Return not required: (1) Except if the Department gives an order in writing or publishes a public notice, none of the following persons shall be required to submit an income return for any income year under Section 96:-

(a) Any person liable to pay tax among those mentioned in clause (a) of Section 3 in that income year,

(b) A person mentioned in clause (c) of Section 3 in that income year,

(c) Any resident natural person to whom subsection (3) of Section 4 applies in that income year, or

(d) A natural person who is an owner of a vehicle depositing tax under subsection (13) of Section 1 of Schedule-1.

(2) Notwithstanding anything contained in subsection (1), if a natural person has income exceeding forty lakh rupees in any income year, he shall submit an income return under Section 96 of the Act.

(3) In addition to income required to be included under subsection (2), the person required to submit a return shall also include income derived from professional exemption facilities under clause (d) of Section 5, subsection (3) of Section 7, clause (a) of subsection (3) of Section 8, clause (a) of subsection 3 of Section 9, and Section 11 of the Act. Provided that meeting allowance and interest income shall not be included.

(4) From the income determined under subsection (3), income under clause (c) of Section 3 of the Act and income exempt from tax under Section 11 shall be deducted.

Provided that meeting allowance and interest income shall not be deducted. (5) The format of the income return to be submitted under subsection (2) shall be as prescribed by the Inland Revenue Department." (3) By the Economic Act, 2075, in the provision of clause (d) of subsection (1) as amended and continued by the Economic Act, 2072, after the words "owner of the vehicle" the words "other than a sole proprietorship firm" were inserted, and clause (e) was added after clause (d), and the amendment was continued as before. 373

Added by the Economic Act, 2079. 374 Added by the Economic Act, 2082. 375 The words "Inland Revenue" were omitted by the Economic Act, 2080. 376 Amended by the Economic Act, 2064, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. Provision of the original Act: "(2) Notwithstanding anything contained in subsection (1), in the circumstances mentioned in subsection (5) of Section 96, the Department may fairly determine the tax of that person based on the following amounts:- (a) The amounts mentioned in sub-clauses (1), (2), (3) and (4) of clause (a) of subsection (2) of Section 96 for any income year or part of that year, and (b) The amount remaining to be deposited under sub-clause (5) of clause (a) of subsection (2) of Section 96 for any income year or part of that year." 377 Amended by the Economic Ordinance, 2060, and continued with amendments by subsequent Economic Acts, and amended by the Economic Act, 2075. Previously contained the words "of seven days". 378 Added by the Economic Act, 2081. 379 Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. 380 The word "Tax" was omitted by the Economic Ordinance, 2059. 381 Amended by the Judicial Administration Act, 2073. Previously contained the word "Appellate Court". 382 Added by the Economic Act, 2063, and amended by the Economic Act, 2068. Previous provision: "110ka. Collection of arrears tax in installments: If a person makes a written request to pay the arrears amount in installments before instituting a case under Section 111, the Tax Officer may approve payment in installments by granting a reasonable period." 383 Added by the Economic Act, 2075. 384 Added by the Economic Act, 2076. 385 Amended by the Economic Ordinance, 2062.

Provision of the original Act: "(3) A person shall submit an application to the Department as prescribed to obtain a refund under subsection (1)." 386 Omitted by the Economic Act, 2062. Provision added and continued by the Economic Act, 2081 before omission: (8) The amount collected under subsection (7) of Section 9ka. in any income year, when adjusted against the annual tax liability payable for that same year, any excess amount shall not be carried forward to the next income year or refunded. 387 Added by the Economic Act, 2064, and continued by subsequent Economic Acts, and further added by the Economic Act, 2075. 388 Added by the Economic Ordinance, 2059 (2059.1.22), and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. 389 Amended by the Economic Act, 2079. Before amendment, contained the word "Complaint". 390 Amended by the Economic Act, 2073, and amended by the Economic Act, 2075. (1) Provision of the original Act: "(6) Notwithstanding anything contained in subsection (5), the provision of that subsection shall not apply until fifty percent of the tax payable is paid." (2) Provision continued by the Economic Ordinance, 2060: "(6) When filing an appeal against a decision under clause (e) of subsection (1) of Section 114, fifty percent of the tax remaining unpaid shall be deposited as security." (3) This subsection was omitted by the Economic Ordinance, 2061, and not continued by subsequent Economic Acts, so the provision of the original Act remained. (4) By the Economic Act, 2063, the words "fifty percent" were replaced with "one-third", and by the Economic Act, 2064, the words "fifty percent of the tax payable" were replaced with "the entire amount of undisputed tax and one-third of disputed tax", and continued as amended. 391 Amended by the Economic Act, 2076. Previously contained the word "one-third". 392 Amended by the Economic Act, 2076. (1) Provision of the original Act: "(8) If the Department fails to notify the applicant of its decision on the application within ninety days from the date of filing the application under subsection (1), the applicant may register such information in the Department and deem the application to have been rejected by the Department." (2) Amended by the Economic Ordinance, 2061, by inserting the words "within sixty days". 393 Amended by the Economic Act, 2076. (1) Provision of the original Act: "(9) The concerned applicant shall inform the Department in writing that the application is deemed to have been rejected under subsection (8).

395 Added by the Economic Ordinance, 2078, and continued as added by the Economic Act, 2078. 396

Omitted by the Economic Act, 2079. Previously contained the words "Inland Revenue". 397 Added by the Economic Act, 2079. 398 Amended by the Economic Act, 2075.

(1) Provision of the original Act: "(1) If a person fails to do the following, such person shall be charged a fee of the amount that is the higher of one point five percent per annum of the assessable income computed without deducting any amount deductible and including any amount required to be included for any month and part of a month in computing income for any income year, or one thousand rupees per month:-

(a) For not filing an income return for any income year under subsection (1) of Section 95, or

(b) For not filing an income return for any income year under subsection (1) of Section 96."

(2) By the Economic Ordinance, 2059, the words "one point five percent" in subsection (1) were replaced with "zero point one percent" and "per month" with "per annum".

(3) Clause (a) was omitted by the Economic Ordinance, 2062.

(4) By the Economic Act, 2064, the following was determined: "(1) If a person fails to file a return as follows, such person shall be charged a fee as follows:-

(a) For not filing an income return for any income year under subsection (1) of Section 95, two thousand rupees per return, and

(b) For not filing an income return for any income year under subsection (1) of Section 96, in the case of a person mentioned in subsection (4) of Section 4 of the Act, an amount at the rate of one hundred rupees per month, and in the case of other persons, the amount that is the higher of zero point one percent per annum of the assessable income computed without deducting any amount deductible and including any amount required to be included for that income year, or one hundred rupees per month."

(5) Provision as amended and continued by the Economic Act, 2067: "(1) If a person fails to file a return as follows, such person shall be charged a fee as follows:-

(a) For not filing an income return for any income year under subsection (1) of Section 95, two thousand rupees per return, and

(b) For not filing a return under subsection (5) of Section 95ka. by a person required to collect advance tax, for each month and part of a month from the date the return was due until the date of filing, an amount at the annual rate of one point five percent of the amount of advance tax required to be collected,

(c) For not filing an income return for any income year under subsection (1) of Section 96, in the case of a person mentioned in subsection (4) of Section 4 of the Act, an amount at the rate of one hundred rupees per month, and in the case of other persons, the amount that is the higher of zero point one percent per annum of the assessable income computed without deducting any amount deductible and including any amount required to be included for that income year, or one hundred rupees per month."

(6) Provision as amended and continued by the Economic Act, 2071: "(1) If a person fails to file a return as follows, such person shall be charged a fee as follows:-

(a) For not filing an income return for any income year under subsection (1) of Section 95, two thousand rupees per return,

(b) For not filing a return under subsection (5) of Section 95ka. by a person required to collect advance tax, for each month and part of a month from the date the return was due until the date of filing, an amount at the annual rate of one point five percent of the amount of advance tax required to be collected,

(c) For not filing an income return for any income year under subsection (1) of Section 96, in the case of a person mentioned in subsection (4) of Section 4 of the Act, an amount at the rate of one hundred rupees per month, and in the case of other persons, the amount that is the higher of zero point one percent per annum of the assessable income computed without deducting any amount deductible and including any amount required to be included for that income year, or one hundred rupees per month,

(d) For not filing financial statements within the prescribed period by a tax-exempt organization, an amount at

the rate of zero point one percent per annum of the amount shown as income."
399 Amended by the Economic Act, 2076.

Previously contained the words "two thousand rupees". 400 Amended by the Economic Act, 2077. 401 Amended by the Economic Act, 2081. Previously contained the words "at the rate of one hundred rupees per month". 402 Amended by the Economic Act, 2081. Previously contained the words "at the rate of one hundred rupees per month". 403 Added by the Economic Act, 2071, and omitted by the Economic Act, 2075. 404 Added by the Economic Act, 2082. 405 Amended by the Economic Act, 2066, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. (1) Provision of the original Act: "(1) If a person fails to maintain records required under Section 81 for any income year, such person shall be charged a fee of the amount that is the higher of one point five percent per annum of the assessable amount computed without deducting any amount deductible and including any amounts required to be included for that income year, or one thousand rupees per month."
406 Amended by the Economic Act, 2075. Provision of the original Act: "(3) If a person deducting advance tax fails to submit a return under subsection (1) of Section 90, such person shall be charged a fee of an amount at the annual rate of one point five percent of the tax amount required to be deducted for each month and part of a month from the date the return was due until the date of such filing."
407 Amended by the Economic Ordinance, 2062. (1) Provision of the original Act: "118.

Interest payable if estimated tax paid in installments is lower: (1) If the installment tax amount deposited by a person under clause (a) of this subsection is less than the installment tax amount required to be deposited under clause (b), interest under subsection (2) shall be payable on such shortfall:-
(a) The estimated or revised tax amount calculated under Section 95 in respect of installment tax required to be deposited under Section 94 by a person required to deposit installment tax in any year,
(b) An amount equal to ninety percent of the tax amount required to be deposited by a person mentioned in clauses (a) and (b) of Section 3 for that year.
(2) A person under subsection (1) shall be charged interest at the normal interest rate for each month and part of a month from the date the first installment of that year was due to be paid until the date tax is determined and payable under Section 99.
(3) If the amount under clause (a) exceeds the amount under clause (b), interest at the normal rate under subsection (2) shall be charged on the excess amount for each period:-
(a) Ninety percent of the total amount required to be paid as installments for each installment period in any income year if the estimate or revised estimate of that person was correct,
(b) The amount of installments paid in that income year."
(2) Provision as amended by the Economic Ordinance, 2060: "118.

Interest payable if estimated tax paid in installments is lower: (1) If the amount under clause (b) exceeds the amount under clause (a) in respect of the installment amount required to be deposited under Section 94 by a person in any income year, interest under subsection (2) shall be payable on such excess:-
(a) The amount of each installment paid by such person in any income year,
(b) Eighty percent of the tax amount required to be paid as installments for each installment period in that income year if the estimate or revised estimate of the total amount required to be paid as installments was correct, or if not correct, for each installment period of the tax amount required to be deposited by a person mentioned in clauses (a) and (b) of Section 3.
(2) A person under subsection (1) shall be charged interest at the normal interest rate for each month and part of a month from the date such installment was due to be paid in that year until the date under Section 99

for such excess amount.

(3) Notwithstanding anything contained in subsection (2), interest at the normal interest rate shall be charged on such excess amount under that subsection for each month and part of a month from the date tax is determined under Section 99 until the date the tax is payable."

408 By the Economic Act, 2067, the words "eighty percent" were amended to "ninety percent", and such provision was continued as amended by the Economic Act, 2075. 409 Amended by the Economic Act, 2067, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. Provision of the original Act: "(3) The withholding agent shall not recover by collection from the person from whom advance tax is deducted the interest payable due to his non-compliance with subsection (4) of Section 90."

410 Added by the Economic Act, 2068, and continued by subsequent Economic Acts, and amended by the Economic Act, 2075. Amended by the Economic Act, 2081. Previously added by the Economic Ordinance, 2062 (Magh), and continued by subsequent Economic Acts, and amended by the Economic Acts, 2073 and 2075, the previous provision was:

"119ka. Fee leviable: Except as otherwise provided in this Act, a person who fails to comply with any provision of this Act or the rules made under this Act shall be liable to a fee of five thousand rupees to twenty-five thousand rupees."411 Amended by the Economic Act, 2067. Previously contained the words "in Chapter 23".412 The provision as amended by the Economic Act, 2067 was continued by subsequent Economic Acts, and amended by the Economic Act, 2075.

Provision of the original Act: "Explanation: For the purpose of this Section, 'any information or details given to the Department' means the details mentioned in the explanation to Section 120."413 Added by the Economic Act, 2073, and continued, and amended by the Economic Act, 2075.414 Added by the Economic Act, 2073, and continued, and amended by the Economic Act, 2075.415 Added by the Ordinance made (?) ??? ??????? ?? ?????? ??? ???????????? ??? ? ???, ???????? ??????? ???? ????? ???? (?) ?????? ???? ???? ?? ???? ?? ????? ???????, ?? ?????? ???? ????? ???? ???????? ???? ??????? ???? (?) ?????? ?? ??????? ?? ?????? ??? ? (?) ?????? ??, ???? ?????? ??????: (?) ??? ????????? ??????? ?? ??? ??? ???? ???? ??????????? ? ??? ?? ??????? ?? ?????? ? (?) ??? ??????? ?? ??? ??? ???? ???? ???????????? ??? ?? ??? ??? ???? ???? ??????????? ? ???, ???? (?) ?????? ??? ??? ???? ???? ??????????? ??? ???? ???? ?? ??????? ? ??? ??? ???? ???? ???????????? ??? ??????? ???? ?????? ???????, (?) ??? ??????? ?? ??? ??? ???? ???? ???????????? ??? ? ???, ???? (?) ?????? ??? ??? ???? ???? ??????????? ???? ???? ???? ?? ??????? ? ??? ??? ???? ???? ???????????? ??? ??????? ???? ?????? ???????, ? (?) ??? ????

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Act to Prohibit Birta Holders from Levying and Collecting Fees (Bhatti, Chursa, etc.) on Birta, 2015

Royal Seal Date
2015.8.19

Date of Publication in Nepal Gazette
2015.8.18

Amending Acts

1. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.7.24
2. Judicial Administration Act, 2048 2048.2.16
3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
4. Some Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 19 of the Year 2015

An Act made to prevent Birta Holders from taking fees

Whereas it has appeared necessary to prevent Birta holders from levying and collecting fees other than the produce of Birta land, this Act is hereby made and promulgated by Shri 5 Maharajadhiraj on the advice of the Council of Ministers. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Act to Prohibit Birta Holders from Levying and Collecting Fees (Bhatti, Chursa, etc.) on Birta, 2015".

(2) It shall extend to the whole of the State of Nepal.

(3) It shall come into force immediately. 2. Definition: Unless the subject or context otherwise requires, in this Act,-

(a) "Birta" means all kinds of rent-free land granted with full or partial exemption from land revenue.

(b) "Birta holder" means the owner of such land entitled to the exemption under clause (a).

(c) "Produce" means,-

(1) the rent or revenue payable on the land to the Birta holder by the cultivator of the Birta land, or

(2) if cultivated by the Birta holder himself, the crop produced on such land.

(d) "Fee" means bhatti, chursa, and other fees of a similar nature. 3. Prohibition on Birta Holders Levying Fees on Birta: (1) From the fiscal year 2011-2012 onward, a Birta holder shall not levy or arrange to levy and collect any kind of fee on Birta land other than the produce of the Birta land: Provided that the Birta holder shall be entitled to 65 percent of the income from fees for the fiscal years 2011-2012 to 2012-2013.

(2) Fees or income from fees which the Birta holder is not entitled to take under subsection (1) shall vest in the Nepal Government, and the arrangement or collection and recovery thereof shall be made by the Nepal Government. Provided that, if arrangement or collection and recovery has not been made by the Nepal Government but arrangement for possession, use, or collection has already been made by the Birta holder, the Birta holder shall deposit into the Nepal Government within the period prescribed by order, 35 percent of the income up to the fiscal year 2012-2013 and the entire income from the fiscal year 2013-2014 onwards. 4.

Outstanding Contracts to Be Transferred to Nepal Government: If the final date of a contract previously arranged by the Birta holder has not expired by the date of commencement of this Act, such contract shall be transferred to the Nepal Government. Provided that if such contract is not found to be in due form or is not proven, or if a term exceeding 3 years is stipulated, it shall not be recognized. 5. Penalty: Any person who, in relation to a contract before the commencement of this Act, falsifies the date or amount thereof, or in any manner causes or attempts to cause loss to the Nepal Government, or fails to deposit income under section 3, shall be liable to a fine up to the amount of the loss, or imprisonment for up to 1 year, or both, and the government loss shall also be recovered from such person. 6. Jurisdiction to Hear Cases: (1) Upon the filing of any matter relating to fees under this Act, insofar as it concerns the Nepal Government, the amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.Chief District Officer shall conduct summary proceedings and decide the matter. (2) In relation to proceedings under subsection (1), amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.the Chief District Officer shall have all the powers of a court. (3) No matter concerning the Nepal Government under subsection (1) shall be subject to question in court. amended by the Judicial Administration Reform (Fourth Amendment) Act, 2043.7. Appeal: Any person aggrieved by a decision made by amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.the Chief District Officer under this Act may file an appeal in the amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.District Court. 8. Abrogation and Bar to Claim for Compensation: If any person is entitled to take fees under any charter or written instrument in relation to fees under this Act, such charters or written instruments shall be deemed to be abrogated from the fiscal year 2011-2012, and no claim for compensation shall be made in respect of such fees having become government property. 9. Power to Remove Difficulties: If any difficulty arises in implementing this Act, the Nepal Government may, by notification in the Gazette, issue such orders as may be necessary to remove the difficulty, and every such order shall be deemed to be part of this Act. 10. Power to Make Rules: The Nepal Government may make rules for the purpose of implementing the objectives of this Act. 11.

ACts as a AI engineer. I am build SLM model for legal Domain, i need to create SFT dataste instructin,input,ouput from the legal text. I have json file of all the legal acts, i want a python script that take the 2, 3 line section of text and convet it Realworld conversation question and answer dataset from it.

the json file format i have:

{
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"content": "???????? ???? ??, ????\n\n?????????? ??? ??????? ????\n???? ? ?? ? ??\n\n?????? ????? ??\n\n?. ???? ????? ?? ?????? ????? ??, ???? ???? ? ?? ? ??\n?. ???? ????? ?? ?????? ????? ??, ???? ???? ? ?? ? ??\n\n????? ???? ????? ?? ??. ??\n\n???????? ?????? ???, ??????? ? ?????? ???????? ???????? ?????? ? ?????? ???? ????? ??\n\n??????????? ???????? ?????? ???, ??????? ? ?????? ???????? ???????? ?????? ? ?????? ???? ???????? ??????,\n\n??????? ????????? ???? ??? ?? ?????? (?) ???????? ???????????-?????? ?? ?? ?????? ? ? \n\n## ????????-?\n??????????\n\n?. ????????? ??? ? ????????: (?) ?? ???? ??? \"???????? ???? ??, ????\" ????? ? ? \n\n(?) ?? ?? ??????? ???????? ????? ? \n\n?. ???????: ???? ?? ????????? ????? ???? ??????? ?? ????,-\n\n(?) \"??????\" ??????? ?????? ???????? ?????? ?????? ???? ? ?? ?????? ?????? ???????? ????????? ???? ?????? ? \n\n(?) \"????\" ??????? ????????? ???? ??? ???????? ???????? ???? ?????? ???? ? \n\n(?) \"?????????\" ??????? ??????? ?????? ????? ?????? ???? ?????????? ???? ??????????? ?????? ?????? ??? ?????? ???? ??????? ?????? ???? ? \n\n(?) \"???????\" ?? \"????? ??????\" ??????? ?? ?? ?? ?? ?? ???????? ????? ???? ?? ?????? ????? ????????? ????? ??????? ??? ???? ????? ??????

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}

Here is a sample pipeline for prompt to create a high-quality QA dataset.
from this just understand the prompt format:

```
"""
Nepal Legal QA Fine-Tuning Dataset Generator
=====================================================
 - Updated SYSTEM_PROMPT_QA to strict QA schema and markdown answer format
 - Removed question-starter template hints from the user prompt flow
 - Enforced exactly 3 QA variants per section/dafa
 - Retained strict language, self-contained, and citation controls
"""

import os
import json
import asyncio
import argparse
import logging
import re
from pathlib import Path
from dataclasses import dataclass, field, asdict
from collections import defaultdict
from datetime import datetime, timezone

import aiofiles
from openai import AsyncOpenAI
from tqdm.asyncio import tqdm as atqdm

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Configuration
???????????????????????????????? ?????????????

@dataclass
class PipelineConfig:
 input_dir: str = "./laws"
 output_dir: str = "./output_v5"
 output_file: str = "nepal_legal_9law_QA_pairs.jsonl"
 failed_file: str = "failed_sections.jsonl"
 progress_file: str = "progress.json"
```

```
model: str = "gpt-4.1-mini-2025-04-14"
max_tokens_response: int = 4096
temperature: float = 0.75 # slightly higher for more diverse phrasing

max_chunk_size: int = 3000
qa_pairs_per_section: int = 3
max_concurrent_requests: int = 10
retry_attempts: int = 3
retry_delay: float = 2.0

law_name_map: dict = field(default_factory=lambda: {
"Constitution_Nepal_2072": "Constitution of Nepal, 2072 (2015)",
"Criminal Procedure (Code) Act, 2017": "National Criminal Procedure (Code) Act, 2017",
"National Civil Code 2017": "National Civil (Code) Act, 2017",
"National Penal Code Act, 2017": "National Penal (Code) Act, 2017",
"??????? ???????, ????": "??????? ???????, ????",
"?????? ????? ??????, ????": "?????? ????? ??????, ????",
"?????? ?????? (??????) ??, ????": "?????? ?????? (??????) ??, ????",
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Progress Tracker ? unchanged from V3
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class ProgressTracker:
def __init__(self, progress_path: Path):
self.path = progress_path
self.data = {
"completed_section_ids": [],
"total_pairs_generated": 0,
"failed_section_ids": [],
"pairs_per_law": {},
"last_updated": None,
"started_at": None,
"status": "not_started",
}
self._lock = asyncio.Lock()

def load(self) -> bool:
if self.path.exists():
try:
with open(self.path, "r", encoding="utf-8") as f:
saved = json.load(f)
self.data.update(saved)
logging.info(
```

```
f"Resumed: {self.data['total_pairs_generated']} pairs, "
f"{len(self.data['completed_section_ids'])} sections done"
)
return True
except Exception as e:
logging.warning(f"Could not load progress: {e}.

Starting fresh.")
return False

async def save(self):
async with self._lock:
self.data["last_updated"] = datetime.now(timezone.utc).isoformat()
async with aiofiles.open(self.path, "w", encoding="utf-8") as f:
await f.write(json.dumps(self.data, indent=2, ensure_ascii=False))

async def mark_section_done(self, section_id: str, n_pairs: int, law_name: str):
async with self._lock:
if section_id not in self.data["completed_section_ids"]:
self.data["completed_section_ids"].append(section_id)
self.data["total_pairs_generated"] += n_pairs
self.data["pairs_per_law"][law_name] = (
self.data["pairs_per_law"].get(law_name, 0) + n_pairs
)

async def mark_section_failed(self, section_id: str):
async with self._lock:
if section_id not in self.data["failed_section_ids"]:
self.data["failed_section_ids"].append(section_id)

def is_section_done(self, section_id: str) -> bool:
return section_id in self.data["completed_section_ids"]

@property
def total_pairs(self) -> int:
return self.data["total_pairs_generated"]

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LEGAL-AWARE SECTION CHUNKER ? unchanged from V3
??????????????????????????????????????????????????????

_PAT_ARTICLE_EN = re.compile(r"^(Article\s+\d+)\.", re.MULTILINE)
_PAT_SECTION_EN = re.compile(r"^(Section\s+\d+)\s:", re.MULTILINE)
_PAT_DHARA_NE = re.compile(r"^(????\s+[?-?\d]+)\s:", re.MULTILINE)
_PAT_DAFA_NE = re.compile(r"^(???\s+[?-?\d]+)\s:", re.MULTILINE)
_SECTION_START_PATTERNS = [_PAT_ARTICLE_EN, _PAT_SECTION_EN, _PAT_DHARA_NE,
_PAT_DAFA_NE]

_PART_PAT_EN = re.compile(r"^(Part[\s\-][\d]+)\s:\s", re.MULTILINE re.IGNORECASE)
```

```
_CHAPTER_PAT_EN = re.compile(r"^(Chapter[\s\-][\d]+)\s:\s", re.MULTILINE re.IGNORECASE)
_PART_PAT_NE = re.compile(r"^(???\s[?-?\d]+)\s:\s", re.MULTILINE)
_CHAPTER_PAT_NE = re.compile(r"^(????????\s[?-?\d]+)\s:\s", re.MULTILINE)

_DEV = {"?":"0","?":"1","?":"2","?":"3","?":"4","?":"5","?":"6","?":"7","?":"8","?":"9"}

def _dev_to_int(s):
 try:
 return int("".join(_DEV.get(c, c) for c in s))
 except ValueError:
 return None

def _extract_section_num(section_id):
 m = re.search(r"(\d+)", section_id)
 if m:
 return int(m.group(1))
 m = re.search(r"([?-?]+)", section_id)
 if m:
 return _dev_to_int(m.group(1))
 return None

def detect_language(text):
 devanagari = sum(1 for c in text if '\u0900' 0.15 else "en"

def _find_section_boundaries(text):
 raw = []
 for pat in _SECTION_START_PATTERNS:
 for m in pat.finditer(text):
 raw.append((m.start(), m.end(), m.group(1).strip()))
 raw.sort(key=lambda x: x[0])

 filtered = []
 for pos, end, section_id in raw:
 line_start = text.rfind("\n", 0, pos)
 line_start = line_start + 1 if line_start != -1 else 0
 line_end = text.find("\n", end)
 if line_end == -1:
 line_end = len(text)
 full_line = text[line_start:line_end]
 if re.search(r",\s(Sub-section Clause ????? ???? ??????)\s\(", full_line):
 continue
 rest_of_line = text[end:line_end]
 is_cross_ref = any(p.search(rest_of_line) for p in _SECTION_START_PATTERNS)
 if not is_cross_ref:
 rest_stripped = rest_of_line.lstrip()
 if rest_stripped and rest_stripped[0] == "(":
 is_cross_ref = True
 if not is_cross_ref:
```

```
filtered.append((pos, section_id))

seen, deduped = set(), []
for pos, section_id in filtered:
if section_id not in seen:
seen.add(section_id)
deduped.append((pos, section_id))
return deduped

def _structural_context(text, position):
ctx = {"part": "", "chapter": ""}
for pat in (_PART_PAT_EN, _PART_PAT_NE):
for m in pat.finditer(text):
if m.start() = 2:
break
if title_parts:
return " ".join(title_parts)
return Path(source_file).stem if source_file else "Unknown Document"

def chunk_legal_text(text, law_name, source_file, cfg):
language = detect_language(text)
doc_title = _extract_doc_title(text, source_file)
boundaries = _find_section_boundaries(text)

if not boundaries:
return _fallback_paragraph_chunk(text, law_name, language, doc_title, source_file)

chunks = []
if boundaries[0][0] > 0:
preamble = text[:boundaries[0][0]].strip()
if len(preamble) > 50:
chunks.append({
"law_name": law_name, "text": preamble, "language": language,
"section_id": "Preamble", "chunk_id": f"{law_name}__Preamble",
"doc_title": doc_title, "source_file": source_file,
"section_num": 0, "part": "", "chapter": "", "chunk_type": "preamble",
})

for i, (pos, section_id) in enumerate(boundaries):
end_pos = boundaries[i + 1][0] if i + 1 blockquotes for quotes or legal terms.
```

11) Start the answer with a sentence in this style:
- English: "According to [Law Name], [Section/Title] "
- Nepali: "[??????? ???] ?? [???/??????] ?????? "

12) - Exactly ONE answer in your batch must end with a formal citation line:
English: > ? Citation: [Full Law Name], [Section/Article] [Number]
Nepali: > ? ?????? ???????: [??????? ????? ???], [???/????] [?????]
- All OTHER answers must NOT include any citation line

- Set "has_citation": true for the one with citation, false for others

question_type must be one of:
definitional rights obligation scenario penalty procedural comparison eligibility
"""

???
? V5 ? USER PROMPT: model generates question variants itself
???

?? English answer template ???
_ANSWER_TEMPLATE_EN = """
ANSWER STRUCTURE (use only the sections below):

What law says

According to [Law Name], [Section/Title]

> "[Exact quote of the most relevant provision from the legal text]"

Explanation in simple terms

[Explain the rule in plain language for non-experts.]

Example scenario

[Give one realistic example showing how the rule applies in practice.]

FOR THE ONE ANSWER WITH CITATION ? add at the very end:
> ? Citation: [Full Law Name], [Section/Article] [Number]

"""

?? Nepali answer template ??
_ANSWER_TEMPLATE_NE = """
??????? ?????? (???? ?????? ????? ?????? ?????????):

What law says

[??????? ???] ?? [???/??????] ??????

> "[?????? ?????? ???? ?????? ? Devanagari ??]"

Explanation in simple terms

[???-?????? ????????? ???? ????????? ?????? ??? ??? ?????? ???????? ????????? ?]

Example scenario

[?? ???????? ????????? ???? ???? ????? ????? ?? ????????? ?????? ???????? ?]

Citation ???? ???? ??????? ???????? ?????:
> ? ?????? ???????: [??????? ????? ???], [???/????] [?????]

"""

```
def build_user_prompt(law_name: str, section: dict, n_pairs: int, language: str) -> str:
 """
 V5: Build prompt that instructs model to generate pure standalone QA.

The legal text is provided as CONTEXT for generation only ?
 it must NOT appear in the final input field and questions must be self-contained.
 """
 lang_instruction = (
 "The legal text below is in ENGLISH. "
 "Generate ALL questions and ALL answers in ENGLISH ONLY. "
 "Do NOT reference 'the text', 'the section', 'the context', or 'the above'. "
 "Questions must be fully self-contained as if asked by a citizen. "
 "Do not include specific act/law names in question text."
 if language == "en"
 else
 "???? ?????? ??? ???????? ? ? "
 "??? ?????? ? ????? ?????? ???????? ?????? ????? ?????????? ? "
 "'?????? ???', '?????? ????', '???????' ????? ??????? ?????? ?????????? ? "
 "????????? ????????? ???????? ? ???? ???????? ?????? ????? ???? ????????? ? "
 "???????? ?????/???? ???????? ??? ??????????? ? "
 )

 answer_template = _ANSWER_TEMPLATE_EN if language == "en" else _ANSWER_TEMPLATE_NE

 structural = " ".join(filter(None, [
 f"Part: {section.get('part')}" if section.get('part') else "",
 f"Chapter: {section.get('chapter')}" if section.get('chapter') else "",
 ]))

 return f"""LAW: {law_name}
SECTION: {section.get('section_id', 'N/A')}
{f'STRUCTURAL CONTEXT: {structural}' if structural else ''}
LANGUAGE INSTRUCTION: {lang_instruction}

??????????????????????????????????????????
LEGAL TEXT (use this to generate QA ? do NOT copy this into the question or input field):
??????????????????????????????????????????
{section['text']}
??????????????????????????????????????????

ANSWER FORMAT TEMPLATE:
{answer_template}

??????????????????????????????????????????
YOUR TASK: Generate exactly {n_pairs} diverse, high-quality QA pairs.
??????????????????????????????????????????

STRICT RULES FOR V5 ? READ CAREFULLY:
```

1. ? SELF-CONTAINED QUESTIONS: Every question must be answerable without reading any document. Bad: "According to the above text, what is Section 5 about?"
Good: "What does Nepal's Civil Code say about property inheritance rights?"

2. ? DIVERSE QUESTION TYPES: Use a DIFFERENT question type from this list for each pair:
[definitional, rights, obligation, scenario, penalty, procedural, comparison, eligibility]
Set "question_type" field accordingly. 3. ? STANDALONE ANSWERS: Each answer must be fully self-contained ? written from legal knowledge,
not as a commentary on a document. Never say "the text states" or "the section says" ?
instead say "Nepal law states" or "[Law Name], Section N provides that "

4. ? CITE SPECIFIC SECTIONS: Always mention the exact section/article/???/???? number in answers. 5. ? CITATION CONTROL: Exactly ONE answer gets a formal ? Citation line. Others get none. 6. ? LANGUAGE PURITY: 100% English or 100% Nepali ? no mixing within a pair. 7. ? QUALITY FLOOR: Every answer must be detailed and specific. No short, vague answers. 8. ? NO REFUSALS: Every answer must be substantive. Never say "I cannot answer this."

Return ONLY the JSON array. No markdown fences.

No extra text.""" ?? Output Record Builder ? V5 input is ALWAYS "" ? pure QA, no RAG context ?? def build_finetune_record(question: str, answer: str, section: dict, has_citation: bool, question_type: str, prompt_tokens: int, completion_tokens: int, cfg: PipelineConfig,) -> dict: """ V5 output format: instruction-only, input always empty. The model learns purely from (question ? answer) pairs. No RAG context is ever injected into the input field. """ return { "instruction": question, "input": "", # ? Always empty ? pure QA fine-tuning "output": answer, "metadata": { "law_name": section["law_name"], "section_id": section.get("section_id", ""), "section_num": section.get("section_num", 0), "part": section.get("part", ""), "chapter": section.get("chapter", ""), "language": section["language"], "question_type": question_type, # ? NEW: track question diversity "has_citation": has_citation, "prompt_tokens": prompt_tokens, "completion_tokens": completion_tokens, "total_tokens": prompt_tokens + completion_tokens, "source_file": section.get("source_file", ""), "model": cfg.model, "pipeline_version": "v5", }, } ?? API Caller ? enhanced refusal detection ?? _REFUSAL_PHRASES = ["cannot answer", "cannot provide", "does not cover", "does not contain", "does not address", "doesn't cover", "doesn't contain", "doesn't address", "not covered", "not addressed", "insufficient context", "no relevant", "unable to answer", "beyond the scope", "outside the scope", "context does not", "context doesn't", "I cannot", "I'm unable", "the text does not", "the section does not", "not mentioned", "not specified in", "cannot be determined",] ? V4 ? also detect questions that reference "the text" / "the context" _SELF_REF_PHRASES = ["according to the above", "according to the text", "based on the text", "the text above", "the provided text", "the given context", "the above section", "the section above", "the provided section", "as stated in the text", "as mentioned in the context", "?????? ???", "?????? ???", "???? ????????", "?????? ?????? ????",] _ALLOWED_QUESTION_TYPES = { "definitional", "rights", "obligation", "scenario", "penalty", "procedural", "comparison", "eligibility", } _CITATION_PATTERNS = [re.compile(r">\s\\?\sCitation:\\", re.IGNORECASE), re.compile(r">\s\\?\s??????\s???????:\\"),] def _is_refusal_answer(answer: str) -> bool: answer_lower = answer.lower() refusal_hits = sum(1 for p in

_REFUSAL_PHRASES if p in answer_lower) if refusal_hits >= 2: return True if refusal_hits >= 1 and len(answer) bool: """Detect questions that reference 'the text' or 'the section' ? invalid for pur

```
e QA."""
 q_lower = question.lower()
 return any(p in q_lower for p in _SELF_REF_PHRASES)

def _count_citation_lines(answer: str) -> int:
 return sum(len(p.findall(answer)) for p in _CITATION_PATTERNS)

async def _api_call(client, system_prompt, user_prompt, cfg, section_id):
 for attempt in range(cfg.retry_attempts):
 try:
 response = await client.chat.completions.create(
 model=cfg.model,
 temperature=cfg.temperature,
 max_tokens=cfg.max_tokens_response,
 messages=[
 {"role": "system", "content": system_prompt},
 {"role": "user", "content": user_prompt},
 ],
 )
 raw = response.choices[0].message.content.strip()
 raw = re.sub(r'^(?:json)?\s', '', raw, flags=re.MULTILINE)
 raw = re.sub(r'\s$', '', raw, flags=re.MULTILINE)
 pairs = json.loads(raw)
 if not isinstance(pairs, list):
 raise ValueError("Response is not a JSON array")
 usage = response.usage
 usage_data = {
 "prompt_tokens": getattr(usage, "prompt_tokens", 0) or 0,
 "completion_tokens": getattr(usage, "completion_tokens", 0) or 0,
 "total_tokens": getattr(usage, "total_tokens", 0) or 0,
 }
 return pairs, usage_data
 except json.JSONDecodeError as e:
 logging.warning(f"JSON parse error [{section_id}] attempt {attempt+1}: { e}")
 await asyncio.sleep(cfg.retry_delay (attempt + 1))
 except Exception as e:
 logging.warning(f"API error [{section_id}] attempt {attempt+1}: {e}")
 await asyncio.sleep(cfg.retry_delay (attempt + 1))
 return None

def _distribute_tokens(total_tokens: int, n_items: int) -> list:
 if n_items 1:
 logging.warning(
 f"Filtered answer with multiple citation lines in [{section['chunk_id']}]"
```

```
)
continue

if has_citation and citation_lines != 1:
logging.warning(
f"Filtered citation-flag mismatch in [{section['chunk_id']}]"
)
continue

if (not has_citation) and citation_lines != 0:
logging.warning(
f"Filtered non-citation answer containing citation line in [{section['chunk_id']}]"
)
continue

# Track question type diversity (soft warning only ? don't drop)
if question_type in seen_question_types:
logging.debug(
f"Duplicate question_type '{question_type}' in [{section['chunk_id']}]"
)
seen_question_types.add(question_type)

records.append({
"question": q,
"answer": a,
"has_citation": has_citation,
"question_type": question_type,
})

# Require exactly requested pairs for stable downstream dataset shape.
if len(records) != n_pairs:
logging.warning(
f"Invalid pair count [{section['chunk_id']}]: expected {n_pairs}, got {len(records)}"
)
return [], {
"section_id": section["chunk_id"],
"law_name": section["law_name"],
"error": f"invalid_pair_count_expected_{n_pairs}_got_{len(records)}",
}

# Enforce exactly one citation flag in accepted records.
if records:
cited_idx = next((i for i, r in enumerate(records) if r.get("has_citation")), None)
for r in records:
r["has_citation"] = False
records[cited_idx if cited_idx is not None else 0]["has_citation"] = True

# Normalize answer text to match citation-flag policy.
```

```
for i, r in enumerate(records):
answer = r["answer"]
if r["has_citation"]:
if _count_citation_lines(answer) == 0:
if section["language"] == "ne":
answer += (
"\n\n> ? ?????? ???????: "
f"{section['law_name']}, {section.get('section_id', 'N/A')}"
)
else:
answer += (
"\n\n> ? Citation: "
f"{section['law_name']}, {section.get('section_id', 'N/A')}"
)
else:
lines = answer.splitlines()
cleaned_lines = [
ln for ln in lines if not any(p.search(ln) for p in _CITATION_PATTERNS)
]
answer = "\n".join(cleaned_lines).strip()
records[i]["answer"] = answer

prompt_per_pair = _distribute_tokens(usage.get("prompt_tokens

", 0), len(records))
completion_per_pair = _distribute_tokens(usage.get("completion_tokens", 0), len(records))

final_records = []
for idx, r in enumerate(records, start=1):
rec = build_finetune_record(
question=r["question"],
answer=r["answer"],
section=section,
has_citation=r["has_citation"],
question_type=r["question_type"],
prompt_tokens=prompt_per_pair[idx - 1],
completion_tokens=completion_per_pair[idx - 1],
cfg=cfg,
)
final_records.append(rec)

logging.info(
"TOKENS %s QA-%d input=%d output=%d total=%d",
section["chunk_id"],
idx,
rec["metadata"]["prompt_tokens"],
rec["metadata"]["completion_tokens"],
```

```
 rec["metadata"]["total_tokens"],
 )

 return final_records, None

??????????????????????????????????????????????????????????????????????
File Loader ? unchanged from V3
??????????????????????????????????????????????????????????????????????

def resolve_law_name(filename, cfg):
 stem = Path(filename).stem
 for key, canonical in cfg.law_name_map.items():
 if key.lower() in stem.lower() or stem.lower() in key.lower():
 return canonical
 return stem

async def load_law_files(cfg):
 input_path = Path(cfg.input_dir)
 files = list(input_path.glob(".txt")) + list(in put_path.glob(".md"))

 if not files:
 logging.warning(f"No .txt/.md files found in {cfg.input_dir}")
 return []

 all_sections = []
 for fpath in sorted(files):
 async with aiofiles.open(fpath, encoding="utf-8", errors="replace") as f:
 text = await f.read()
 law_name = resolve_law_name(fpath.name, cfg)
 sections = chunk_legal_text(text, law_name, fpath.name, cfg)
 all_sections.extend(sections)
 n_preamble = sum(1 for s in sections if s["chunk_type"] == "preamble")
 n_section = sum(1 for s in sections if s["chunk_type"] == "section")
 logging.info(
 f"Loaded '{law_name}' ? {len(sections)} chunks "
 f"({n_section} sections"
 f"{f', {n_preamble} preamble' if n_preamble else ''})"
 )
 return all_sections

??????????????????????????????????????????????????????????????????????
Main Pipeline ? unchanged from V3
??????????????????????????????????????????????????????????????????????

SAVE_INTERVAL = 10

async def run_pipeline(cfg: PipelineConfig):
 logging.basicConfig(
 level=logging.INFO,
```

```
format="%(asctime)s [%(levelname)s] %(message)s",
datefmt="%H:%M:%S",
)

output_path = Path(cfg.output_dir)
output_path.mkdir(parents=True, exist_ok=True)
out_file = output_path / cfg.output_file fail_file = output_path / cfg.failed_file
progress_path = output_path / cfg.progress_file

api_key = os.environ.get("OPENAI_API_KEY")
if not api_key:
raise EnvironmentError("OPENAI_API_KEY environment variable not set.")

client = AsyncOpenAI(api_key=api_key)
semaphore = asyncio.Semaphore(cfg.max_concurrent_requests)

progress = ProgressTracker(progress_path)
resumed = progress.load()
if not resumed:
progress.data["started_at"] = datetime.now(timezone.utc).isoformat()
progress.data["status"] = "in_progress"
await progress.save()

logging.info("Loading law files...")
all_sections = await load_law_files(cfg)
logging.info(f"Total sections: {len(all_sections)}")

pending = [s for s in all_sections if not progress.is_section_done(s["chunk_id"])]
logging.info(f"Pending: {len(pending)} (skipping {len(all_sections) - len(pending)} done)")

if not pending:
logging.info("All sections already processed.")
progress.data["status"] = "completed"
await progress.save()
return progress.total_pairs

mode = "a" if resumed else "w"
total_pairs_this_run = 0
failed_sections = []
sections_since_save = 0

# ? V5 ? track question type distribution for quality reporting
question _type_counts = defaultdict(int)
token_totals = {"prompt_tokens": 0, "completion_tokens": 0, "total_tokens": 0}

async with aiofiles.open(out_file, mode, encoding="utf-8") as out_f:
async with aiofiles.open(fail_file, mode, encoding="utf-8") as fail_f:

async def process_section(section):
return await generate_qa_for_section(client, section, cfg, semaphore), section
```

```
coros = [process_section(s) for s in pending]
pending_futures = [asyncio.ensure_future(c) for c in coros]
pbar = atqdm(total=len(pending_futures), desc="Generating QA pairs", unit="section")

for coro in asyncio.as_completed(pending_futures):
try:
(records, failed), section = await coro
except asyncio.CancelledError:
break

if failed:
await fail_f.write(json.dumps(failed, ensure_ascii=False) + "\n")
await progress.mark_section_failed(section["chunk_id"])
failed_sections.append(failed)
else:
for rec in records:
await out_f.write(json.dumps(rec, ensure_ascii=False) + "\n")
total_pairs_this_run += 1
qt = rec["metadata"].get("question_type", "unknown")
question_type_counts[qt] += 1
token_totals["prompt_tokens"] += rec["metadata"].get("prompt_tokens", 0)
token_totals["completion_tokens"] += rec["meta

data"].get("completion_tokens", 0)
token_totals["total_tokens"] += rec["metadata"].get("total_tokens", 0)

await progress.mark_section_done(
section["chunk_id"], len(records), section["law_name"]
)

sections_since_save += 1
if sections_since_save >= SAVE_INTERVAL:
await progress.save()
sections_since_save = 0
pbar.update(1)

pbar.close()

progress.data["status"] = "completed"
await progress.save()

# ?? Summary ??
logging.info("=" 65)
logging.info(f"? Total QA pairs (all runs) : {progress.total_pairs}")
logging.info(f" This run : {total_pairs_this_run}")
logging.info(
f"? Token usage (this run) : input={token_totals['prompt_tokens']} "
f"output={token_totals['completion_tokens']} total={token_totals['total_tokens']}"
)
```

```
 logging.info(f"? Failed sections : {len(failed_sections)}")
 logging.info(f"? Output : {out_file}")
 logging.info("")
 logging.info("Question type distribution (this run):")
 for qt, count in sorted(question_type_counts.items(), key=lambda x: -x[1]):
 logging.info(f" {qt:<15}: {count}")
 logging.info("")
 logging.info("Pairs per law:")
 for law, count in sorted(progress.data["pairs_per_law"].items(), key=lambda x: -x[1]):
 logging.info(f" {law}: {count}")
 logging.info("=" 65)

 summary = {
 "total_qa_pairs": progress.total_pairs,
 "this_run_pairs": total_pairs_this_run,
 "failed_sections": len(failed_sections),
 "question_type_distribution": dict(question_type_counts),
 "token_usage_this_run": token_totals,
 "total_sections_processed": len(progress.data["completed_section_ids"]),
 "total_sections_in_corpus": len(all_sections),
 "pairs_per_law": progress.data["pairs_per_law"],
 "pipeline_version": "v5",
 "config": {k: v for k, v in asdict(cfg).items() if k != "law_name_map"},
 "generated_at": datetime.now(timezone.utc).isoformat(),
 }
 async with aiofiles.open(output_path / "generation_summary.json", "w", encoding="utf-8") as sf:
 await sf.write(json.dumps(summary, indent=2, ensure_ascii=False))

 return progress.total_pairs

????????????????????????????????????????????????????????????????????????????
CLI
????????????????????????????????????????????????????????????????????????????

def parse_args():
 parser = argparse.ArgumentParser(description="Nepal Legal QA Generator V5 ? Strict QA format")
 parser.add_argument("--input_dir", default="./laws")
 parser.add_argument("--output_dir", default="./output_v5")
 parser.add_argument("--model ", default="gpt-4.1-mini-2025-04-14")
 parser.add_argument("--qa_per_section", type=int, default=3)
 parser.add_argument("--concurrency", type=int, default=20)
 parser.add_argument("--temperature", type=float, default=0.75)
 parser.add_argument("--reset", action="store_true")
 return parser.parse_args()

if __name__ == "__main__":
 args = parse_args()
```

```
cfg = PipelineConfig(
input_dir=args.input_dir,
output_dir=args.output_dir,
model=args.model,
qa_pairs_per_section=args.qa_per_section,
max_concurrent_requests=args.concurrency,
temperature=args.temperature,
)
if args.reset:
p = Path(cfg.output_dir) / cfg.progress_file
if p.exists():
p.unlink()
print(f"Reset: deleted {p}")

import sys
if sys.platform == "win32":
asyncio.set_event_loop_policy(asyncio.WindowsSelectorEventLoopPolicy())
asyncio.run(run_pipeline(cfg))
```

We will use the deepseek-v4-flash model with ate-limited to 10 requests per minute (RPM) and 100,000 tokens per minute (TPM). and content limit 1M input & 8K output.

YOUR TASK:
Write a pipe code that porcess all the json file in the same folder and use 3 new section text note
one section code look like this:
##Section 1
?. ????????? ??? ? ????????: (?) ?? ???? ??? \"???????? ???? ??, ????\" ????? ? ? \n\n(?) ?? ?? ??????? ???????? ????? ? \n\n
##Sectio 2
?. ???????: ???? ?? ????????? ????? ???? ??????? ?? ????,-\n\n(?) \"??????\" ??????? ?????? ???????? ?????? ?????? ???? ? ?? ?????? ?????? ???????? ????????? ???? ?????? ? \n\n(?) \"????\" ??????? ????????? ???? ??? ???????? ???????? ???? ?????? ???? ? \n\n(?) \"?????????\" ??????? ??????? ?????? ????? ?????? ???? ?????????? ???? ??????????? ?????? ?????? ??? ?????? ???? ??????? ?????? ???? ? \n\n(?) \"???????\" ?? \"????? ??????\" ??????? ?? ?? ?? ?? ?? ???????? ????? ???? ?? ?????? ????? ????????? ????? ??????? ??? ???? ????? ?????? ??????? ?? ????? ?????? ?????? ???? ? \n\n(?) \"??? ????? ???????\" ??????? ???????? ??? ??? ???? ?????? ????? ?????? ?????, ?????? ??????? ???? ?? ????????? ????? ?????? ??????? ???? ?????? ?????? ?????? ??? ????? ???????, ??? ????? ??????? ?? ????? ??? ????? ??????? ?????? ???? ? \n\n(?) \"????????\" ??????? ??????? ??? ?????? ????? ?????? ???? ??????????, ????????????, ?????? ?????? ?????, ?????? ????? ????? ??? ??????? ???? ??????? ???????? ?????? ???? ? ?? ?????? ????????????? ???? ?????? ? \n\n(?) \"???????? ???????\" ??????? ????? ???????? ???????? ??????? ?????? ???? ? \n\n(?) \"???????? ??????\" ??????? ??? ?? ?????? ??????? ???? ????? ???????? ?????? ?? ???????? ?????? ?????? ???? ? ?? ?????? ????? ???????? ????????? ???? ?????? ? \n\n(?) \"???????? ????\" ??????? ???????? ???? ????????? ?? ?? ??? ??? ????????? ?????????? ?????? ?????? ????????? ??? ?????? ???? ?????? ???? ? \n\n?? ?? ?? ??? ???????? ?? ???? ???? ??? ???????? ???? ????? ???? ?????? ????? ???? ???????? ?????????? ?????? ?????? ????????? ????????? ??????? ????????

???? ??????? ? \n\n(?) \"??????\" ??????? ?????? ????? ?????? ?????? ?????? ????????? ??? ?????? ???? ??????? ?????? ???? ? \n\n(?) \"???????? ??\" ??????? ?????? ????? ?????? ?????? ????? ???? ???????? ?? ?????? ???? ? \n\n(?) \"????\" ??????? ?????? ???? ?????? ???? ? \n\n(?) \"???????\" ??????? ??????? ??????? ?????? ???? ? \n\n## ????????-?\n?????? ???, ??????? ? ??????\n\n
section 3
?. ???????? ???? ??????:

NOte 1 section shlud contain all its content untill new section comes new section start with numbers like (*?.) 2 then neplai number okay so make proper section chunking from the json folders. LLM model API to use for this pipeline:
import anthropic

Compatible with the Anthropic API ? just change one line

```
client = anthropic.Anthropic(
 api_key="your-openmodel-api-key",
 base_url="https://api.openmodel.ai/v1",
)

message = client.messages.create(
 model="deepseek-v4-flash",
 max_tokens=1024,
 messages=[
 {"role": "user", "content": "Hello!"}
 ],
)
print(message.content[0].text)
```